Siemens Ltd. (SIEMENS)

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Call: May 2023

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Lucknow, Kochi, Mumbai, Nagpur, Navi Mumbai, New Delhi, Puducherry, Pune, Vadodara, Visakhapatnam.

23rd May, 2023

National Stock Exchange of India Limited BSE Limited

Scrip Code –
National Stock Exchange of India Limited: SIEMENS EQ BSE Limited: 500550

Information pursuant to the SEBI (Listing Obligations and Disclosure Requirements)
Regulations, 2015 (“Listing Regulations”)

Dear Sir / Madam,

Pursuant to Regulation 30, 46 and other applicable regulations of the Listing Regulations,
please find enclosed the transcript of the Company’s Analysts / Institutional Investors call held on 19
th May, 2023.
The said transcript is also available on the website of the Company
at: https://new.siemens.com/in/en/company /investor-relations/analyst-meet.html .

Kindly take the above information on record. Yours faithfully,
For Siemens Limited

Ketan Thaker
Company Secretary Encl.: as above

Siemens Limited

Analyst Call

19th May, 202 3

Management:
• Mr. Sunil Mathur – Managing Director and Chief Executive Officer, Siemens
Limited
• Dr. Daniel Spindler – Executive Director and Chief Financial Officer, Siemens
Limited
• Ms. Ramya Rajagopa lan – Head, Communications, Siemens Limited
• Mr. S. Venkatesh – Head , Investor Relations, Siemens Limited

- Mr. Venkatesh S – Head of Investor Relations, Siemens Limited :
- Good afternoon and welcome to the Siemens L imited A nalyst Call. This is Venkatesh, H ead of investor relations, Siemens Limited. I trust all of you an d your loved ones are safe and in good health. This conference will be in listen -only mode and there will be an opportunity for you to ask questions after the conclusion of the speech. A few i nstructions before I start the safe harbour statement . Your camera and mic will be disabled. You would need to raise your hand by clicking on the raise hand button in order to ask questions. We will unmute the mic at our end whe n your turn comes to speak. We request you also to unmute your mic before you ask your question.
- On the ca ll we have Mr. Sunil Mathur – Managing Director and Chief Executive Officer and Dr. Daniel Spindler – Executive Director and C hief Financial Officer of Siemens Limited. Now, bef ore I hand it over to Mr. Mathur, let me begin with the safe harbour statement. Siem ens Limited given cannot give assurance to the correctness of such information and statements. These forward lookin g information and statements are generally identified by the fact that they do not relate only to historical or current facts. Forward lookin g statements sometimes use terminology such as targets, believes, expects, aims, assumes, intents, plans, seek s, wi ll, may, anticipate s, would, could, continue s, estimate, milestone, or other words of similar meaning and similar expressions, or the negativ es thereof. By their nature, forward looking information and statements involve both known and unknown risks, uncer tainties and other important factors that could cause the actual results, performance or achievements of the Company to differ materially fro m any future results, performance or achievements that may be expressed or implied by the forward looking informat ion and statements

. Should one or more of these risks or uncertainties materialize, or should any underlying assumptions prove to be incorrec t, the Company's actual financial condition or results of the operations could differ materially from that or those describ ed herein as anticipated, believed, estimated or e xpected.
- Given the aforementioned uncertainties, the prospective or present invest ors are cautioned not to place undue reliance on any of these forward looking statements. No part of this call, nor the fact of its distribution should form the basis of or be relied on in connection with any contract or commitment or investmen t decision whatsoever. Investor/ prospective investors must seek advice on specific situation from well informed legal, investme nt, tax, financial and management professionals. The trans cript and its contents must not be distributed, published or reproduced. This trans cript does not constitute a recommendation regarding the securities of the Company. This call is being recorded and the audio recording and transcript will be submitted to t he stock exchanges and also hosted on our website.
- I now invite Mr. Ma thur to begi n his speech.
- Mr. Sunil Mathur – MD & CEO, Siemens Limited:
- Thank you , Venkatesh, and very good evening, ladies a nd gentlemen. Apologies for this short notice for the call, but due to regulatory reasons, we couldn't give you too much of advanced notice on that. I would like to today give you an update on two transactions that the Board of Directors today has approved . Let me start first with

 the first approved matter by the Board. The Board of Directors of the Company,
based on the recommendations of the Co mmittee of Directors and the Audit Committee, has today approved the sale and transfer of the Company's low volta ge motors and geared motors businesses, including the respe ctive customer service business, forming part of the Company's Digital Indust ries bu siness to Siemens Large D rives India Private Limited, which is a subsidiary of In nomotics GmbH, which in turn i s a subsidiary of Siemens AG. As a going concern on a slump s ale basis w ith effect from 1st October 2023, t he consideration for the proposed tran saction is Rs. 2,200 crore , subject to adjustment for the change in net current assets subsequent to 31st March 2023 and up to the date of actual transfer of the business. The consideration for the proposed transaction, as recommended by the Committ ee of Directors and Audit Committee is based on valuation done by Grant Thornton Bharat LLP. ICIC I Securities Limited Category I merchant banker has given a fairness opinion cert ifying that the valuation of the business done by the valuer is fair.

The prop osed transaction is subject to fulfilment of conditions precedent agreed between the parties, including receip t of requisite shareholders, regulatory and statutory approvals , as applicable.
- Now, let me share the rationale for this decision with you. Siemen s AG intends to carve out the low voltage motors and geared motors business, among others globally, into a le gally separate company. This is based on Siemens AG's decision to form Innomotics, an integrated provider of motors in large drives. Effective 1st of July 2023, the carve out in Germany will be completed and In nomotics GmbH will operate as a legally separa te and independent company within the Siemens group. In a second ste p, Siemens AG has informed us of their intent to diligently review options regarding the best future ownership of I nnomotics. Such options include a public listing as well as a combination with a strategic partner or long -term oriented financial investor. As the intellectual property rights for these products are with Siemens AG and in view of the future plans of Siemens AG for this business, the Board of Siemens Limited has taken the decis ion

to approve the sale and transfer of this business.
- Now, let me provide a brief overview about the business proposed to be sold and transferred . The business forms part of the Company's Digital Industries business. The low voltage motors business pre dominantly comprises motors of 0.12 kilo watts to 1.25 megawatts. With frames ranging from 71 to 450, with an IE 2, IE 3 and IE 4 motors type. The re maining market being explosion proof motors and special purpose motors are largely imported products. The C ompany has very insignificant presence in this area of the business. T he application of such products is primarily in machine building, metals, food and beverages, chemicals, power, minerals and others. The business is short cycled in nature and has an ass et light model. The Company follows an outsourced manufacturing model for the low voltage motors with Siemens D esigns and its stringent quality contr ols across the supply chain and manufacturing.
- For the financial year 2022, that is , September 2022, the b usiness recorded a revenue from operations of Rs. 1,061 crore and prof it from operations of Rs. 132 crore , which is equivalent to around 12½% of revenue. This represents around 7% of the Company's revenue from operations and about 9% of the Company's p rofit from operations. For the half year ended March 31, 2023, the busines s represents around 6% of the Company's revenue from operations and around 9% of the Company's profit from operations. For the financial year 2022, the net capital employed of the business was a negative Rs. 88 crore, and for the half year ended March 31, 2023, the net capital employed was a negative Rs. 92 crore.

 - Low voltage motor s market growth in units was a low single digit o ver the period
2018 to 2023 . Siemens revenue and profi tability numbers increased substantially due to pent up dema nd from the p andemic, high commodity prices, and increased competitiveness resulting from a s hift to an outsourcin g business model. Going forward however, we see a declining trend in commodity pri ces, and the business is expected to stay in line with the market growth.
- Moving to the valuation rationale, the valuer has applied the following method ologies :
o discounted cash flow method assuming a weighted average cost of capital of 12.4%,
o and the m arket multiple method wherein they've considered the median enterprise value to trailing twelve months earnings before interest, taxes, depreciation and amortization of selected comparable companies.
- In the absence of closely comparable public listed comp anies, the valuer has considered multiples of Indian listed companies operati ng in broadly similar industry and engaged in economic activities partially similar to the business. The valuer has assigned equal weights to the values derived under DCF method a nd market multiple method. The valuer GT has recommended a valu ation in the r ange of Rs. 2,070 crore to Rs. 2,165 crore . The Board decided to take the higher end of their recommended valuation and further increased it to Rs. 2,200 crore . Based on the Financial Year 22 financials, t his translates to a revenue multiple of 2.1 and an EBITDA multiple of 15.5 of the business.
- In addition, the Board of Direct ors has also decided to consider the distribution of 100% of the sale consideration as reduced by appl icable capital gains tax and any other applicable taxes, if any, on the tra nsact ion as a special dividend a t the first

Board meeting after completio n of t he proposed transaction.
- Siemens Limited is focused on further strengthening its position as a leadin g technology company. The Company will continue to consolidate its business alon g high growth areas that have synergies with the rest of the businesses. Th is will enable the Company to optimize its portfolio as a strategic lever creating val

ue and
cash for the Company.
- Let me now talk about the second proposal. Encouraged by the FAME II policy of the Government of India and electric vehicles policies notifi ed by the various state governments, t he electric vehicle market in India is in the midst of a trans formation, witnessing rapid growth.
- With an aim to address fast growing demand f or electric vehicle charging infrastructure in India, Siemens Limited today signed an agreement to acquire the electric vehicle division of Mumbai based Mas s-Tech Controls Pri vate Limited. The EV Division of Mas s-Tech Controls is engaged in design, enginee ring and manufacturing of a wide range of AC and 30 – 300kW capacit y DC chargers for various end applications.
- As per the unaudited financial statements as of 31st March 2023, the EV business of Mass-Tech reported a revenue of Rs. 16.7 crore. The purchase consideration is Rs. 38 crore on a cash free, debt free basis and s ubject to other adjustments that are mutually agreed between the parties to the transac tion.

 - Closing of the acquisition is subject to fulfilment of conditions precedent as agreed
between the parties and receipt of requisite regulatory, statutory and other approvals and consents. Post the acquisition, the EV Division of Mass -Tech Controls w ill be fully integrated into the e-Mobility Business unit, which is a part of the Smart Infrastructure business of Siemens Limited.
- The acquisition will strengthen Siemen s's capability to provide homologated EV charging infrastructure in the Indian mark et, whi le Sie mens is active globally in the e-mobility infrastructure space for over a decade, t he addit ion of this portfolio will complete Siemens India's portfolio of e-mobility solutions and will address the needs of the Indian market. This will help us to acc elerate our growth plans in the fast growing e-mobility b usiness segment.
- So with this ladies an d gentlemen, we are open now for Q &A. Ramya o ver to you . Please moder ate the session.
- Ms. Ramya Rajagopalan – Moderator:
- Thank you Mr. Mathu r. I'll req uest each one of yo u as I take your names, to unmute yourself, state your name and the organization that you belong to, and ask your question, please. I would request each one of you to limit your questions to maximum two questions to allow your other fell ow colleagues to as k questions as well. May I request Mohit Kumar to unmute himself and ask your questio n, please?
- Mr. Mohit Kumar – ICICI S ecurities :
- Good evening, sir and congratulations on a very good quarter. Si r, my first question is on - you divested the motors bus iness in this quarter last year. I think we sold large drives. My question is , is there something else which can be divested because SAG has an interes t? And what was the market share in the motors market and what was the growth in FY 22 and FY 23 in the low voltage motors?
- Mr. Sunil Mathur – MD & CEO, Siemens Limited:
- Ok Mohit, just to answ er that. Y es, you are correct. Last year we were asked to carve out the large drives busine ss, which included medium voltage motors. Thi s is above 1.2, or roughly 1 megawa tt range , which is what we carved out last year. This was negligible. As you recall, it was about Rs. 440 crore last year and covered roughly 3% of Siemens business at that ti me. The low voltage business is below 1 megaw att, covers 6% roughly of the busin ess volume, 6½% of the business volumes. And together, this is what will cover an inte grated motor company, which is what Siemens AG has announced they will do. Now, as with pr evious carve outs, and as you are aware, we a re governed in India very largely, or we are dependent very largely on the global product portfolio that Siemens has and the global strategy that Siemens has. Now, Siemens announced earlier in the year and last y

ear as well, that they
would like to carve o ut the motors business primarily be caus e they do not see this as being a strategic fit to the overall growth plans of Sie mens, which is moving up the

value chain from electrification to automation to digitalizat ion. And t hat is why they first announced the large drives and later, earlier th is year, the B oard took the decision, the global B oard took the decision to carve out the low voltage motors as well.
- Now, what can happen in the future, I cannot tell. A lot of it will depend on the global strategy of t he parent. As with everything, we w ill look at it on a case -to-case basis.

Siemens Limited – Analyst Call – 19th May, 202 3 6 The reality for us, however, is that the IPR r ights for these motors is with the parent
company, and as the parent company outlined in t he beginning, they intend post the carve out on 1st of October to potentially l ook for various options to subsequently carve the business out either through IPO or th rough various other means. Now, that would mean there is a risk of the IP also being trans ferred, and therefore it did make sense for u s to also transfer this business a t this point in time.
- Mr. Mohit Kumar – ICICI Securities :
- What is the market s hare in the motors market in FY 23 and what are the growth in FY22 and FY 23 for the low voltage motors?
- Mr. Sunil Math ur – MD & CEO, Siemens Limited :
- I don't want to go specificall y to market share, but let me just talk about the three or four large companies and I think the market is broadly divided between three or four large companies - Crompton Grieves , ABB, Bharat Bijle e ourselves, and a couple of others as well. So it is a mixture. The market is also built up, as with most markets, into premium markets, mid s egment markets and low markets. We do not play in the medium and low-price segments of the market. We ar e only ac tive in the premium segments of the market. So theref ore the markets are varied and it's difficult to say specifically case by case which compe titor is active in which segment of the market.
- Mr. Mohit Kumar – ICICI S ecurities :
- My second questi on on the e-mobility segment. If I can ask on the 9000 HP , what is our margin expecta tion and the value addition you expect to be done by Siemens India? If you can detail i t out, it will be very helpful. And t he status of the contract and whether we have started the work?
- Mr. Sunil Mathur – MD & CEO, Siemens Limited:
- Are you talking about the locomotive project ?
- Mr. Mohit Kumar – ICICI S ecurities :
- Yeah, l ocomotive.
- Mr. Sunil Mathur – MD & CEO, Siemens Limited :
- Which is different from wha t I've just announced righ t now? Is that something else ?
- Mr. Mohit Kumar – ICICI Securities :
- No.
- Mr. Sunil Mathur – MD & CEO, Siemens Limited :
- It is not related to th e call that we've done just now. Are you loo king for the locomotive project o r are you looking on the…?
- Mr. Mohit Kumar – ICICI Securities :
- Yes on the locomotive project I'm asking.

Siemens Limited – Analyst Call – 19th May, 202 3 7 - Mr. S unil Mathur – MD & CEO, Siemens Limited :
- Okay. So, o n the locomotive pr oject, th ere is almost close to over 90 -95% local value addition here in the cou ntry.
- Mr. Mohit Kumar – ICICI Securities :
- And s ir the margin expectation on this ?
- Mr. Sunil Mathur - MD & CEO , Siemens Limited :
- So the margin expectation will be mid segment m argins in line that we are today.
- Mr. Mohit Kumar – ICICI Securities :
- Understood, sir. Thank you and all the best sir.
- Ms. Ramya Rajagopalan – Moderator:
- Thank you Mohit. Parikshit, would you like to unmute yourself and state the organization you're from and ask your question, please?
- Mr. Parikshit Kandpal – HDFC Securitie s:
- Mr. Ma thur, I'm Pari kshit from HDFC Securities . So, m y first

question is on
locomotives business. So, in the last call you said that once you get the order, you will give more details . Last time I asked this question that there was a big differ ence

betw een your bid and the Alstom bid, almost 100% difference. But d espite that, what gives you so much of confidence that you'll be able to mak e current margins in this project?
- Mr. Sunil Ma thur – MD & CEO, Siemens Limited :
- So, look, we cannot comment on the price levels of the competition. We are very confident that our price is the right price. We are very confident that, as I said, and answer ed to the previous question, that the margins ar e at a level that meet our hurdle rates. I cannot comment on t he pricing strategy of the competition.
- Mr. Parikshit Kandpal – HDFC Securities:
- Okay. In your re sults highlights, you've highlighted the railway as a bi g segment emerg ing as a big ordering seg ment. So p otentially beyond this 9000 HP, there was this 12,00 0 HP tenders. So a ny sense when it is happening and other opportunities also in railways which you can highlight ?
- Mr. Sunil Mathur – MD & CEO, Siemens Li mited:
- So on the 12,000 HP, I think the current expected date or the date for the tender is some time in August. But there is a whole pipeline of other possibilities out there which Vande B harat is the re, of course the 12,000 HP is th ere. So t here are a who le range, there's a lot of electrificati on happening, there's a lot of railway signalling projects co ming up. So yes, the opportunities on the railways are quite substantial.

 - Mr. Parikshit Kandpal – HDFC Sec urities:
- And sir the last thing on the power grid busine ss. On the high voltage side, if you can help us understand what is your local sense on that segment of the business?
- Mr. Sunil Mathur – MD & CEO, Siemens Limited :
- On which business? Sorry?
- Mr. Pariks hit Kandpal – HDFC Securities:
- Power grids.
- Mr. Sunil Mathur – MD & CEO, Siemens Limited :
- So, on the power grid so T BCB projects are of course doin g well. Transmission, they have begun to pick up. Now, sporadic ally we should say, but they are definitely picking up . In terms of distribution, o f course , there's an issue. But we do see a spurt in TBCB substations, high voltage substations , statco ms, a couple of inquiries on statcom s and facts coming out as well. So the transmission business is doing fairly well. The inq uiries are substantial. There could be o ne or two HVDCs on the horizon as well . But we are not really sure how many of them will actually materialize or be tendered. But w ith the grid volatility increasing due to increase in renewables, we do believe statcoms and high voltage substations, the demand for it will pick up.
- Mr. Pariksh it Kandpal – HDFC Securities:
- Okay. T hank you, sir.
- Ms. Ramya Rajagopalan – Moderator:
- Thank you. Par ikshit. Umesh Raut , would you like to please unmute yourself and go ahead with your question, pl ease?
- Mr. Umesh Raut – Phillip Capital:
- This is Umesh Ra ut here. I'm from Phil lipCapital. Fi rst of all, congratulations for the quarter gone by. My question first pertains to the restructuring exercise we have done in last 15 years. There are almost 17 restructuring exercises that we have done. I just wanted to understand now, looking forward, wh at could be our idea in terms of establishing business overall, in terms of automation, as well as some of these traditional economies, industries like energy as well as mobility business. So whether what we are looking forward to in terms of new acquisiti ons, whether those will be on a similar lines, or we will be kind of looking for anything which is more over and additional about this?
- Mr. Sunil Mathur – MD & C EO, Siemens Limited :
- So look , over the last 15 years, portf olio has been

readjusted both globa lly as well as
in the country. Our volumes continue to increase, as you have seen. Our profit margins continue to improve . Strategically Siemens Global and us her e in the country , are directiona lly moving from electrifica tion to automation, to digitalizati on. The advantage that we have here as a Company is that we are present in over 20 market verticals, from food and beverage, to power, to railways, to pharmaceu tical,

 steel, cement and so on. A nd this gives us a great bas e in terms of electrification and
automation, where we already have the base understanding of processes, have the detailed knowledge of the customer needs. This is where our digital technology then kicks in. With the introductio n and with the growth in our digital business, we believe that we are able to build on the electrification and automation base that we currently already have .
- Moving forward, m obility is very clearly a core business for us. Transmission , distribution, ene rgy, et c. continues . As we m ove forward h owever, we cannot say how the market will develop, what the decisions of the parent will be, we are not privy to them. But all we can say right now is all our businesses are doing well . Our growth strategy is intact . I've just outlined it to y ou. Our focus continues on profita ble growth. We have demonstrated that we are growing well. We are selective about the orders that we have. We are growing in rank with infrastructure and industria l growth in the country and we will continue on this track.
- Mr. Umesh Raut – PhillipCapital :
- Okay, thank you so much. My second question is on Mobility Business . So h ow we are looking pipeline shaping for metro projects ? And secondly, also the potential ordering which can start from t he high-speed rail project be tween Mumbai and Ahmedabad .
- Mr. Sunil Mathur – MD & CEO, Siemens Limited :
- So firstly, we are not active in the Mumbai -Ahmedabad high speed rail . This is a Japanese project. It is being handled se parately. We do not have signif icant content in that project . In terms of the market overall , we do see substantial ordering, tendering activities happening from the Indian railways . I just mentioned earlier, we are seeing a whole lot of train sets, a whol e lot of V ande Bharat trains, a whole lot of locom otives tha t have been tendered, t here is an announcement of the 12 ,000 HP tender that is in place, a lot of electrification and signalling projects happening and being tendered by the railways.
- You talked about metros. There are some me tros on the horizon. Of cours e, we've got to distinguish betw een which of them are PPP under the PPP level and which of them are being carried out directly by the government. We will add ress the metro market on a case -to-case basis. We have expanded capaci ties. As you know, w e have re opened our bog ie factory in Aurangabad and are servicing a lot of projects out there. We have started with export project and bog ies in our Aurangabad factory. So we are very -very committed to the mobility market in India and do believe this has a huge pot ential for growth, particularl y in the last two or three years where we have seen substantial ordering actually taking place.
- Mr. Umesh Raut – PhillipCapital:
- Thank you so much.
- Ms. Ramya Rajagopalan – Moderator:
- Thank you. Let's go on to the next questi on from Harshit Patel. Harsh it, if you could unmute yourself and go ahead with the question, please ?

 - Mr. Harshit Patel – Equirus Securities:
- Hi sir, this is Harshit Patel from Equi rus S ecurities. Thank yo u very much for the opportunity. Sir my first questi on is on our Digital Indust ries business. One of our core strength was that we were able to provide an integrated automation soluti

on,
including motors, drives, electrification products and on top of that di gitalization layer. Now that we will have to proc ure motors and drives from outside, from a company, I mean, we won't be having any IP rights, as you have mentioned. How do you think our key strength will be compromised?
- Mr. Sunil Mathur – MD & CEO, Siemen s Limited :
- I do not believe there will be any imp act in approaching the mar ket and this is exactly the reason why Siemens AG has done that as well. The synergy level is not substantial. Now, when we look at our Digital Industries business, the know -how of the plants, the manufactur ing processes, the auto mation etc. is what the real meat of the business is. We believe motors can be outsourced and it doesn't matter whether we manufacture them ourselves or whether we outsource them. The key driver in the Digital Industr ies' business i s the automation and di gitalization content. And this is , the automation , we are the global leader in automation and with that , that is the base and the foundation on which we build our digital know -how. The rest of it below that

can actually be bought out from anywhere. So, o ur strength in the Digital Industries will really be in answering customers problems. For example, how d o you reduce wastage in a plant, h ow can you increase productivity , how can you increase throughput time, h ow do you reduce or im prove the purity in a pha rma drug , etc. Those will be the issues that we will be addressing in the future based on the digital know -how, based on the automation know -how that we have .
- Mr. Harshit Patel – Equirus Securities:
- Understood sir. My second questi on is you have previously mentioned that we don't have any immedia te plans to manufacture PLCs DCS - the core automation products in the country. At what market size you would be willing to localize these products in India? At what ma rket size it will beco me somewhat econom ically viable for us to do that?
- Mr. Sunil Mathur – MD & CEO, Siemens Limited :
- So frankly, look, we are a part of the global supply chain, right? We have currently in the country 32 factories that are part of a globa l supply chain of Siem ens. We sell to Siemens c ompanies in other parts of the world. Similarly, we buy from a whole lot of other Siemens factories around the world as well. Whenever we look at buying versus making, it's always a question of price and cost; can I do it here chea per than where I can get it from? And u nless there is a compelling reason to invest and do a buy decision , if I can get the price levels and continue to gain market share by buying these PLCs from my parent companies or my sister fact ories around the world , then I take that option . But t his is some thing that we do on a contin uous basis. For example, vacuum circuit breaker s we originally used to import and then w e decided it made more sense for us to actually manufacture them here in th e country because we were not getting them at t he price levels fr om our sister companies or sister factories around the world. And t hat's wh y we set up a vacuum circuit breaker factory in Goa. This is a continuous decision that we do throughout our busines ses. It's the same thi ng on low voltage. We've started exporting some of our C &S, large number of our C &S products into other markets abroad because we find that it makes more

 sense from a global perspective to source them out of India rather than manufact ure
them in some oth er parts of the world over there. So this is a continuous discussion that we have in terms of make or buy. If I'm getting it at the right cost and price from one of my sister companies around the world, I don't need to make it myself.
- Mr. Harshit Patel – Equirus Securities:
- Underst ood, sir. That a nswers my question. Thank you very much and all th

e best for
the future.
- Ms. Ramya Rajagopalan – Moderator:
- Thank you. Renu , would you like to go next please? Request you to please unmute yourself and ask the question, pleas e.
- Ms. Renu Baid – IIFL Institutional Equities :
- Yeah, thank you for the opportunity. Sir m y first question here is how does the minority shareholder s in India get an opportunity to actually participate in the value unlocking process of various portfolios t hat we have se en have got divested and sold on slump sale basis to the group? We've seen it with the healthc are portfolio and now large drives in LV portfolio. So a ny way out for minority holders in India to make a material value creation opportunity or it would just be a one-time special dividend payout?
- Mr. Sunil Mathur – MD & CEO, Siemens Limited :
- I think it's a good question Renu, and this is something that we also debate with every transaction in the B oard. The reality look is , why are we doin g a carve out? And if you look, you mentioned the healthcare carve out , at a global level t he healthcare has been IPOed globally there. It doesn't make sense for us to be part of that over here or the minority shareholders to be involved over here. The rea l question is w here is the real value for the minority shareh olders? At some point in time, m otors wil l probably become a commodity, and that is really the question.; is there really valu e unlocking in being part of a m otors business or can they get actual ly greater value b y moving up the value chain with automation and digitalization solutions that Siemens Limited is going to move into? As you know, Siemens AG globally is in the top ten software companies in the world. That is the direction that Siemens is moving to, is bei ng really a technology leader where we can comb ine the real with the digital, a nd that is exactly the strength. There is probably …I don't know

of too many companies or any company that in the industrial space can really combine the real w ith the digital ac ross 20-25 market verticals the way Siemens can. That is really the focus that we are having here. We can continue to kind of broadband and keep a whole lot of products in the products and solutions in the Company or we can turn around an d say we have a c lear strategy of being a technology company with a focus on combi ning the real with the digital and t hat is what will help us create value for our customers, which in turn will create value for our shareholders. That is really the focus th at we are wanting to move towards .
- Ms. Renu Baid – IIFL Institutional Equities :
- Sir on this I totally agree and accept that globally Siemens AG has been focusing on digitalization and focuses all on software , and we have been hearing it for the last two to th ree years from th e group as well. Bu t the question in point was for the

 outgoing businesses, which don't seem to be a continuing part of the co re future
strategy for Siemens. Is a slumps sale t he best way out for the minority holders to get the price disco very? Or do you t hink for some busin esses independently those businesses could be valued at much better valuations in the domestic market i f they're listed out separately? You have seen some of your other MNC peers who have gone through restructuring and c arve out s. They h ave listed entities and the value creation has been much more for the outgoing non-core portfolios. So, any thoughts on that?
- Mr. Sunil Mathur – MD & CEO, Siemens Limited :
- I'm not too sure I would agree there Re nu, because if you look at the businesses, t he intent of the bu siness is not to of global and also of us, therefore is not to keep the portfolio within the overall house of Siemens. The intent is eventually to sell that business and get it globally even and therefore here out of Si emens. And if you look

at some of the businesses, or if you look at the metals, not the metal, the Flender business that we took out, eventually that has been sold to a third party, right? And that is the question at that point in time, is there real value for a minority sh areholder in India who doesn't know what the future of a particular business is going to be, but only knows that it's not going to be with Siemens for too long? That is the reality. At that point in time, the uncertainty for a minority sh areholder is subst antial when you don't know what the future of the business is going to be. One thing is clear, it will not continue with Siemens. If it is not continuing with Siemens, will it be IPOed further out somewhere or will it go to private eq uity or what is going to happen a nd that is really the consideration. How long does a minority shareholder want to be tied down to a business which is not the core focus of Siemens at all?
- Ms. Renu Baid – IIFL Institutional Equities :
- And l astly, just one comment which I would l ike to make. Typical ly, Siemens does, a s in management holds analysts meet twice a year annually and semi -annually . Off late, while there are no physical meets, even the virtual calls have been significantly delayed. This ca ll has been primarily around the deals and announcem ents, but no detail ed discussions and presentations, which you typically do on the core busine ss. So w e'll appreciate at least twice a year if the Company can maintain the presentations and the detailed discussion on business, which has been a practice for multiple years no w. Thank you.
- Mr. Sunil Mathur – MD & CEO, Siemens Limited :
- Completely agree with you, Re nu. We will do it .
- Ms. Ra mya Rajagopalan –– Moderator :
- Thank you , Renu. S ubhadip, would you like to go next , please ? Please unmut e yourself and ask a question.
- Mr. Subhadip Mitra – Nuvama
- Good afternoon and thank you for the opportunity. This is Subhadip Mitra from Nuvama . So, m y question pertains to the LV Motor sale. As yo u pointed out that this seems to be more at the group lev el, a strategy to move away from mot ors and drives which are probably going to get commoditized over a period of time. So just for our understanding, this particular business as you mentioned, is rou ghly 9% of your

 overall PAT as of today. Would you be see ing this particular business not rea lly
growing at the same rate as the rest of the business and hence maybe two or three

years down the line, this would have been a significantly l ower proportion of PAT and hence the thought of moving away?
- Mr. Sunil Math ur – MD & CEO, Siemens Limited :
- So, two answers to that question. The first answer is , strategically as you mentioned, this doesn't tie in there and we don't see synergies with thi s business, with t he rest of our existing businesses; p oint number one. Poin t number two, you're absolutely righ t. I mean, y ou just look at the Rs. 26,000 crore locomotiv e order that we have received, look at the electrification and signalling jobs tha t we are working o n, look at the ramp up focus that we have on e -vehicles, l ook at t he focus that we are having on Smart Infrast ructure and on the dist ribution network in the country, and on digitalization moving forward. T hese are the areas that we will focus on and thes e are the areas where the volumes will increase. So p ractically, it is absolutely right what you say. The propor tion of this business moving forward will substantially reduce because the market share or the market growth is not moving ove r here A, at the s ize, I mean, how many motors will I have to sell equi valent to one l ocomotive, o r to one electrificati on job or to one metro? So I think , it is absolutely right what you say. The proportion of this business will slowly decrease over time or would slowly de

crease
over time.
- Mr. Subhadip Mitra – Nuvama
- Perfect ! Thank you. That answers my question. My second ques tion would be moving on to the key strategic areas where you're actually looking at growth coming in, be it o n the mobility fro nt, whether it's railways or metros, or on the distribution side, or even on th e transmis sion side of things, w ould you be able t o give us a sense of what is the total addressable size of the market that you're looking at or at what rate is the market size growing?
- Mr. Sunil Mathur – MD & CEO, Siemens Limited :
- Yeah. L ook, it practically doesn 't make sense because the rate at which low voltag e switch gear is growing is different at the rate at which the locomotive business or the railway business is growin g is different at which medium voltage switch gear is growing . So, g iving you an average m arket growth rate does not make sense. But I think I understand where you're coming from. If I take each of our businesses , I outlined earlier in th e call , how I see the transmis sion business growing right now. I do believe the transmission business will i ncrease as the T BCBs go up, as the incre ase in ren ewables takes place. I do see the consequent imp act of that on medium voltage a s the discom start having to gear up. There will be SCADA systems coming in, there will be medium voltage and low voltage switc h gear coming in there. We do see real e state grow ing, commercial real estate growing over time. T here will be a requirement for energ y efficiency s olutions in there. Medium voltage, low voltage, fire safety, security all of this we are doing. As you know, in the new parliament, we have done the entire se curity system, the entire fire safety, the entire medium and l ow voltage electrical activity and t here are many more of these coming. Station redevelopment has a huge opportunity there. So the Smart Infrast ructure business has a huge potential th ere. We' ve discussed the Mobility business and the potential there. The Smart Infrastructure also has t he e-vehicle busin ess, and w e do hope with this , we had a gap in the portfolio which was really charging stations with designs made in India to the Indi an requirement , and t his acquisition that we have

 here is a very significant acquisition because we do b elieve with this a cquisition we
will be able to get into the charging infrastructure business here and do everyth ing from grid to socket effectively. Th e mark et for that is tremendous. So that covers the Smart Infrastructure business.
- If I move to my Digital Industries business , I outlined over there as well, efficiencies are coming in, there are new factories coming up, semiconductors, battery manufacturing, fuel cells, solar, a ll of these require actually a very close knowledge of the manufacturing pr ocesses and really will benefit hugely by first creating these entire manufacturing processes in the digital world be fore we start manufacturing them in the real world. So we see there a huge potential for growth as well. We are already market leaders in a utomation and the digitalization layer comes very clearly on top of that. We benefit with the global digitalization s olutions and we will increase our d igitalization offerings here and move not only to sales, but also move to a SaaS model eventually, as I mentioned in earli er calls. So o verall, the market we see right now is we are best positioned really to address it. W e've got everything in the

Company , from R&D to engineering, to manufact uring, to software development, and we have got an NBFC, Siemens f inancial services , outside the Company to be able to pool everything together and offer a complete suite of products t hat Siemens AG has globally. We a re pro bably one of the few countries in the Siemens world that has got this entire suite of

offerings th at Siemens AG has here in the country.
- Mr. Subhadip Mitra – Nuvama
- Thank you for such a comprehensive answer.
- Ms. Ra mya Rajagopalan – Moderator:
- Thank you , Subhadip. Rahul Gajare, would you like to go next, p lease? Please unmu te yourself.
- Mr. Rahul Gajar e – Haitong International Securities :
- Thanks for the opportunity. I have two specific questions . With re spect to the sale of LV Motor, c an you talk about the remaining HT motor business, which wi ll remain in the Company in terms of r evenue, operating profit, market share? And c ould you also highlig ht why HT motor does not move to Innomotics , given that Innomotics would focus on motors from low t o high voltage along with the dri ves business? So th at's my first question.
- Mr. Sunil Math ur – MD & CEO, Siemens Limited :
- Okay. S o we do n't really have what you call HT motors. We have the medium voltage motors, whic h is the next higher range . We qualify them as above 1 megawatt and this is what was carved out last year. It was a part of the l arge drive busines s. It was carved out last year. The business that we did was Rs. 440 crore , which amounted to roughly 3% o f Siemens at the point in time, and t his is really what Siemens globally also carved out. Tha t's why the medium voltage, what we ca ll the above 1 megawatt was done last year. The below megawatt is what we plan to do right now as part of the low voltage motors, a nd both of these go into In nomotics. And t hen, as I mentioned in my speech, the options that the parent have in a second stag e is really to go in terms of public listing or a combination with a strategic partner or a long term oriented financial investor.

 - Mr. Rahul Gajar e – Haitong International Securities :
- Okay. S o my second question is coming to the value of the bus iness. The large drive business which was divested last year, was valued at closer to about 17 ½ odd times based on the pr evious year's operating profit w hereas the LV motor business, which is being dive sted right now, is g etting probably valued eve n lower. Here, I'm not e ven comparing the healthcare business divested way back in 2016, which they had lower profitability, but were divested at a much higher value. Sir, I would appreciate your comments on th is and connected wit h this question d oes this transaction need minorit y shareholders' approval to go through? That will be my question. Thank you.
- Mr. Sunil Mathur – MD & CEO, Siemens Limited :
- So if you look at the evaluation, the large drive s business wa s negligible. In profitability, it was actuall y making low single dig it profitability. When we carved it out, we did not have any technologies here in the country to grow that business and therefore, it was carved out . Primarily , it's not comparable with t he low voltage moto r business that we are car ving out right now. Now , if you look at t he current business, and I mentioned in my comments right in the beginning, the multiples are a revenue multiple of 2.1 and an EBITDA multiple of 15.5. If you look at the DCF value there and you look at the revenue multiples there, realit y is there is no o ther competitor which is pure play with us on th e low voltage motors business. The multiples and even if you k ind of question the DCF numbers the question is, look at the market multiples. There is no other pure pl ay company that has low voltage motors as 100%, right? Some of the competitors have got varying ranges from 10 to 40 -50% of their total volumes and t herefore, looking at those multiples also doesn't make sense. Having said that, t he valuation company did t ake that into account, broadened the samp le size, and took into account companies that were not only low voltage motors, but were in other small, let's say, similar size industrial goods. With that, th

e multiple
that they took, th at is the basis that they took for the market mul tiple numbers. So I believe the valuation company has exercised their due diligence. It has been then reviewed by an investment banker, f airness opinion has been given to us over there and we rely on the op inions of both of them. Th e Board, as you will re call, has gone beyond the upper end of the spectrum there and is paying beyond that amount.

- Mr. Rahul Gajar e – Haitong International Securities :
- Sure. A ppreciate it. Thank you very much.
- Ms. Ramya Rajagopalan – Moderator:
- Thank you , Rahul. I will invite Bhavin to ask his next qu estion because I think B havin got dropped out of the meeting and he's come back and he was in queue before. Bhavin , you can unmute yourself and ask the question, please.
- Mr. Bhavin Vithlan i – SBI Funds Managemen t:
- Sir first a req uest. If you could mak e the valuati on report public, please . It can help us analyse the projections that you would have done on the DCF and the companies you would have taken for t he comparative. The second is, if one looks at the compara tive m ultiples of some of the other list ed players, l ike Siemens itself, is trading at some 65 tim es on trailing, ABB where 40% of the business is com parable, is trading at 75 times, CG Power, where almost 75% of the EBITDA comes fro m the

 industr ial motors b usiness, it's trading at 55 times EB ITDA. So a ctually, I'm really struggling h ow does this 15 times EBITDA on a comparable multiple comes in?
- Mr. Sunil Mathur – MD & CEO, Siemens Limited :
- So answer question number one. The valuati on rep ort of Grant Thornton along with the fair ness opinion will be put on the website. I believe it has already been uploaded onto the website along with the complet e disclosure that has gone to SEBI . So, y ou can already review that on the website as we s peak . Regardi ng the mult iples, I believe, as I mentioned of the v olumes of Siemens India and the multiples that Siemens India has is not coming out of this kind of a business. It's coming out of the growth areas that we have outlined earlier on, as well as looking at the digital scenario, as we ll as looking a t the growth in the markets that we are now focusing on. So I believe it would not be fair to consider for 6% of the business the Siemens multiple . Linked to that, t he same thing goes for the other co mpanies that you mentioned. The multiples that are there , the volume of the low voltage motors business as a percentage of their total volumes are also subcritical. Therefore , I think it would be unfair to consider those as well. Having said that, Grant Th ornton has done their valuation consideri ng comparable ma rket multiples and have also considered certain discount factors to take into account exactly these inputs . And that is the range that they have put in to the market multiple range over there.
- Mr. Bha vin Vithlani – SBI Funds Management :
- Sure. Just th e last part from my si de is , previous instance when globally there was a restructuring of the energy vertical . But at that time, Siemens in India and your management decided to kee p it as a part of the busi ness, but some part of the ownership was tra nsferr ed within the parent. Just wondering why not this time?
- Mr. Sunil Mathur – MD & CEO, Siemens Limited :
- Because I outlined the strategic direction that we in India are taking as we ll, right? We do n ot believ e that at some point in time that this busin ess wi ll add to the synergie s that we want to have here within the Company in the medium, long term, for exactly the reasons that we mentioned. As we move into our Digital Industr ies, Smart Infrast ructu re, Mobility business focus there, these volumes w ill be come substantially more and the proportion of this business will become less critical and t

herefore the focus on this business will decrease. Our focus is on moving up the value c hain and not st aying where we a re tod ay.
- Mr. Bhavin Vithlani – SBI Funds Management :
- Appreciat e your answers. Thank you so much for taking my questions.
- Ms. Ramya Rajagop alan – Moderator:
- Thank you Bhavin . Jonas B hutta, would you like to unmut e yourself and please ask your question, p lease?
- Mr. Jonas Bhutta – Aditya Birla Sun Life Mutual Fund:
- Hi, Mr. Ma thur. Jonas he re fro m Birla M utual Fund. Two que stions. Firstly sir, as we can see that this outgoing business already has a margin profile wh ich is hi gher t han that of the reported DI margin and t he DI margin itself has seen a smart up tick in the

 last few years from a 6 to 7% band to a more 10 to 11% b and, which I would presume would have come from this business itself b ecause as you mentioned, the

PLCs and t he ot her things continue to be remain imported. So w ith this business going out , if you can give us a trajectory of how you believe you can maintai n, if not expand the DI business segment margins, given that we already are at a huge gap to the parents, whi ch op erates at m ore in the 1 8% to 20% ban d, which I know that they have the I P, and that will always remain, but the ga p was reducing . With this business going out, it seems that the gap will increase again. So that's my first question.
- Mr. Sunil Mathur – MD & CEO, Siemens Limited :
- So it's a good question, Jonas. Our intent is that there should not be a dilution in the medium long term of the DI business or profitability. Again, I said we are moving away from selling bits and bytes and prod ucts to actuall y res olving customer problems in the industrial business, which means we move up the value chain in terms of digit alizat ion. The margins on digitali zation are higher and will continue to be higher . As we bring in solutions on cyber security , on intra logis tics, on warehousing, etc. an d as we bring in the SaaS models, this is what will drive the Digital Industr ies' profitability in the medium long term, and t hat is real ly our focus. T his business , we believe that the margins are up in the last two o r three years, as I mentioned in my comments, pa rtially due to commodity price s etc. But a t some point in time, comm odity prices have already started co oling down and that is going to have an impact because the price levels will start f alling in line with the commodity prices. So can we susta in this level of margins over a period of time? I'm not sure. On the low voltag e moto rs business, are we focused on driving up the margins of the rest of our digital business and growing our Digital Industries bu sines s? Absolutely! And that is really what we will be doing.
- Dr. Daniel Spindler – ED & C FO, Siemens Limited:
- And Jonas, if I can add one thing, because this topic around global margin in Digital Industries versus our margins here in India, ther e's a gap. And d ue to the fact that in the past it was very much Transfer price dri ven because there was not much of a value add here in the country. Now we want to mov e away from that model as Sunil just described going more SaaS Model and more solutions provi ded here in the country so that we also have more headroom towards our margin e xpansion in our Digital Industries b usiness here in India.
- Mr. Jonas Bhutta – Aditya Birla Sun Life Mutual Fund:
- Understood. My second question, and p icking up from Bhav in's earlier question was, sir, at one point in time, our parent was also lo oking to separate out Mobility and given that we are seeing s uch major opp ortunities in India, as minority shar eholders, any confidence that we could build that this is a business that is going to remain within the folds of the listed entity. We managed to do that with

Siemens Energy, but
in the future, mob ility is wher e we are seeing a bulk of our opportunities coming in, and any clarifications around t hat will be helpful . Tha nk you.
- Mr. Sunil Mathur – MD & CEO, Siemens Limited :
- I think all I can say at this point in t ime is there is no plan to do anything with Mobility except grow the business. Our focus is gr ow, grow, grow the business. The more we

 grow it, the greate r will be the value generation that we are able to create within
Siem ens Limited.
- Mr. Jonas Bhutta – Aditya Birla Sun Life Mutual Fund:
- Thank you, sir, a nd all the ve ry best.
- Ms. Ramya Rajagopalan – Moderator:
- We have the last question coming in from Pri yanka r.
- Mr. Priyankar Biswas – Nomu ra:
- Thanks for the opportunity. Fi rstly, I wanted to just clarify a participant had asked befor e. So would minority approval be requi red for this deal? And if you can also add like, wh at tax are we expecting?
- Mr. S unil Mathur – MD & CEO, Siemens Limited :
- So m inority approval will be requir ed for the deal and we will go to the shareholders for this in due course. On the taxation, Daniel would you li ke to clarify ?
- Dr. Daniel Spindler – ED & C FO, Siemens Limited :
- On the taxation , we expect capital gain taxes in the area of 23%.
- Mr. Priyankar Biswas – Nomu ra:
- Pardon? Capital gains tax of?
- Dr. Daniel Spindler – ED & C FO, Siemens Limited :

- In the area of 23%. So somewhere be twee n 20-25%.
- Mr. Priyankar Biswas – Nomu ra:
- Okay, understood. Based on your commentary earlier, you were highlighting that probably the m otors business is kind of c ommo ditized. So t hey may not have, let 's say, a pricing p ower, is wh at I understand. But if that be the case, based on your understanding of the segment like, why is this industry so concentrated within just three, four odd players if it is so commoditize d?
- Mr. Sunil Mathur – MD & CEO, Siemens Limited :
- To be ho nest, I can 't answer that que stion . I don 't know the answer to it, right? I can speculate why it is concentrated. I don't think I would say it, it is wrong to say it is concentrated. I think the predominant players are three or four players in the country . And my guess is a pproximat ely 50% to 70% of the market is probably dominated by three or four players. The rest of it, t here are multiple players in the mark et. And the question really is , for us it is not our core business so t he other players ma y choos e to continue in th at market because they see a value and a connection to them in it. As I mentioned, our connection is to move up the value chain. This does n ot tie in with our strategic glo bal vision and strategy of moving towards becoming a

 techn ology c ompany and therefor e here in the country as well. It does n't tie in with that.
- Mr. Priyankar Biswa s – Nomura :
- Sir a gain, just harping on that a little bit. So since , you can say you had derived a DCF valuation also close to like Rs. 2,100 cr ore is what I under stand for this business that is at the lower end. So w hat growth expectations were you building for this industry? What I'm esse ntially trying to understa nd is like, today, Sie mens has a high multiple, so probably the growth exp ectation s for th e rest of th e other businesses versus this h ow would it probably c ompare?
- Mr. Sunil Mathur – MD & CEO, Siemens Limited :
- So I mentioned in my opening comments that in the past, between 201 8 and 2023, the growth of this business was in the low sing le digit , right? We are expecting what we have taken in the DCF is a little bit higher than that because that is the rate at which we expect it to be in the next couple of yea rs.
- Mr. Priyankar Biswas – Nomura :
- So m aybe a high single

d igit probab ly is wha t your estim ate would pro bably be , is what I understand.
- Mr. Sunil Mathur – MD & CEO, Siemens Limited :
- Mid segment growth.
- Mr. Priyankar Biswas – Nomura :
- Okay sir, that was br oadly from my s ide on this.
- Mr. Venka tesh S – Head of Inv estor Relations, Siemens Limited :
- Thank you, M r. Mathur a nd thank you, Dr. Spindler. So, ladies and gentlemen, on behalf of Siemens Limited, this concludes the conference call. Thank you for joining the call, and you may all disconn ect your li nes.
- Mr. Sunil Mathur – MD & CEO, Siemens Lim ited:
- Thank y ou very much. Have a nice weekend.
- Dr. Daniel Spindl er – ED & CFO , Siemens Limited :
- Thank you. Nice weekend.

End of Transcript

Call: Jul 2023

Siemens Limited – Analyst Call – 19th May, 202 3 1

Siemens Limited

Analyst Call

19th May, 202 3

Management:
• Mr. Sunil Mathur – Managing Director and Chief Executive Officer, Siemens Limited
• Dr. Daniel Spindler – Executive Director and Chief Financial Officer, Siemens Limited
• Ms. Ramya Rajagopa lan – Head, Communications, Siemens Limited
• Mr. S. Venkatesh – Head , Investor Relations, Siemens Limited

Siemens Limited – Analyst Call – 19th May, 202 3 2
- Mr. Venkatesh S – Head of Investor Relations, Siemens Limited :
- Good afternoon and welcome to the Siemens L imited A nalyst Call. This is Venkatesh, H ead of investor relations, Siemens Limited. I trust all of you an d your loved ones are safe and in good health. This conference will be in listen -only mode and there will be an opportunity for you to ask questions after the conclusion of the speech. A few i nstructions before I start the safe harbour statement . Your camera and mic will be disabled. You would need to raise your hand by clicking on the raise hand button in order to ask questions. We will unmute the mic at our end whe n your turn comes to speak. We request you also to unmute your mic before you ask your question.
- On the ca ll we have Mr. Sunil Mathur – Managing Director and Chief Executive Officer and Dr. Daniel Spindler – Executive Director and C hief Financial Officer of Siemens Limited. Now, bef ore I hand it over to Mr. Mathur, let me begin with the safe harbour statement. Siem ens Limited given cannot give assurance to the correctness of such information and statements. These forward lookin g information and statements are generally identified by the fact that they do not relate only to historical or current facts. Forward lookin g statements sometimes use terminology such as targets, believes, expects, aims, assumes, intents, plans, seek s, wi ll, may, anticipate s, would, could, continue s, estimate, milestone, or other words of similar meaning and similar expressions, or the negativ es thereof. By their nature, forward looking information and statements involve both known and unknown risks, uncer tainties and other important factors that could cause the actual results, performance or achievements of the Company to differ materially fro m any future results, performance or achievements that may be expressed or implied by the forward looking informat ion and statements. Should one or more of these risks or uncertainties materialize, or should any underlying assumptions prove to be incorrec t, the Company's actual financial condition or results of the operations could differ materially from that or those describ ed herein as anticipated, believed, estimated or e xpected.
- Given the aforementioned uncertainties, the prospective or present invest ors are cautioned not to place undue reliance on any of these forward looking statements. No part of this call, nor the fact of its distribution should form the basis of or be relied on in connection with any contract or commitment or investmen t decision whatsoever. Investor/ prospective investors must seek advice on specific situation from well informed legal, investme nt, tax, financial and management professionals. The trans cript and its contents must not be distributed, published or reproduced. This trans cript does not constitute a recommendation regarding the securities of the Company. This call is being recorded and the audio recording and transcript will be submitted to t he stock exchanges and also hosted on our website.
- I now invite Mr. Ma thur to begi n his speech.
- Mr. Sunil Mathur – MD & CEO, Siemens Limited:
- Thank you , Venkatesh, and very good evening, ladies a nd gentlemen. Apologies for

this short notice for the call, but due to regulatory reasons, we couldn't give you too much of advanced notice on that. I would like to today give you an update on two transa

ctions that the Board of Directors today has approved . Let me start first with

 the first approved matter by the Board. The Board of Directors of the Company,
based on the recommendations of the Co mmittee of Directors and the Audit Committee, has today approved the sale and transfer of the Company's low volta ge motors and geared motors businesses, including the respe ctive customer service business, forming part of the Company's Digital Indust ries bu siness to Siemens Large D rives India Private Limited, which is a subsidiary of In nomotics GmbH, which in turn i s a subsidiary of Siemens AG. As a going concern on a slump s ale basis w ith effect from 1st October 2023, t he consideration for the proposed tran saction is Rs. 2,200 crore , subject to adjustment for the change in net current assets subsequent to 31st March 2023 and up to the date of actual transfer of the business. The consideration for the proposed transaction, as recommended by the Committ ee of Directors and Audit Committee is based on valuation done by Grant Thornton Bharat LLP. ICIC I Securities Limited Category I merchant banker has given a fairness opinion cert ifying that the valuation of the business done by the valuer is fair. The prop osed transaction is subject to fulfilment of conditions precedent agreed between the parties, including receip t of requisite shareholders, regulatory and statutory approvals , as applicable.

- Now, let me share the rationale for this decision with you. Siemen s AG intends to carve out the low voltage motors and geared motors business, among others globally, into a le gally separate company. This is based on Siemens AG's decision to form Innomotics, an integrated provider of motors in large drives. Effective 1st of July 2023, the carve out in Germany will be completed and In nomotics GmbH will operate as a legally separa te and independent company within the Siemens group. In a second ste p, Siemens AG has informed us of their intent to diligently review options regarding the best future ownership of I nnomotics. Such options include a public listing as well as a combination with a strategic partner or long -term oriented financial investor. As the intellectual property rights for these products are with Siemens AG and in view of the future plans of Siemens AG for this business, the Board of Siemens Limited has taken the decis ion to approve the sale and transfer of this business.
- Now, let me provide a brief overview about the business proposed to be sold and transferred . The business forms part of the Company's Digital Industries business. The low voltage motors business pre dominantly comprises motors of 0.12 kilo watts to 1.25 megawatts. With frames ranging from 71 to 450, with an IE 2, IE 3 and IE 4 motors type. The re maining market being explosion proof motors and special purpose motors are largely imported products. The C ompany has very insignificant presence in this area of the business. T he application of such products is primarily in machine building, metals, food and beverages, chemicals, power, minerals and others. The business is short cycled in nature and has an ass et light model. The Company follows an outsourced manufacturing model for the low voltage motors with Siemens D esigns and its stringent quality contr ols across the supply chain and manufacturing.
- For the financial year 2022, that is , September 2022, the b usiness recorded a revenue from operations of Rs. 1,061 crore and prof it from operations of Rs. 132 crore , which is equivalent to around 12½% of revenue. This represents around 7% of the Company's revenue from operations and about 9% of the Company's p rofit from operations. For the half year ended March 31, 2023, the busines s represents around 6% of the Company's revenue from operations and around 9% of the Company's profit from operations. For the fina

ncial year 2022, the net capital employed of the
business was a negative Rs. 88 crore, and for the half year ended March 31, 2023, the net capital employed was a negative Rs. 92 crore.

 - Low voltage motor s market growth in units was a low single digit o ver the period

2018 to 2023 . Siemens revenue and profi tability numbers increased substantially due to pent up dema nd from the p andemic, high commodity prices, and increased competitiveness resulting from a s hift to an outsourcin g business model. Going forward however, we see a declining trend in commodity pri ces, and the business is expected to stay in line with the market growth.

- Moving to the valuation rationale, the valuer has applied the following method ologies :

o discounted cash flow method assuming a weighted average cost of capital of 12.4%,

o and the m arket multiple method wherein they've considered the median enterprise value to trailing twelve months earnings before interest, taxes, depreciation and amortization of selected comparable companies.

- In the absence of closely comparable public listed comp anies, the valuer has considered multiples of Indian listed companies operati ng in broadly similar industry and engaged in economic activities partially similar to the business. The valuer has assigned equal weights to the values derived under DCF method a nd market multiple method. The valuer GT has recommended a valu ation in the r ange of Rs. 2,070 crore to Rs. 2,165 crore . The Board decided to take the higher end of their recommended valuation and further increased it to Rs. 2,200 crore . Based on the Financial Year 22 financials, t his translates to a revenue multiple of 2.1 and an EBITDA multiple of 15.5 of the business.
- In addition, the Board of Direct ors has also decided to consider the distribution of 100% of the sale consideration as reduced by appl icable capital gains tax and any other applicable taxes, if any, on the tra nsact ion as a special dividend a t the first Board meeting after completio n of t he proposed transaction.
- Siemens Limited is focused on further strengthening its position as a leadin g technology company. The Company will continue to consolidate its business alon g high growth areas that have synergies with the rest of the businesses. Th is will enable the Company to optimize its portfolio as a strategic lever creating value and cash for the Company.
- Let me now talk about the second proposal. Encouraged by the FAME II policy of the Government of India and electric vehicles policies notifi ed by the various state governments, t he electric vehicle market in India is in the midst of a trans formation, witnessing rapid growth.
- With an aim to address fast growing demand f or electric vehicle charging infrastructure in India, Siemens Limited today signed an agreement to acquire the electric vehicle division of Mumbai based Mas s-Tech Controls Pri vate Limited. The EV Division of Mas s-Tech Controls is engaged in design, enginee ring and manufacturing of a wide range of AC and 30 – 300kW capacit y DC chargers for various end applications.
- As per the unaudited financial statements as of 31st March 2023, the EV business of Mass-Tech reported a revenue of Rs. 16.7 crore. The purchase consideration is Rs. 38 crore on a cash free, debt free basis and s ubject to other adjustments that are mutually agreed between the parties to the transac tion.

 - Closing of the acquisition is subject to fulfilment of conditions precedent as agreed between the parties and receipt of requisite regulatory, statutory and other approvals and consents. Post the acquisition, the EV Division of Mass -Tech Controls w ill be fully integrated into the e-Mobility Business unit, which is a part of the Smart Infrastructure business of Siemens Limi

ted.

- The acquisition will strengthen Siemen s's capability to provide homologated EV charging infrastructure in the Indian mark et, whi le Sie mens is active globally in the e-mobility infrastructure space for over a decade, t he addit ion of this portfolio will complete Siemens India's portfolio of e-mobility solutions and will address the needs of the Indian market. This will help us to acc elerate our growth plans in the fast growing e-mobility b usiness segment.
- So with this ladies an d gentlemen, we are open now for Q &A. Ramya o ver to you . Please moder ate the session.
- Ms. Ramya Rajagopalan – Moderator:
- Thank you Mr. Mathu r. I'll req uest each one of yo u as I take your names, to unmute yourself, state your name and the organization that you belong to, and ask your question, please. I would request each one of you to limit your questions to maximum two questions to allow your other fell ow colleagues to as k questions as well. May I

request Mohit Kumar to unmute himself and ask your questio n, please?
- Mr. Mohit Kumar – ICICI S ecurities :
- Good evening, sir and congratulations on a very good quarter. Si r, my first question is on - you divested the motors bus iness in this quarter last year. I think we sold large drives. My question is , is there something else which can be divested because SAG has an interes t? And what was the market share in the motors market and what was the growth in FY 22 and FY 23 in the low voltage motors?
- Mr. Sunil Mathur – MD & CEO, Siemens Limited:
- Ok Mohit, just to answ er that. Y es, you are correct. Last year we were asked to carve out the large drives busine ss, which included medium voltage motors. Thi s is above 1.2, or roughly 1 megawa tt range , which is what we carved out last year. This was negligible. As you recall, it was about Rs. 440 crore last year and covered roughly 3% of Siemens business at that ti me. The low voltage business is below 1 megaw att, covers 6% roughly of the busin ess volume, 6½% of the business volumes. And together, this is what will cover an inte grated motor company, which is what Siemens AG has announced they will do. Now, as with pr evious carve outs, and as you are aware, we a re governed in India very largely, or we are dependent very largely on the global product portfolio that Siemens has and the global strategy that Siemens has. Now, Siemens announced earlier in the year and last year as well, that they would like to carve o ut the motors business primarily be caus e they do not see this as being a strategic fit to the overall growth plans of Sie mens, which is moving up the value chain from electrification to automation to digitalizat ion. And t hat is why they first announced the large drives and later, earlier th is year, the B oard took the decision, the global B oard took the decision to carve out the low voltage motors as well.
- Now, what can happen in the future, I cannot tell. A lot of it will depend on the global strategy of t he parent. As with everything, we w ill look at it on a case -to-case basis.

 The reality for us, however, is that the IPR r ights for these motors is with the parent
company, and as the parent company outlined in t he beginning, they intend post the carve out on 1st of October to potentially l ook for various options to subsequently carve the business out either through IPO or th rough various other means. Now, that would mean there is a risk of the IP also being trans ferred, and therefore it did make sense for u s to also transfer this business a t this point in time.
- Mr. Mohit Kumar – ICICI Securities :
- What is the market s hare in the motors market in FY 23 and what are the growth in FY22 and FY 23 for the low voltage motors?
- Mr. Sunil Math ur – MD & CEO, Siemens Limited :
- I don't want to go specificall y to market share, but let me just talk about the three or four large companies and I think the market is broadly divided between three or four large companies - Crompton Grieves , ABB, Bharat Bijle e ourselves, and a couple of others as well. So it is a mixture. The market is also built up, as with most markets, into premium markets, mid s egment markets and low markets. We do not play in the medium and low-price segments of the market. We ar e only ac tive in the premium segments of the market. So theref ore the markets are varied and it's difficult to say specifically case by case which compe titor is active in which segment of the market.
- Mr. Mohit Kumar – ICICI S ecurities :
- My second questi on on the e-mobility segment. If I can ask on the 9000 HP , what is our margin expecta tion and the value addition you expect to be done by Siemens India? If you can detail i t out, it will be very helpful. And t he status of the contract and whether we have started the work?
- Mr. Sunil Mathur – MD & CEO, Siemens Limited:
- Are you talking about the locomotive project ?
- Mr. Mohit Kumar – ICICI S ecurities :
- Yeah, l ocomotive.
- Mr. Sunil Mathur – MD & CEO, Siemens Limited :
- Which is different from wha t I've just announced righ t now? Is that something else ?
- Mr. Mohit Kumar – ICICI Securities :
- No.
- Mr. Sunil Mathur – MD & CEO, Siemens Limited :
- It is not related to th e call that we've done just now. Are you loo king for the locomotive project o r are you looking on the…?

- Mr. Mohit Kumar – ICICI Securities :
- Yes on the locomotive project I'm asking.

 - Mr. S unil Mathur – MD & CEO, Siemens Limited :
- Okay. So, o n the locomotive pr oject, th ere is almost close to over 90 -95% local value addition here in the cou ntry.
- Mr. Mohit Kumar – ICICI Securities :
- And s ir the margin expectation on this ?
- Mr. Sunil Mathur - MD & CEO , Siemens Limited :
- So the margin expectation will be mid segment m argins in line that we are today.
- Mr. Mohit Kumar – ICICI Securities :
- Understood, sir. Thank you and all the best sir.
- Ms. Ramya Rajagopalan – Moderator:
- Thank you Mohit. Parikshit, would you like to unmute yourself and state the organization you're from and ask your question, please?
- Mr. Parikshit Kandpal – HDFC Securitie s:
- Mr. Ma thur, I'm Pari kshit from HDFC Securities . So, m y first question is on locomotives business. So, in the last call you said that once you get the order, you will give more details . Last time I asked this question that there was a big differ ence betw een your bid and the Alstom bid, almost 100% difference. But d espite that, what gives you so much of confidence that you'll be able to mak e current margins in this project?
- Mr. Sunil Ma thur – MD & CEO, Siemens Limited :
- So, look, we cannot comment on the price levels of the competition. We are very confident that our price is the right price. We are very confident that, as I said, and answer ed to the previous question, that the margins ar e at a level that meet our hurdle rates. I cannot comment on t he pricing strategy of the competition.
- Mr. Parikshit Kandpal – HDFC Securities:
- Okay. In your re sults highlights, you've highlighted the railway as a bi g segment emerg ing as a big ordering seg ment. So p otentially beyond this 9000 HP, there was this 12,00 0 HP tenders. So a ny sense when it is happening and other opportunities also in railways which you can highlight ?
- Mr. Sunil Mathur – MD & CEO, Siemens Li mited:
- So on the 12,000 HP, I think the current expected date or the date for the tender is some time in August. But there is a whole pipeline of other possibilities out there which Vande B harat is the re, of course the 12,000 HP is th ere. So t here are a who le range, there's a lot of electrificati on happening, there's a lot of railway sig

nalling
projects co ming up. So yes, the opportunities on the railways are quite substantial.

 - Mr. Parikshit Kandpal – HDFC Sec urities:
- And sir the last thing on the power grid busine ss. On the high voltage side, if you can help us understand what is your local sense on that segment of the business?
- Mr. Sunil Mathur – MD & CEO, Siemens Limited :
- On which business? Sorry?
- Mr. Pariks hit Kandpal – HDFC Securities:
- Power grids.
- Mr. Sunil Mathur – MD & CEO, Siemens Limited :
- So, on the power grid so T BCB projects are of course doin g well. Transmission, they have begun to pick up. Now, sporadic ally we should say, but they are definitely picking up . In terms of distribution, o f course , there's an issue. But we do see a spurt in TBCB substations, high voltage substations , statco ms, a couple of inquiries on statcom s and facts coming out as well. So the transmission business is doing fairly well. The inq uiries are substantial. There could be o ne or two HVDCs on the horizon as well . But we are not really sure how many of them will actually materialize or be tendered. But w ith the grid volatility increasing due to increase in renewables, we do believe statcoms and high voltage substations, the demand for it will pick up.
- Mr. Pariksh it Kandpal – HDFC Securities:
- Okay. T hank you, sir.
- Ms. Ramya Rajagopalan – Moderator:
- Thank you. Par ikshit. Umesh Raut , would you like to please unmute yourself and go

ahead with your question, pl ease?
- Mr. Umesh Raut – Phillip Capital:
- This is Umesh Ra ut here. I'm from Phil lipCapital. Fi rst of all, congratulations for the quarter gone by. My question first pertains to the restructuring exercise we have done in last 15 years. There are almost 17 restructuring exercises that we have done. I just wanted to understand now, looking forward, wh at could be our idea in terms of establishing business overall, in terms of automation, as well as some of these traditional economies, industries like energy as well as mobility business. So whether what we are looking forward to in terms of new acquisiti ons, whether those will be on a similar lines, or we will be kind of looking for anything which is more over and additional about this?
- Mr. Sunil Mathur – MD & C EO, Siemens Limited :
- So look , over the last 15 years, portf olio has been readjusted both globa lly as well as in the country. Our volumes continue to increase, as you have seen. Our profit margins continue to improve . Strategically Siemens Global and us her e in the country , are directiona lly moving from electrifica tion to automation, to digitalizati on. The advantage that we have here as a Company is that we are present in over 20 market verticals, from food and beverage, to power, to railways, to pharmaceu tical,

steel, cement and so on. A nd this gives us a great bas e in terms of electrification and automation, where we already have the base understanding of processes, have the detailed knowledge of the customer needs. This is where our digital technology then kicks in. With the introductio n and with the growth in our digital business, we believe that we are able to build on the electrification and automation base that we currently already have .
- Moving forward, m obility is very clearly a core business for us. Transmission , distribution, ene rgy, et c. continues . As we m ove forward h owever, we cannot say how the market will develop, what the decisions of the parent will be, we are not privy to them. But all we can say right now is all our businesses are doing well . Our growth strategy is intact . I've just outlined it to y ou. Our focus continues on profita ble growth. We have demonstrated that we are growing well. We are selective about the orders that we have.

We are growing in rank with infrastructure and industria l growth in the country and we will continue on this track.
- Mr. Umesh Raut – PhillipCapital :
- Okay, thank you so much. My second question is on Mobility Business . So h ow we are looking pipeline shaping for metro projects ? And secondly, also the potential ordering which can start from t he high-speed rail project be tween Mumbai and Ahmedabad .
- Mr. Sunil Mathur – MD & CEO, Siemens Limited :
- So firstly, we are not active in the Mumbai -Ahmedabad high speed rail . This is a Japanese project. It is being handled se parately. We do not have signif icant content in that project . In terms of the market overall , we do see substantial ordering, tendering activities happening from the Indian railways . I just mentioned earlier, we are seeing a whole lot of train sets, a whol e lot of V ande Bharat trains, a whole lot of locom otives tha t have been tendered, t here is an announcement of the 12 ,000 HP tender that is in place, a lot of electrification and signalling projects happening and being tendered by the railways.
- You talked about metros. There are some me tros on the horizon. Of cours e, we've got to distinguish betw een which of them are PPP under the PPP level and which of them are being carried out directly by the government. We will add ress the metro market on a case -to-case basis. We have expanded capaci ties. As you know, w e have re opened our bog ie factory in Aurangabad and are servicing a lot of projects out there. We have started with export project and bog ies in our Aurangabad factory. So we are very -very committed to the mobility market in India and do believe this has a huge pot ential for growth, particularl y in the last two or three years where we have seen substantial ordering actually taking place.
- Mr. Umesh Raut – PhillipCapital:
- Thank you so much.
- Ms. Ramya Rajagopalan – Moderator:
- Thank you. Let's go on to the next questi on from Harshit Patel. Harsh it, if you could unmute yourself and go ahead with the question, please ?

 - Mr. Harshit Patel – Equirus Securities:
- Hi sir, this is Harshit Patel from Equi rus S ecurities. Thank yo u very much for the opportunity. Sir my first questi on is on our Digital Indust ries business. One of our core strength was that we were able to provide an integrated automation solution, including motors, drives, electrification products and on top of that di gitalization layer. Now that we will have to proc ure motors and drives from outside, from a company, I mean, we won't be having any IP rights, as you have mentioned. How do you think our key strength will be compromised?
- Mr. Sunil Mathur – MD & CEO, Siemen s Limited :
- I do not believe there will be any imp act in approaching the mar ket and this is exactly the reason why Siemens AG has done that as well. The synergy level is not substantial. Now, when we look at our Digital Industries business, the know -how of the plants, the manufactur ing processes, the auto mation etc. is what the real meat of the business is. We believe motors can be outsourced and it doesn't matter whether we manufacture them ourselves or whether we outsource them. The key driver in the Digital Industr ies' business i s the automation and di gitalization content. And this is , the automation , we are the global leader in automation and with that , that is the base and the foundation on which we build our digital know -how. The rest of it below that can actually be bought out from anywhere. So, o ur strength in the Digital Industries will really be in answering customers problems. For example, how d o you reduce wastage in a plant, h ow can you increase productivity , how can you increase throughput time, h ow do you reduce or im prove the purity in a pha rma drug , etc. Those will be the issues that we will be

addressing in the future based on the digital know -how, based on the automation know -how that we have .
- Mr. Harshit Patel – Equirus Securities:
- Understood sir. My second questi on is you have previously mentioned that we don't have any immedia te plans to manufacture PLCs DCS - the core automation products in the country. At what market size you would be willing to localize these products in India? At what ma rket size it will beco me somewhat econom ically viable for us to do that?
- Mr. Sunil Mathur – MD & CEO, Siemens Limited :
- So frankly, look, we are a part of the global supply chain, right? We have currently in the country 32 factories that are part of a globa l supply chain of Siem ens. We sell to Siemens c ompanies in other parts of the world. Similarly, we buy from a whole lot of other Siemens factories around the world as well. Whenever we look at buying versus making, it's always a question of price and cost; can I do it here chea per than where I can get it from? And u nless there is a compelling reason to invest and do a buy decision , if I can get the price levels and continue to gain market share by buying these PLCs from my parent companies or my sister fact ories around the world , then I take that option . But t his is some thing that we do on a contin uous basis. For example, vacuum circuit breaker s we originally used to import and then w e decided it made more sense for us to actually manufacture them here in th e country because we were not getting them at t he price levels fr om our sister companies or sister factories around the world. And t hat's wh y we set up a vacuum circuit breaker factory in Goa. This is a continuous decision that we do throughout our busines ses. It's the same thi ng on low voltage. We've started exporting some of our C &S, large number of our C &S products into other markets abroad because we find that it makes more

 sense from a global perspective to source them out of India rather than manufact ure them in some oth er parts of the world over there. So this is a continuous discussion that we have in terms of make or buy. If I'm getting it at the right cost and price from one of my sister companies around the world, I don't need to make it myself.
- Mr. Harshit Patel – Equirus Securities:
- Underst ood, sir. That a nswers my question. Thank you very much and all the best for the future.
- Ms. Ramya Rajagopalan – Moderator:
- Thank you. Renu , would you like to go next please? Request you to please unmute yourself and ask the question, pleas e.
- Ms. Renu Baid – IIFL Institutional Equities :

- Yeah, thank you for the opportunity. Sir m y first question here is how does the minority shareholder s in India get an opportunity to actually participate in the value unlocking process of various portfolios t hat we have se en have got divested and sold on slump sale basis to the group? We've seen it with the healthc are portfolio and now large drives in LV portfolio. So a ny way out for minority holders in India to make a material value creation opportunity or it would just be a one-time special dividend payout?
- Mr. Sunil Mathur – MD & CEO, Siemens Limited :
- I think it's a good question Renu, and this is something that we also debate with every transaction in the B oard. The reality look is , why are we doin g a carve out? And if you look, you mentioned the healthcare carve out , at a global level t he healthcare has been IPOed globally there. It doesn't make sense for us to be part of that over here or the minority shareholders to be involved over here. The rea l question is w here is the real value for the minority shareh olders? At some point in time, m otors wil l probably become a commodity, and that is really the question.; is there really valu e unlocking in being part of a m otors business or can they get actual

ly greater value b y moving up the value chain with automation and digitalization solutions that Siemens Limited is going to move into? As you know, Siemens AG globally is in the top ten software companies in the world. That is the direction that Siemens is moving to, is bei ng really a technology leader where we can comb ine the real with the digital, a nd that is exactly the strength. There is probably …I don't know of too many companies or any company that in the industrial space can really combine the real w ith the digital ac ross 20-25 market verticals the way Siemens can. That is really the focus that we are having here. We can continue to kind of broadband and keep a whole lot of products in the products and solutions in the Company or we can turn around an d say we have a c lear strategy of being a technology company with a focus on combi ning the real with the digital and t hat is what will help us create value for our customers, which in turn will create value for our shareholders. That is really the focus th at we are wanting to move towards .
- Ms. Renu Baid – IIFL Institutional Equities :
- Sir on this I totally agree and accept that globally Siemens AG has been focusing on digitalization and focuses all on software , and we have been hearing it for the last two to th ree years from th e group as well. Bu t the question in point was for the

 outgoing businesses, which don't seem to be a continuing part of the co re future
strategy for Siemens. Is a slumps sale t he best way out for the minority holders to get the price disco very? Or do you t hink for some busin esses independently those businesses could be valued at much better valuations in the domestic market i f they're listed out separately? You have seen some of your other MNC peers who have gone through restructuring and c arve out s. They h ave listed entities and the value creation has been much more for the outgoing non-core portfolios. So, any thoughts on that?
- Mr. Sunil Mathur – MD & CEO, Siemens Limited :
- I'm not too sure I would agree there Re nu, because if you look at the businesses, t he intent of the bu siness is not to of global and also of us, therefore is not to keep the portfolio within the overall house of Siemens. The intent is eventually to sell that business and get it globally even and therefore here out of Si emens. And if you look at some of the businesses, or if you look at the metals, not the metal, the Flender business that we took out, eventually that has been sold to a third party, right? And that is the question at that point in time, is there real value for a minority sh areholder in India who doesn't know what the future of a particular business is going to be, but only knows that it's not going to be with Siemens for too long? That is the reality. At that point in time, the uncertainty for a minority sh areholder is subst antial when you don't know what the future of the business is going to be. One thing is clear, it will not continue with Siemens. If it is not continuing with Siemens, will it be IPOed further out somewhere or will it go to private eq uity or what is going to happen a nd that is really the consideration. How long does a minority shareholder want to be tied down to a business which is not the core focus of Siemens at all?
- Ms. Renu Baid – IIFL Institutional Equities :
- And l astly, just one comment which I would l ike to make. Typical ly, Siemens does, a s in management holds analysts meet twice a year annually and semi -annually . Off late, while there are no physical meets, even the virtual calls have been significantly

delayed. This ca ll has been primarily around the deals and announcem ents, but no detail ed discussions and presentations, which you typically do on the core busine ss. So w e'll appreciate at least twice a year if the Company can maintain the presen

tations and the detailed discussion on business, which has been a practice for multiple years no w. Thank you.

- Mr. Sunil Mathur – MD & CEO, Siemens Limited :
- Completely agree with you, Re nu. We will do it .
- Ms. Ra mya Rajagopalan — Moderator :
- Thank you , Renu. S ubhadip, would you like to go next , please ? Please unmut e yourself and ask a question.
- Mr. Subhadip Mitra – Nuvama
- Good afternoon and thank you for the opportunity. This is Subhadip Mitra from Nuvama . So, m y question pertains to the LV Motor sale. As yo u pointed out that this seems to be more at the group lev el, a strategy to move away from mot ors and drives which are probably going to get commoditized over a period of time. So just for our understanding, this particular business as you mentioned, is rou ghly 9% of your

 overall PAT as of today. Would you be see ing this particular business not rea lly growing at the same rate as the rest of the business and hence maybe two or three years down the line, this would have been a significantly l ower proportion of PAT and hence the thought of moving away?

- Mr. Sunil Math ur – MD & CEO, Siemens Limited :
- So, two answers to that question. The first answer is , strategically as you mentioned, this doesn't tie in there and we don't see synergies with thi s business, with t he rest of our existing businesses; p oint number one. Poin t number two, you're absolutely righ t. I mean, y ou just look at the Rs. 26,000 crore locomotiv e order that we have received, look at the electrification and signalling jobs tha t we are working o n, look at the ramp up focus that we have on e -vehicles, l ook at t he focus that we are having on Smart Infrast ructure and on the dist ribution network in the country, and on digitalization moving forward. T hese are the areas that we will focus on and thes e are the areas where the volumes will increase. So p ractically, it is absolutely right what you say. The propor tion of this business moving forward will substantially reduce because the market share or the market growth is not moving ove r here A, at the s ize, I mean, how many motors will I have to sell equi valent to one l ocomotive, o r to one electrificati on job or to one metro? So I think , it is absolutely right what you say. The proportion of this business will slowly decrease over time or would slowly de crease over time.
- Mr. Subhadip Mitra – Nuvama
- Perfect ! Thank you. That answers my question. My second ques tion would be moving on to the key strategic areas where you're actually looking at growth coming in, be it o n the mobility fro nt, whether it's railways or metros, or on the distribution side, or even on th e transmis sion side of things, w ould you be able t o give us a sense of what is the total addressable size of the market that you're looking at or at what rate is the market size growing?
- Mr. Sunil Mathur – MD & CEO, Siemens Limited :
- Yeah. L ook, it practically doesn 't make sense because the rate at which low voltag e switch gear is growing is different at the rate at which the locomotive business or the railway business is growin g is different at which medium voltage switch gear is growing . So, g iving you an average m arket growth rate does not make sense. But I think I understand where you're coming from. If I take each of our businesses , I outlined earlier in th e call , how I see the transmis sion business growing right now. I do believe the transmission business will i ncrease as the T BCBs go up, as the incre ase in ren ewables takes place. I do see the consequent imp act of that on medium voltage a s the discom start having to gear up. There will be SCADA systems coming in, there will be medium voltage and low voltage switc h gear coming in there. We do see real e state grow ing, commercial real estate growing over time. T he

re will be a requirement for energ y efficiency s olutions in there. Medium voltage, low voltage, fire safety, security all of this we are doing. As you know, in the new parliament, we have done the entire se curity system, the entire fire safety, the entire medium and l ow voltage electrical activity and t here are many more of these coming.

Station redevelopment has a huge opportunity there. So the Smart Infrast ructure business has a huge potential th ere. We' ve discussed the Mobility business and the potential there. The Smart Infrastructure also has t he e-vehicle busin ess, and w e do hope with this , we had a gap in the portfolio which was really charging stations with designs made in India to the Indi an requirement , and t his acquisition that we have

here is a very significant acquisition because we do b elieve with this a cquisition we will be able to get into the charging infrastructure business here and do everyth ing from grid to socket effectively. Th e mark et for that is tremendous. So that covers the Smart Infrastructure business.

- If I move to my Digital Industries business , I outlined over there as well, efficiencies are coming in, there are new factories coming up, semiconductors, battery manufacturing, fuel cells, solar, a ll of these require actually a very close knowledge of the manufacturing pr ocesses and really will benefit hugely by first creating these entire manufacturing processes in the digital world be fore we start manufacturing them in the real world. So we see there a huge potential for growth as well. We are already market leaders in a utomation and the digitalization layer comes very clearly on top of that. We benefit with the global digitalization s olutions and we will increase our d igitalization offerings here and move not only to sales, but also move to a SaaS model eventually, as I mentioned in earli er calls. So o verall, the market we see right now is we are best positioned really to address it. W e've got everything in the Company , from R&D to engineering, to manufact uring, to software development, and we have got an NBFC, Siemens f inancial services , outside the Company to be able to pool everything together and offer a complete suite of products t hat Siemens AG has globally. We a re pro bably one of the few countries in the Siemens world that has got this entire suite of offerings th at Siemens AG has here in the country.
- Mr. Subhadip Mitra – Nuvama
- Thank you for such a comprehensive answer.
- Ms. Ra mya Rajagopalan – Moderator:
- Thank you , Subhadip. Rahul Gajare, would you like to go next, p lease? Please unmu te yourself.
- Mr. Rahul Gajar e – Haitong International Securities :
- Thanks for the opportunity. I have two specific questions . With re spect to the sale of LV Motor, c an you talk about the remaining HT motor business, which wi ll remain in the Company in terms of r evenue, operating profit, market share? And c ould you also highlig ht why HT motor does not move to Innomotics , given that Innomotics would focus on motors from low t o high voltage along with the dri ves business? So th at's my first question.
- Mr. Sunil Math ur – MD & CEO, Siemens Limited :
- Okay. S o we do n't really have what you call HT motors. We have the medium voltage motors, whic h is the next higher range . We qualify them as above 1 megawatt and this is what was carved out last year. It was a part of the l arge drive busines s. It was carved out last year. The business that we did was Rs. 440 crore , which amounted to roughly 3% o f Siemens at the point in time, and t his is really what Siemens globally also carved out. Tha t's why the medium voltage, what we ca ll the above 1 megawatt was done last year. The below megawatt is what we plan to do right now as part of the low voltage motors, a nd both of these go into In nomotic

s. And t hen, as I mentioned in my speech, the options that the parent have in a second stag e is really to go in terms of public listing or a combination with a strategic partner or a long term oriented financial investor.

- Mr. Rahul Gajar e – Haitong International Securities :
- Okay. S o my second question is coming to the value of the bus iness. The large drive business which was divested last year, was valued at closer to about 17 ½ odd times based on the pr evious year's operating profit w hereas the LV motor business, which is being dive sted right now, is g etting probably valued eve n lower. Here, I'm not e ven comparing the healthcare business divested way back in 2016, which they had lower profitability, but were divested at a much higher value. Sir, I would appreciate your comments on th is and connected wit h this question d oes this transaction need minorit y shareholders' approval to go through? That will be my question. Thank you.

- Mr. Sunil Mathur – MD & CEO, Siemens Limited :
- So if you look at the evaluation, the large drive s business wa s negligible. In profitability, it was actuall y making low single dig it profitability. When we carved it out, we did not have any technologies here in the country to grow that business and therefore, it was carved out . Primarily , it's not comparable with t he low voltage moto r business that we are car ving out right now. Now , if you look at t he current business, and I mentioned in my comments right in the beginning, the multiples are a revenue multiple of 2.1 and an EBITDA multiple of 15.5. If you look at the DCF value there and you look at the revenue multiples there, realit y is there is no o ther competitor which is pure play with us on th e low voltage motors business. The multiples and even if you k ind of question the DCF numbers the question is, look at the market multiples. There is no other pure pl ay company that has low voltage motors as 100%, right? Some of the competitors have got varying ranges from 10 to 40 -50% of their total volumes and t herefore, looking at those multiples also doesn't make sense. Having said that, t he valuation company did t ake that into account, broadened the samp le size, and took into account companies that were not only low voltage motors, but were in other small, let's say, similar size industrial goods. With that, the multiple that they took, th at is the basis that they took for the market mul tiple numbers. So I believe the valuation company has exercised their due diligence. It has been then reviewed by an investment banker, f airness opinion has been given to us over there and we rely on the op inions of both of them. Th e Board, as you will re call, has gone beyond the upper end of the spectrum there and is paying beyond that amount.
- Mr. Rahul Gajar e – Haitong International Securities :
- Sure. A ppreciate it. Thank you very much.
- Ms. Ramya Rajagopalan – Moderator:
- Thank you , Rahul. I will invite Bhavin to ask his next qu estion because I think B havin got dropped out of the meeting and he's come back and he was in queue before. Bhavin , you can unmute yourself and ask the question, please.
- Mr. Bhavin Vithlan i – SBI Funds Managemen t:
- Sir first a req uest. If you could mak e the valuati on report public, please . It can help us analyse the projections that you would have done on the DCF and the companies you would have taken for t he comparative. The second is, if one looks at the compara tive m ultiples of some of the other list ed players, l ike Siemens itself, is trading at some 65 tim es on trailing, ABB where 40% of the business is com parable, is trading at 75 times, CG Power, where almost 75% of the EBITDA comes fro m the

industr ial motors b usiness, it's trading at 55 times EB ITDA.

So a ctually, I'm really struggling h ow does this 15 times EBITDA on a comparable multiple comes in?
- Mr. Sunil Mathur – MD & CEO, Siemens Limited :
- So answer question number one. The valuati on rep ort of Grant Thornton along with the fair ness opinion will be put on the website. I believe it has already been uploaded onto the website along with the complet e disclosure that has gone to SEBI . So, y ou can already review that on the website as we s peak . Regardi ng the mult iples, I believe, as I mentioned of the v olumes of Siemens India and the multiples that Siemens India has is not coming out of this kind of a business. It's coming out of the growth areas that we have outlined earlier on, as well as looking at the digital scenario, as we ll as looking a t the growth in the markets that we are now focusing on. So I believe it would not be fair to consider for 6% of the business the Siemens multiple . Linked to that, t he same thing goes for the other co mpanies that you mentioned. The multiples that are there , the volume of the low voltage motors business as a percentage of their total volumes are also subcritical. Therefore , I think it would be unfair to consider those as well. Having said that, Grant Th ornton has done their valuation consideri ng comparable ma rket multiples and have also considered certain discount factors to take into account exactly these inputs . And that is the range that they have put in to the market multiple range over there.
- Mr. Bha vin Vithlani – SBI Funds Management :
- Sure. Just th e last part from my si de is , previous instance when globally there was a restructuring of the energy vertical . But at that time, Siemens in India and your management decided to kee p it as a part of the busi ness, but some part of the ownership was tra nsferr ed within the parent. Just wondering why not this time?
- Mr. Sunil Mathur – MD & CEO, Siemens Limited :
- Because I outlined the strategic direction that we in India are taking as we ll, right? We do n ot believ e that at some point in time that this busin ess wi ll add to the

synergie s that we want to have here within the Company in the medium, long term, for exactly the reasons that we mentioned. As we move into our Digital Industr ies, Smart Infrast ructu re, Mobility business focus there, these volumes w ill be come substantially more and the proportion of this business will become less critical and therefore the focus on this business will decrease. Our focus is on moving up the value c hain and not st aying where we a re tod ay.

- Mr. Bhavin Vithlani – SBI Funds Management :
- Appreciat e your answers. Thank you so much for taking my questions.
- Ms. Ramya Rajagop alan – Moderator:
- Thank you Bhavin . Jonas B hutta, would you like to unmut e yourself and please ask your question, p lease?
- Mr. Jonas Bhutta – Aditya Birla Sun Life Mutual Fund:
- Hi, Mr. Ma thur. Jonas he re fro m Birla M utual Fund. Two que stions. Firstly sir, as we can see that this outgoing business already has a margin profile wh ich is hi gher t han that of the reported DI margin and t he DI margin itself has seen a smart up tick in the

Siemens Limited – Analyst Call – 19th May, 202 3 17 last few years from a 6 to 7% band to a more 10 to 11% b and, which I would presume would have come from this business itself b ecause as you mentioned, the PLCs and t he ot her things continue to be remain imported. So w ith this business going out , if you can give us a trajectory of how you believe you can maintai n, if not expand the DI business segment margins, given that we already are at a huge gap to the parents, whi ch op erates at m ore in the 1 8% to 20% ban d, which I know that they have the I P, and that will always remain, but the ga p was reducing . With this business going out, it seems that the gap will increase again. So that's my first question.

- Mr. Sunil Mathur –

MD & CEO, Siemens Limited :
- So it's a good question, Jonas. Our intent is that there should not be a dilution in the medium long term of the DI business or profitability. Again, I said we are moving away from selling bits and bytes and prod ucts to actuall y res olving customer problems in the industrial business, which means we move up the value chain in terms of digit alizat ion. The margins on digitali zation are higher and will continue to be higher . As we bring in solutions on cyber security , on intra logis tics, on warehousing, etc. an d as we bring in the SaaS models, this is what will drive the Digital Industr ies' profitability in the medium long term, and t hat is real ly our focus. T his business , we believe that the margins are up in the last two o r three years, as I mentioned in my comments, pa rtially due to commodity price s etc. But a t some point in time, comm odity prices have already started co oling down and that is going to have an impact because the price levels will start f alling in line with the commodity prices. So can we susta in this level of margins over a period of time? I'm not sure. On the low voltag e moto rs business, are we focused on driving up the margins of the rest of our digital business and growing our Digital Industries bu sines s? Absolutely! And that is really what we will be doing.
- Dr. Daniel Spindler – ED & C FO, Siemens Limited:
- And Jonas, if I can add one thing, because this topic around global margin in Digital Industries versus our margins here in India, ther e's a gap. And d ue to the fact that in the past it was very much Transfer price dri ven because there was not much of a value add here in the country. Now we want to mov e away from that model as Sunil just described going more SaaS Model and more solutions provi ded here in the country so that we also have more headroom towards our margin e xpansion in our Digital Industries b usiness here in India.
- Mr. Jonas Bhutta – Aditya Birla Sun Life Mutual Fund:
- Understood. My second question, and p icking up from Bhav in's earlier question was, sir, at one point in time, our parent was also lo oking to separate out Mobility and given that we are seeing s uch major opp ortunities in India, as minority shar eholders, any confidence that we could build that this is a business that is going to remain within the folds of the listed entity. We managed to do that with Siemens Energy, but in the future, mob ility is wher e we are seeing a bulk of our opportunities coming in, and any clarifications around t hat will be helpful . Tha nk you.
- Mr. Sunil Mathur – MD & CEO, Siemens Limited :
- I think all I can say at this point in t ime is there is no plan to do anything with Mobility except grow the business. Our focus is gr ow, grow, grow the business. The more we

Siemens Limited – Analyst Call – 19th May, 202 3 18 grow it, the greate r will be the value generation that we are able to create within
Siem ens Limited.
- Mr. Jonas Bhutta – Aditya Birla Sun Life Mutual Fund:
- Thank you, sir, a nd all the ve ry best.
- Ms. Ramya Rajagopalan – Moderator:
- We have the last question coming in from Pri yanka r.
- Mr. Priyankar Biswas – Nomu ra:
- Thanks for the opportunity. Fi rstly, I wanted to just clarify a participant had asked befor e. So would minority approval be requi red for this deal? And if you can also add like, wh at tax are we expecting?
- Mr. S unil Mathur – MD & CEO, Siemens Limited :
- So m inority approval will be requir ed for the deal and we will go to the shareholders for this in due course. On the taxation, Daniel would you li ke to clarify ?
- Dr. Daniel Spindler – ED & C FO, Siemens Limited :
- On the taxation , we expect capital gain taxes in the area of 23%.
- Mr. Priyankar Biswas – Nomu ra:
- Pardon? Capital gains tax of?
- Dr. Daniel Spindler – ED & C FO, Siemens L

imited :
- In the area of 23%. So somewhere be twee n 20-25%.
- Mr. Priyankar Biswas – Nomu ra:
- Okay, understood. Based on your commentary earlier, you were highlighting that probably the m otors business is kind of c ommo ditized. So t hey may not have, let 's say, a pricing p ower, is wh at I understand. But if that be the case, based on your understanding of the segment like, why is this industry so concentrated within just three, four odd players if it is so commoditize d?
- Mr. Sunil Mathur – MD & CEO, Siemens Limited :
- To be ho nest, I can 't answer that que stion . I don 't know the answer to it, right? I can speculate why it is concentrated. I don't think I would say it, it is wrong to say it is concentrated. I think the predominant players are three or four players in the country . And my guess is a pproximat ely 50% to 70% of the market is probably dominated by three or four players. The rest of it, t here are multiple players in the mark et. And the question really is , for us it is not our core business so t he other players ma y choos e to continue in th at market because they see a value and a connection to them in it. As I mentioned, our connection is to move up the value chain. This does n ot tie in with our strategic glo bal vision and strategy of moving towards becoming a

Siemens Limited – Analyst Call – 19th May, 202 3 19 techn ology c ompany and therefor e here in the country as well. It does n't tie in with
that.
- Mr. Priyankar Biswa s – Nomura :
- Sir a gain, just harping on that a little bit. So since , you can say you had derived a DCF valuation also close to like Rs. 2,100 cr ore is what I under stand for this business that is at the lower end. So w hat growth expectations were you building for this industry? What I'm esse ntially trying to understa nd is like, today, Sie mens has a high multiple, so probably the growth exp ectation s for th e rest of th e other businesses versus this h ow would it probably c ompare?
- Mr. Sunil Mathur – MD & CEO, Siemens Limited :
- So I mentioned in my opening comments that in the past, between 201 8 and 2023, the growth of this business was in the low sing le digit , right? We are expecting what we have taken in the DCF is a little bit higher than that because that is the rate at which we expect it to be in the next couple of yea rs.
- Mr. Priyankar Biswas – Nomura :
- So m aybe a high single d igit probab ly is wha t your estim ate would pro bably be , is what I understand.
- Mr. Sunil Mathur – MD & CEO, Siemens Limited :
- Mid segment growth.
- Mr. Priyankar Biswas – Nomura :
- Okay sir, that was br oadly from my s ide on this.
- Mr. Venka tesh S – Head of Inv estor Relations, Siemens Limited :
- Thank you, M r. Mathur a nd thank you, Dr. Spindler. So, ladies and gentlemen, on

behalf of Siemens Limited, this concludes the conference call. Thank you for joining the call, and you may all disconn ect your li nes.

- Mr. Sunil Mathur – MD & CEO, Siemens Lim ited:
- Thank y ou very much. Have a nice weekend.
- Dr. Daniel Spindl er – ED & CFO , Siemens Limited :
- Thank you. Nice weekend.

End of Transcript

Call: May 2024

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20th May, 2024

National Stock Exchange of India Limited BSE Limited

Scrip Code –
National Stock Exchange of India Limited: SIEMENS EQ BSE Limited: 500550

Information pursuant to the SEBI (Listing Obligations and Disclosure Requirements)
Regulations, 2015 ("Listing Regulations")

Dear Sir / Madam,
Pursuant to Regulation 30, 46 and other applicab le regulations of the Listing Regulations, please find enclosed the transcript of the Company's Analysts / Institutional Investors call held on 14
th May, 2024.

The said transcript is also availabl e on the website of the Company at https://www.siemens.com/in/en/company/i nvestor-relations/analyst-meet.html .

Kindly take the above information on record.

Yours faithfully,
For Siemens Limited

Ketan Thaker
Company Secretary

Encl.: as above

Siemens Limited
Analyst Call
14th May 2024

Management:
- Mr. Sunil Mathur – Managing Director and Chief Executive Officer, Siemens Limited
- Mr. Wolfgang Wrumnig – Executive Director and Chief Financial Officer, Siemens Limited
- Ms. Ramya Rajagopalan – Head of Communications, Siemens Limited
- Mr. Venkatesh S – Head of Investor Relations, Siemens Limited

Siemens Limited – Analysts Call – 14th May 2024 2 Mr. Venkatesh S – Head of Investor Relations, Siemens Limited:
- Welcome to the Siemens Limited Quarter 2 FY4 Analyst Call. I hope you are all in good health. Before we start this call, let me give you a few instructions about the technology that we are using here.
- So by default, everyone's microphone and camera will be disabled. At the commencement of the Q&A session, the speaker analyst must raise their hands in the MS Teams call. We will enable the microphone for the person in that order. After enabling the microphone on our end, the speaker must also enable it on their dev ice and then start talkin g. Each analyst speaker will have a maximum of two questions. After asking the question, the speaker's microphone will be disabled.
- We have with us Mr. Sunil Mathur - Managing Director and Chief Executive Officer of Siemens Limited and Mr. Wolfgang Wrumnig- Executive Director and Chief Financial Officer of Siemens Limited who would present the operational and fi nancial overview of the Company's performance. Post that we will have the Q&A sessions.
- Before I hand over to Mr Mathur, let me begin with the safe harbour statement, that you can see it on the screen as well.
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Mr. Sunil Mathur - Managing Director & Chief Executive Officer, Siemens Limited:
- Ladies and gentlemen, a very good evening and a warm welcome to you all. Thank you for joining us. You may have already read about the three announcements that we made earlier this evening.
- The first one is announcing the Q2 FY 2024 results of the Company. The second is announcing the CAPEX investment in two of our Businesses and the third is the announce

ment of the approval by the
Board of Directors of Siemens Limited to the proposal to demerge its Energy Business into a separate legal entity – Siemens Energy India Limited, whic h will be subsequently listed upon the receipt of requisite approvals.
- First, a comment on the economy.
- A year ago, many experts predicted a prolonged downturn in the global economy and a possible recession. That did not materialize in spite of the geo-political tensions. In fact, we had a better-than-expected economic scenario in 2024 – with higher growth forecasts for global GDP and trade for both 2024 and 2025. With inflation softening and interest rates expected to ease, capital investments are expected to continue. However, we cannot ignore the downside risks as a result of an escalation in geo-political tensions.
- As you are all aware, the government’s thrust on capital expenditure in infrastructure was reflected further in the Interim Budget 2024 with the capital outlay for FY 2025 being increased by 11% to Rs. 11.1 lakh crore, while the Railway outlay is at an all-time high of Rs. 2.55 lakh crore.
- As Government focus continues on CAPEX spending in infrastructure, we maintain that private CAPEX will follow.
- This is evident through increasing capacity utilization levels in the private sector and in the announcements of investments by various corporates across sectors such as Data Centers, Power, Metals, Cement, Automotive, E-Vehicles, Pharmaceuticals, Railways, Semiconductors, Batteries, Electronics, and Green hydrogen.
- For Siemens Limited, the second quarter of Fiscal Year 2024 showed a robust growth in Revenues built off a strong Order Backlog. Some large orders have been deferred. There has also been a slowdown

in ordering of industrial automation products due to normalization of demand following shorter delivery cycles. Our growth in profits include volume and price effects, continued productivity measures as also gains on account of sale of property and dividend received from subsidiaries. Overall, our Q2 FY 2024 results reflect the continued robustness in the economy led by Government spending in infrastructure, which has resulted in increased capacity utilization and the beginning of capacity expansions by the private sector.

Siemens Limited – Analysts Call – 14th May 2024 4 - Our growth plans for the year remain intact and, as you see reflected in the words of our Global CEO,
Dr. Roland Busch, the growth rates in the past years have demonstrated that India is indeed on a growth path and is attracting more high quality and complex products for manufacturing in this country.

- With that, let me hand you over to our CFO, Wolfgang Wrumnig to give an overview of the Financials for Q2 and the Half year. As you are aware, Wolfgang took over as the CFO of Siemens Limited with effect from March 1, 2024.
- Over to you, Wolfgang.

Mr. Wolfgang Wrumnig – Execut ive Director & Chief Financia l Officer, Siemens Limited:

- Thank you, Sunil. Good evening from my side as well. Today I will give you a quick update on our financial performance in Q2 and H1 of this fiscal ye ar. I will start with Q2. We have finished Q2 with strong revenue growth of 19.3% driven by all businesses. Three out of our four businesses have generated double-digit revenue growth and I need to call out Smart Infrastructure at 29% and our Mobility business even at 59%. Key drivers have been excellent backlog conversion and robust project execution. Our new orders are below prior year level, but last year we booked the large locomotive order with more than Rs. 250 billion order value.
- We have also seen a few orders slipping from Q2 into Q3. Another highlight of this quarter was EBITDA at 15%. This represents an increase of 240 bps vs. PY quarter. Volume increase, a positive product and business mix and price enforcement have contributed to the margin expansion. Profit before Tax is at 22.2% and Profit after Tax at 17.

1%, also representing a significant increase vs. the previous year.
Earnings per Share in Q2 is at Rs. 25.2.

- Now I am going to talk about H1 of this fiscal year. Revenue is up 20.6% vs. PY, with growth rates north of 20% in three out of our four businesses. We continue to strive for flawless execution of our projects in the interest of our customers and we have been able to turn the orders of the past quarters into profitable revenue. We do see a very positive development in orders of our Energy business with 34% growth vs. PY, while we still see th e destocking effect in our industrial Automation business. The large locomotive order we booked last year also impacts the growth rate for H1 significantly..
- Our EBITDA for the first six month is at 13.6%, on a similar level as last year. On a comparable basis by excluding FX and Commodity Hedging impact our EBITDA margin improved by 340 bps. Profit before Tax stands at 18.5% and Profit after Tax is at 14.1%. As a point of reference: our Profit before Tax as of March 31, 2023 was 15.9% and the Profit after Tax was 11.9%. I would say a very good performance so far. We have also seen improvements in our cash generation in the first 6 months.
- Our focus on net working capital, especially inventory optimization and cash collections have paid off and we could increase our Cash from Operations vs. previous year by Rs. 1.3 billion to Rs. 4.3 billion. All in all, we are on a good track so far to top our results from fiscal year 2023. Thank you. With this I give it back to Sunil.

Siemens Limited – Analysts Call – 14th May 2024 5 Mr. Sunil Mathur – Managing Director & Chief Executive Officer, Siemens Limited:

- This brings us to the second item which is announcing the CAPEX in two of our Businesses – Smart Infrastructure and Mobility:

o Siemens Limited’s Smart Infrastructure Business is expanding its factory footprint in Goa in order to meet the rapidly increasing need for critical components of the industry, infrastructure and power distribution sectors. The total investment will be Rs. 333 crore and this will be the largest investment by Siemens in Goa.
o The factory will bring to market state-of-the -art Gas Insulated Switchgear and Clean Air GIS (Blue GIS) technologies. These products will help customers in sectors such as data centers, metro rail, oil & gas, steel, transmission & distribution to meet their sustainability goals.
o Sustainable transportation is the key enabler for sustainable cities. To address demand of growing Metro Rail networks globally, Mobility Business is investing Rs. 186 crore to build a state-of-the-art Metro train manufacturing facility at Aurangabad. This is in addition to the existing bogie manufacturing fac ility at the same location.
o This facility will be equipped with the latest technologies, locally procured components and skilled technical workforce, and can adapt to changing customer requirements. Going forward, the facility will play a key role as an export hub for Metr o Turnkey projects.

- This is in addition to the capacity expansions of the Power Transformer factory in Kalwa and Vacuum Interrupter factory in Goa announced by the Company in November 2023. With this, total CAPEX investment is expected to exceed Rs 1,000 crore.

- Both factories will rank among leading globally benchmarked sustainable factories while also contributing to the Government of India's Make in India and Aatmanirbhar programs through localization. The factories are designed as per the LEED Gold standards, are carbon neutral and water positive using various sustainable technologies, whic h include PV solar, microgrid, EV charging, battery energy storage systems (BESS) and rainwater harvesting, and will be built with recycled materials and circular construction techniques.
- I now come to the third item approved by the Board, which is the demerger of the Energy Business of Siemens Limited.
- As you

are aware, Siemens Limited operates in India through four major businesses – Digital Industries, Smart Infrastructure, Mobility and Energy. In terms of Sales in financial year 2023, Digital Industries reported Sales of Rs. 43.4 billion, Smart Infrastructure came in at Rs. 54 billio n and Mobility at Rs. 19.7 billion. The Energy Business, which is proposed to be demerged, clocked Sales of Rs. 59.9 billion. EBITDA Margins in financial year 2023 of Digital Industries was at 14.8%; Smart Infrastructure at 13.6% and Energy at 12.7%, the Mobilit y EBITDA Margins were at 3.5%, due to the large investments in manufacturing capacity that we are putting in.
- I have shared details of each Business in the Analyst Meet in December 2023. These details are also available on the Company website.
- As a background, based on a request made by the promoter shareholders of the Company to consider, evaluate and thereafter start taking exploratory steps towards a potential demerger of the Company's Energy Business into a separate entity, the Company's Board had, on 18 December 2023, taken note
 of such request and had authorized the Company's management to commence exploratory steps as
may be required to examine a potential demerger of the Company's Energy Business subject to further consideration and deliberation by the Board at the relevant point in time. The Board had at such meeting also approved the incorporation of a wholly owned subsidiary (Siemens Energy India Limited) on the basis that such subsidiary may be required if and when the Board decides to implement the aforesaid demerger.
- The Board of Directors of Siemens Limited today approved the proposal to demerge the Company's Energy Business into Siemens Energy India Limited, a wholly owned subsidiary of the Company currently, which will get listed pursuant to the proposed demerger, subject to requisite regulatory, statutory, shareholders and creditors approvals.
- Post the demerger, both companies would have identical shareholding – 69% by Siemens AG, 6% by Siemens Energy and 25% by the public. Shareholders of Siemens Limited will receive one share of Siemens Energy India Limited for every one share he ld in Siemens Limited. A Share Entitlement Report from an independent valuer – Ernst & Young – and a Fairness Opinion from a registered merchant banker – Axis Capital – were placed before the Audit Committee, Committee of Independent Directors and has been approved by the Board of Directors of Siemens Limited, on recommendation of the said Committees.
- The strategic rationale for the demerger are the following.
- The demerger will lead to the crea tion of two strong and independent listed entities.
- Siemens Limited would continue to be a leading technology-focused company in Industry, Infrastructure and Mobility while Siemens Energy India Limited will focus on being the most -valued energy technology company supporting customers in transitioning to a more sustainable world.
o Both entities will have sharper business focus – in other words, the proposed demerger will create two strong, independent companies, focusing on their core activities, portfolios and capital allocation.
o Both entities will have stronger market focus – as independent enti ties, they will be able to execute their own strategy, with a tailored go-to-market and operational approach to leverage the full potential of the Indian market.
o As two listed entities, Siemens Limited an d Siemens Energy India Limited will unlock shareholder value – the proposed demerger will unlock the value of the Energy business for the shareholders through an independent, market-driven valuation.
- We expect the entire process of demerger and listing to be completed in CY 2025. Next steps include regulatory filings and approvals, NCLT filings and approvals (including respective shareholders and creditors approvals for both entities, i.e.

Siemens Limited and Siemens Energy India Limited), ROC filing and listing of Siemens Energy India Limited on BSE Limited and National Stock Exchange of India Limited.
- Over the next few slides, I will touch upon the growth opportunities for the Energy Business.
- The continued high growth of the Indian economy will undoubtedly mean an increased demand for energy. The energy market in India is also boosted by policy reforms and investments in green growth.
 - The Government and the private se ctor prioritizing decarbonization and sustainability presents highly-
attractive growth opportunities for sustainable technology solutions.

- With its integrated portfolio of technology solutions, the Energy Business is well-positioned to take advantage of these opportunities.
- The Energy Business is thus well-poised for a growth trajectory supported by prudent CAPEX planning and successful acquisition of large projects.
- I will speak about these in detail in the next few slides.
- As I mentioned earlier, the Indian economy is expected to continue growing at a high pace. If it continues at this rate, India will soon be the third-largest economy at $5 trillion, from its current position of Number 5 in the world.
- The Government of India, taking cognizance of the increased energy demand resulting from this high rate of growth, has undertaken mega reforms in the form of the National Infrastructure Pipeline, Gati Shakti, Production-Linked Incentive Scheme, National Hydrogen Mission, COP 27 strategy and Transmission Plan 2030. All these measures will mean higher power generation and transmission capacity.
- In line with the fast-growing economy, the Energy Market in India is expected to grow at a CAGR of 9% till 2030. Generation capacity would almost double from the current 434 Gigawatt to 820 Gigawatt by 2030. Transmission would grow to 1,827 Giga-Volt Ampere (GVA) by 2026-27.
- These are opportunities for Siemens Energy India Limited.
- Siemens Energy India Limited will provide solutions across the entire energy value chain – from power and heat generation, transmission to storage through a portfolio that includes conventional and renewable energy technology such as gas and steam turbines, hybrid power plants operated with hydrogen as well as power generators and transformers.
- Customers for its comprehensive portfolio include transmission utilities, independent power producers, transmission system operators and industries.
- Its technology solutions include Grid technologies (66kV to 800 kV) with high voltage GIS and AIS, automation and digitalization solutions for transformation of industry, Gas services for gas turbines, project management for generation, transmission and industrial projects, high voltage power transformers, industrial steam turbines, modernization and upgradation of steam turbines and high voltage AC and DC substations.
- Thus, with its strong technology leadership and product portfolio aligned to the needs of customers, Siemens Energy India Limited would be perfectly posit ioned to take advantage of market opportunities and fuel growth.
- The new company’s efforts to take advantage of the opportunities provided by growing domestic and export markets will be further strengthened by capital investments. In November 2023, we announced plans to double the power transmission capacity from 15 GVA to 30 GVA with a CAPEX investment of Rs. 3,600 million over the next 2-3 years.
- As a separate listed legal entity, Siemens Energy India Ltd will have the freedom to align its investments with its growth plans.
Siemens Limited – Analysts Call – 14th May 2024 8 - In the first two quarters of FY 2024, the Energy Business has successfully acquired several marquee
projects. To name a few:
o It won an order from a leading oil exploration and production company to modernize and upgrade gas turbines.
o It is executing an EPC substation

construction project for a 400 KV gas insulated switchgear
for a leading power producer and for a 220 KV gas insulated switchgear for a leading oil company
o As part of an export order, it will be supplying a 400 KV gas insulated switchgear product for a power company outside India.
- The order book for the Energy Business as of March 31, 2024 stands at Rs.97.4 Billion.
- Coming to the major businesses that will remain a part of Siemens Limited – Digital Industries, Smart Infrastructure and Mobility.
- The Digital Industries Business focuses on consulting and supporting customers from the discrete and process industries in their digital transformation thereby enabling customers to be more resource efficient through increased flexibility and productivity while providing higher levels of quality. The Business has been growing at approximately 33% with an average EBITDA of approximately 12%.
- The Smart Infrastr ucture Business intelligently connects e nergy systems, buildings and industries enhancing the living and work conditions while significantly improving energy efficiency and sustainability. This Business has been growing at approximately 28% with an EBITDA of approximately 11%.
- The Mobility Business enables connectivity for road and rail and enables mobility operators to make their infrastructure intelligent and increase their value su stainably. This Busines s has been growing at approximately 33% with an EBITDA of approx. 7%, partly also due to the high investments that we are making in this Business.
- Digital Industries comprises market-leading business units that address customers' needs for software, automation and services. As India’s economy continues on its growth trajectory towards the next milestone of $5 trillion, the contribu tion of the manufacturing sector woul d also grow, so will demand for

technologies such as digital twins, industrial edge, 5G, smart manufacturing, etc. The Digital Industries Business of Siemens Limited has process automation solutions for process industries as well as factory automation for discrete industries. Digitalization makes up a significant component for both. For instance, digital CNC software that can help machine builders simulate and test process workflows in a completely virtual environment.

- With its portfolio and technology strengths, Digital Industries is uniquely positioned to drive the digital transformation of customers. A holistic "Digital First" approach can revolutionize the way we manufacture – optimizing ev ery phase of a product's lifecycle – from design to end-of-life. Technology to make this happen is already available and it was showcased at the recent Hannover Messe, the global fair focusing on industrial transformation.
- With its unique end-to-end portfolio, Siemens Limited's Digital Industries is capable of combining the digital and real worlds, and accelerating the digital transformation of customers.

 - We will continue to see growth in manufacturing driven by government investments, policy support such as PLI scheme, incentives and CAPEX investments by the private sector supported by the rising capacity utilization and improving balance sheets. Sectors like Metals, Chemical and Pharmaceuticals would contribute to the growing demand for automation projects.

- Coming to Smart Infrastructure, the Business supports the entire electrification process within an infrastructure project, be it malls, stadiums, airports , ports or factories. With its technologies, it is supporting the transition from fossil energy sources today to renewable energy sources and contributing to the growth of eMobility. Smart Infrastructure provides customers with a comprehensive end-to-end automation and digitalization portfolio from a single source – with products, systems, solutions, and services from point of power generation all the way to consumption.
- A significant contrib

utor to the demand for Smart Infrastructure solutions would be the rapid pace of India's urbanization – again this is happening in parallel to India's race to be the world's third-largest economy. Increasing investments are expected to flow in toward modernization of the power distribution networks and integration of renewables. Urban infrastructure growth is seen in the burgeoning commercial building sector, healthcare and in urban transportation.
- Government programs such as PLI are boosting investments into manufacturing. Data centers are expected to double in capacity in the next three years. Smart Infrastructure technologies are part of all these as well as in e-charging infrastructure, a crucial element supporting the increasing adoption of e-vehicles, both by public transportation authorities and consumers.
- The Company's Mobility Business has technology solutions such as rolling stock, rail automation, rail electrification, software, turnkey systems and related services. It has a constantly innovating portfolio that includes intelligent transpor t solutions. With a focus on enhancing passenger experience, guaranteed availability and sustai nable transportation, the Mobility Bu siness has been supporting the transformation of India's transportation sector.
- The capital outlay for Railways in this year's Union Budget was at Rs. 2.55 lakh crore, the highest so far, with investments being made in electrification and upgrading infrastructure such as freight and high traffic density corridors as well as port connectivity. The Government's PM Gati Shakti projects that are aimed at improving logistics efficiency and improving operations provide huge opportunities for the transportation solutions from Mobility – for instance, Metros, locomotives, trainsets, bogies, signaling and electrification.
- The Mobility Business also has digital products in its portfolio that have proven to be effective in making infrastructure intelligent.
- Around four years ago, Siemens globally had embarked on a strategy to move from an electrical and automation company to a technology company by combining the digital and real worlds. Many of our customers in India have evinced interest in partnering with Siemens, due to our unique strength and expertise in integrated IT and OT, in accelerating their digital transformation journey. A key driver for this is the sustainability targets that the customers have set out to achieve – tangible as resource and energy efficiency measures, among others.
- Siemens Xcelerator, launched by Siemens in India in 2022, has made rapid strides since its launch. Customers expect solutions to their real problems, and Siemens Xcelerator has proven to be an ideal

 solution as it provides repeatable answers to a recurring customer problem. As evidence of this success, we already have 108 digital use cases and are rapidly growing the number of reference cases across market verticals.

- A few of these successes include:

o A reputed educational institution was facing challenges of high electricity bills and maintenance costs, resulting in high operating expenditure. With a solution comprising Siemens' building management system and the Building X Operations Manager for efficient energy monitoring, it was able to reduce the number of unexpected breakdowns of equipment and also improve its carbon emissions.

o A reputed chain of hotels found a solution for lowering its energy consumption by optimizing its chiller plant operation, increasing uptime and identifying ineffici encies through real-time IOT

sensor data. The solutions used here were Building Services, Smart Building Assessment, Demand Flow, Asset and Maintenance Optimization.
- These are solutions that can be replicated and scaled up not only within the enterprise but also within the vertical and across verticals. What allows Siemens Xcelerator, an open digital business pl

atform, to
stand apart is that it allows customers to find solutions and partners to address their problems.
- Let me now hand over to Wolfgang to give an overview of the Financials of each of these businesses.
Mr. Wolfgang Wrumnig – Execut ive Director & Chief Financia l Officer, Siemens Limited:
- Thank you, Sunil! I start with the Energy Business. A very robust financial performance. All financial KPIs demonstrate a strong basis for success. Orders have been up in 2023 by 9% and looking at this year's performance, we started very strong into the new fiscal year. Q1 orders have been outstanding and our growth in Q2 of 12% just confirmed th e positive dynamic in this market and our capability to win orders.
- Year-to-date our order growth shows an impressive 34% increase versus the previous year. With regards to Revenue, we do see a very similar picture. Our backlog conversion and robust project execution results in Revenues of Rs. 27.7 billion in the first six month of this fiscal year, up 4% vs. the previous year. Last year we have seen a revenue growth of 29% and we continue this path in the current year. Not only did we grow Revenue, we did it with positive impact to our EBITDA.
- Last year, we finished with an EBITDA of 12.7%, an improvement of 80 bps. After a weaker Q1 we reconfirmed our aspirations of continuous improvements and finished the second quarter with an EBITDA margin of 15%, an increase by 240 bps vs. Q2 of the previous year.
- Moving on to the other businesses, Digital Industries, Smart Infrastructure and Mobility. All Businesses are doing well, despite a few challenges. In Digital Industries we still see desto cking effects after two years of high order volumes due to long lead-times and supply shortages.
- On a positive note, we do see sequential growth over the last three quarters. Revenue is growing from successful backlog conversion, resulting in operational EBITDA margin improvement. Q1 last year had an extraordinary foreign exchange gain. Next is Smart Infrastructure. Order growth supported by investments in infrastructure, buildings, and the energy transformation, resulted in significant revenue growth of 29% for the first six month.
Siemens Limited – Analysts Call – 14th May 2024 11 - Also, EBITDA margin went up to 15%, due to volu me increase and business mix. Finally, our Mobility
Business. The large locomotive order last year with over Rs. 250 Billion is impacting our order growth rate negatively. The market is intact, and we do see a lot of tendering going on.
- A larger order expected in Q2 slipped into H2. Our order backlog helps us to generate significant revenue growth. Last year at 53%, while in the first 6 month we have increase revenue year over year by 68%. And we do this with positive impact on our profitability. After Q2 we are at 7.6% EBITDA margin representing a 320 bps EBITDA margin improvement.
- Last but not least. On this slide you can see the KPIs of Siemens Limited pre-demerger and post-demerger, as well as the Siemens Energy financial KPIs post-demerger. Without going into details, I would like to point out a couple of things. Both entities will have a healthy backlog, almost Rs. 100 billion for Siemens Energy and over Rs. 370 Billion fo r the new Siemens.
- Both companies have been able to grow revenue significantly, Siemens Energy +13% in the last financial year, and the new Siemens north of 20%. Both companies are focused on profitable growth, confirmed by increased EBITDA margins last year and also this year. In summary, both companies are well prepared for their future after the de-merger. With this, I hand it back to Sunil.
Mr. Sunil Mathur – Managing Director & Chief Executive Officer, Siemens Limited:
- Thank you, Wolfgang!
- In closing, let me reiterate the key points:
o We believe the global economy is recovering and the Indian economy is robust. Our vertical markets are on a growth path in India with

large players making major investments.
o Our year end Order Income growth plans remain intact.
o All businesses have shown a robust gr owth in Revenue and Profitability.
o Siemens is investing – total CAPEX investment is expected to exceed Rs. 1,000 crore!
o The proposed demerger of the Energy Business is expected to be completed by CY 2025 and will create two strong, independent companies focusing on their core activities, portfolios and capital allocation.
o Both companies will be able to execute their own strategies with a tailored go-to-market and operational approach to leverage the full potential of the Indian and export markets
o Consequently the proposed demerger will unlock the value of both businesses for shareholders.
- Thank you, and we are now open for questions.
Ms. Ramya Rajagopalan – Head of Communications
- Mohit Kumar, I have unmuted you. You could unmute yourself and ask your question please.
Mr. Mohit Kumar – ICICI Securities
- Hi, good evening, and congratulations on a very good set of results. So, my first question is on the, you

mentioned that few of the large orders were deferred in this quarter. Is it fair to say that these orders were for locomotives and HVDC you are referring to, or does it pertains to something else?
 Mr. Sunil Mathur – Managing Director & Ch ief Executive Officer, Siemens Limited:
- So, no it pertains to something else. It does not pertain to locomotives or HVDC, there have been no tendering out for those products.
Mr. Mohit Kumar – ICICI Securities
- So, second can you throw some color on what got deferred in this quarter to H2?
Mr. Sunil Mathur – Managing Director & Ch ief Executive Officer, Siemens Limited
- Sorry, I didn't get the question.
Mr. Mohit Kumar – ICICI Securities
- Sir, the question is that you mentioned that some large orders got deferred to H2. Right. So, the question is which are the large orders, can you give some segmental color?
Mr. Sunil Mathur – Managing Director & Ch ief Executive Officer, Siemens Limited
- So, there are some orders in the energy area, there are some orders in the smart infrastructure and some orders in the mobility area.
Mr. Mohit Kumar – ICICI Securities
- Okay. Understood Sir. My second question is how do you see the inquiry for the Siemens Energy, especially given that we are seeing a large number of bidding which are happened in the transmission sector. And the related question is, are you interested in bidding for .....are you interested in supplying for HVDC projects?
Mr. Sunil Mathur – Managing Director & Ch ief Executive Officer, Siemens Limited
- So, you are right. We are seeing a very major increase in demand in the transmission sector and part of the announcement in CapEx that we made in November 2023 of 360 crores was towards to serving exactly that demand by adding capacities in power transformers. Yes, we are open also to bidding in HVDC.
Mr. Mohit Kumar – ICICI Securities
- And we expect this will materialize in this fisca l year, is that right?
Mr. Sunil Mathur – Managing Director & Ch ief Executive Officer, Siemens Limited
- What will materialize, sorry?

 Mr. Mohit Kumar – ICICI Securities
- Most of the projects were bid out for the private parties in FY24, but we haven't seen that translating into an order inflow for players like us. So, I am trying to say to see that most of this translating into an order inflow for the next 6 months. Is that a fair assumption?
Mr. Sunil Mathur – Managing Director & Ch ief Executive Officer, Siemens Limited
- As you rightly said a lot of it depends on how the customers, how quickly customers will start taking decisions. At this point in time we don't know whether these orders will co me in in this financial year or in the next. But suffice it to say that there - in the energy space there are transmission

orders overall,
the pipeline is good, we are following up and we are bidding for a lot of the pipeline over there. But finally depends on when the customers actually place orders.
Mr. Mohit Kumar – ICICI Securities
- Understood, thank you and best of luck, sir.
Mr. Sunil Mathur – Managing Director & Ch ief Executive Officer, Siemens Limited
- Thank you.
Ms. Ramya Rajagopalan – Head of Communications, Siemens Limited
- Thank you. Harshit Patel, I have unmuted you please go ahead and ask your question please. Harshit, you will have to unmute yourself and ask the question. Harshit, would you be able to ask your question, you are not audible if you are asking the question. Harshit, we will come back to you.
- Parikshit, I am unmuting you now please feel free to go ahead and ask your question please. Parikshit, are you able to unmute yourself and ask your question?
- Renu, would you be able to unmute yourself and ask your question, I have unmuted you from our end? Yes, Renu, please go ahead.
Ms. Renu Baid – IIFL Securities
- Yeah, am I audible and clear?
Ms. Ramya Rajagopalan – Head of Communications
- Yes, Renu, you are, please go ahead.
Ms. Renu Baid – IIFL Securities
 - Thank you for the opportunity, I have a few questions. First, on the performance if you look at the first
half of performance, can we highlight what was the impact of effects of commodity gains during the first half given that second quarter we have seen a br illiant profitability performan ce. Any adjustments there or it is pure operational in terms of performance and margins.
Mr. Wolfgang Wrumnig – Executive Director & Chief Financial Offi cer, Siemens Limited
- Maybe I can answer here, yes, there has been of course the positive and negative impacts through FX and commodity hedging so I mention it. So if I look at the EBITDA? with order margins we have if I look at the H1 certain 0.6% and if I exclude EBITDA FX and commodity hedging impact it will go up to 13.4.

If I look at Q2 numbers, 15% reporting in EBITDA? margin would be 15.4 excluding FX and commodities. So, we have 40 points in the quarter and 30 points in H1 of FX and commodities impact.
Ms. Renu Baid – IIFL Securities
- Got it. but bulk of it was essentially operational and mixed impact that we have seen through.
Mr. Wolfgang Wrumnig – Executive Director & Chief Financial Offi cer, Siemens Limited
- Bulk of improvement was coming from operational performance based on volume increase, based on mix of products and businesses and as Sunil mentioned also based on productivity measures we have implemented.
Ms. Renu Baid – IIFL Securities
- Surely. Second, if we look on the export part of our portfolio, traditionally bulk of most of Siemens exports typically tends to be housed in the energy business. In addition, we have seen with the recent announcements you have mentioned CapEx for metro projects where it will also be used for global export orders. So, is it possible to highlight that post this demerger what initiatives would Siemens Limited be taking to drive a much more broad based portfolio for the global markets ap art from mobility which we have highlighted. Any other key areas you think which have opportunities to scale up for global markets or global supply chains.
Mr. Sunil Mathur – Managing Director & Ch ief Executive Officer, Siemens Limited
- Absolutely, Renu, I mentioned about the metro already. Our bogie factory on the mobility side is also doing predominantly export business. So, mobility is definitely very much a part of the global supply chains of Siemens. On the smart infrastructure side as well, we have our factory in Goa which is largely catering to export demand there, vacuum interrupters and so on, we raised vacuum interrupters and so on. They are definitely serving to a very large extent the export market. The investment that we are doing right now that we h

ave announced today in the expansion of the facilities in Goa for GIS, one part of that is the Blue GIS and the driver for that is also export demand for Blue products globally driven by global customers' requirements for sustainable products. So, absolutely on the smart infrastructure side
 as well. On the energy and automation part of it as I mentioned over here the Goa business
electrification will be explored. We will be expanding there. On our product portfolio on the low voltage product portfolio C&S is already stepping up and doing substantial exports. We see that expanding in line with the projections that we made actually faster than the projections that we made when we acquired the company. So, absolutely smart infrastructure and mobility will definitely be very largely focussing also as part of the global supply chains for exports.
Ms. Renu Baid – IIFL Securities
- And related to this if we see in the last few quarters there has been a visible change from the commentary from the Group with respect to leveraging India as a manufacturing base. And we have also seen that translate in terms of CapEx and investments dedicated for certain exports market as well. So, strategically while domestic may continue to grow at its own pace but do you think exports as a portfolio can see material ramp up for global markets and has it seen that incremental focus from the Group and from the Indian entity.
Mr. Sunil Mathur – Managing Director & Ch ief Executive Officer, Siemens Limited
- Absolutely, Renu. These details that I just gave earlier is demonstrating very clearly the intent of the group of the parent to expand their manufacturing activi ty in India not only for India but also for global. So, there is very clearly a much larger appetite globally for manufacturing in India. I mean the 1000 crores that we have announced in terms of CapEx, this is probably the largest CapEx announcement that we had ever made since I have been around, and you have been around a long time as well.
Ms. Renu Baid – IIFL Securities
- Yes.
Mr. Sunil Mathur – Managing Director & Ch ief Executive Officer, Siemens Limited
- So, you haven't…both of us not heard numbers of this magnitude. That basically demonstrates the focus that the parent company has on using India as a base for their global network.
Ms. Renu Baid – IIFL Securities
- Sure. And secondly coming to the energy part of the business, two questions here. First is it possible to share the broad split of the energy business between grid equipment and solutions and power gen solutions either in terms of revenue or order backlog.
Mr. Sunil Mathur – Managing Director & Ch ief Executive Officer, Siemens Limited
- Not at this point in time, Renu, once we start doing the sub-segmental over there in the new company you will get that data. Let me put it this way transmission business is the major driver there. While there
 are upcoming technologies where business is also working on, but currently transmission is the major
driver of that business.
Ms. Renu Baid – IIFL Securities
- And second would be on the export portfolio within the energy traditionally has focused more on Middle East, Africa, South East Asian subcontinents. In the current context if we see grid equipment globally especially from Europe and US have seen massive shortages. So, is the India portfolio qualified for these developed economies and do we have the required PQs in terms of catering to these markets.

Mr. Sunil Mathur – Managing Director & Ch ief Executive Officer, Siemens Limited
- Absolutely, Renu. The intent is very clearly and that was part of the reason for the announcement of the transformer factory of the…. in November where essentially the intent is to use these factories also as part of the global supply chain of Siemens Energy . Already the energy b

usiness in India is already
exporting to multiple markets as you said, and the intent is to expand that also further in the transmission space. Primarily, because global? markets on transmission our capacity utilizations are already maxxed out and it makes sense for Siemens Energy at a global level to use India as a manufacturing base to serve their global requirements as well.
Ms. Renu Baid – IIFL Securities
- Got it, thank you very much and best wishes, sir.
Mr. Sunil Mathur – Managing Director & Ch ief Executive Officer, Siemens Limited
- Thank you.
Ms. Ramya Rajagopalan – Head of Communications, Siemens Limited
- Thank you, Renu. Harshit, would you like to try asking your question now by disabling your mic. Okay, we will go ahead with the next question from Charanji t. Charanjit, please go ahead and ask your question.
Mr. Charanjit Singh – DSP Investment Managers
- Hello, good evening, am I audible?
Mr. Sunil Mathur – Managing Director & Ch ief Executive Officer, Siemens Limited
- Yes, you are audible, please go ahead.

 Mr. Charanjit Singh – DSP Investment Managers
- Yes, sir. First is on the Siemens Energy portfolio itself, you just now touched upon there are certain further technologies which will get added which are maybe in the Siemens parent energy portfolio, if you can touch upon those technologies which can come into Siemens Energy. And when parent has to take a call in terms of which technologies get moved into this particular entity, either Siemens Energy or Siemens Limited, then how does that decision finally get taken. That's my first question, sir.
Mr. Sunil Mathur – Managing Director & Ch ief Executive Officer, Siemens Limited
- So, let me answer the second question first. Very clearly the energy business is driven by Siemens Energy AG, and the technology owner for the energy business is Siemens Energy AG, and therefore all the technologies in the energy space will be available to Siemens Energy India Limited here in India. Siemens AG which is the prime shareholder of Siemens Limited does not have any portfolio in the energy space and therefore there is no overlap and there is no decision let's say decision making confusion. Siemens Energy India Limited will bene fit from the technologies that Siemens Energy globally has, Siemens AG doesn't have any of those technologies. Which technologies will Siemens Energy India Limited focus on in th e future and what tech nologies are available to them, we will have to wait until the new company is created. The new board or the new management will then define their strategies moving forward and present it to the board and at the right time will make the disclosures to the markets as well.
Mr. Charanjit Singh – DSP Investment Managers
- Got it, sir. Sir, my second ques tion is especially on the mobility bu siness and in your interviews you have also talked about doubling down on the overall railways as a segment. If you can just give more clarity in terms of which parts of the value chain you are seeing more traction, is it propulsion, electrification, and any size to that overall opportunity which you would be keen to target and we have
seen our success in the 9000 horse power locomotive order. And there was another 12000 horse power locomotive order which could have been transitioned to maybe 9000 horse power. So, what's the update on that, if you can touch upon these aspects of the mobility business.
Mr. Sunil Mathur – Managing Director & Ch ief Executive Officer, Siemens Limited
- The opportunities in the, so there are two parts of the mobility business, one is with the railways and one is the metros. When I look at the Railways we are in the complete spectrum of what the railways requires as technologies starting with signalling technologies to electrification to the entire rolling stock, that means bogies, locomotives, Vande Bharat trains f

or example, etc. As the government comes out,
as the Railways come out with tenders in these areas we will definitely be participating in that space. On metros the fact that we are opening a factory right now basically demonstrates our view on the Indian market, but also the fact that we will use the fa ctory over here to start catering also to global demand. And the factory will be a part of the global network but will also cater to the Indian market here.
 As you know every single city in the country at some point in time will need urban transportation. Metros
not only one line but several lines will be required. We see a huge demand coming up in the future in the metro space. So, definitely that is the market that we see. So, I think we are looking at the entire spectrum of railways and metros in our mobility business here.
Mr. Charanjit Singh – DSP Investment Managers

- Sir, thanks for taking my question. That is all from my side, thank you.
Ms. Ramya Rajagopalan – Head of Communications, Siemens Limited
- Harshit, would you like to try again by unmuting yourself.
- Rahul, would you like to go ahead and ask your question please. Rahul Gazare, you have been unmuted, please feel free to ask your question.
Mr. Rahul Gajare – Haitong International Securities
- Good evening, and thanks for the opportunity. Are you able to hear me?
Mr. Sunil Mathur – Managing Director & Ch ief Executive Officer, Siemens Limited
- Yes, we are able to hear you, please go ahead.
Mr. Rahul Gajare – Haitong International Securities
- You are doing additional CapEx of about 500 crore rupees, taking the total CapEx to almost 1000 crore rupees. Can you talk about the peak revenue that this additional CapEx can potentially add to the company's existing revenue. And connected with the same question, I understand digital infra is largely catered through imports. Is there an y plan to do CapEx or have manu facturing capabilit ies in order to cater to the digital infra space? That's the first question.
Mr. Sunil Mathur – Managing Director & Ch ief Executive Officer, Siemens Limited
- I didn't understand the second question, can you repeat that.
Mr. Rahul Gajare – Haitong International Securities
- So, the second part of the first question is digital infra as a segment I understand is largely catered through imports.
Mr. Sunil Mathur – Managing Director & Ch ief Executive Officer, Siemens Limited
- Digital is not infrastructure, it is the digital industry's business which is the products business that supplies PLCs and technologies for process and discrete manufacturing.
 Mr. Rahul Gajare – Haitong International Securities
- Right. So, this is largely catered through imports. Is there any plan of localization in this particular segment also?
Mr. Sunil Mathur – Managing Director & Ch ief Executive Officer, Siemens Limited
- No current plans.
Mr. Rahul Gajare – Haitong International Securities
Okay. And the peak revenue that you could potentially do after this CapEx that you are doing.
Mr. Sunil Mathur – Managing Director & Ch ief Executive Officer, Siemens Limited
- I don't want to go out with numbers at this point in time but suffice to say that this means our hurdles, our investment hurdles in the Company and yeah, more than that I cannot say at this point in time.
Mr. Rahul Gajare – Haitong International Securities
- Sure. So, my second question is that certain companies have talked about heightened competition in certain areas. Can you talk about competitive intensit y that you have seen in general in your area of operations.
Mr. Sunil Mathur – Managing Director & Ch ief Executive Officer, Siemens Limited
- So, yes, as the market grows competition grows. And all our competitors are active, we are active as well and our intent is to continue being a market leader and all the p

roducts that we are supplying and all the services and solutions that we provide to our customers. So, yes, competitive activity has
substantially increased. But that's normal in a growing market.
Mr. Rahul Gajare – Haitong International Securities
- Right. Sir, this last bit is on the interest cost which was increased materially in this particular quarter. Given you have a very clean balance sheet in terms of debt, can you just talk about what is this interest cost which is sitting in the second quarter financials?
Mr. Sunil Mathur – Managing Director & Ch ief Executive Officer, Siemens Limited
- We don't have that data right now, we will send it to you subsequently.
Mr. Rahul Gajare – Haitong International Securities
- Sure, thank you very much.

 Ms. Ramya Rajagopalan – Head of Communications, Siemens Limited
- Thank you, Rahul. Aditya, you are ready to go next, please feel free to ask your question.
Mr. Aditya Mongia – Kotak Institutiona l Equities
- Thank you for the opportunity and congratulations to the entire team on such a strong result. The first question that I had was more on the employee cost kind of declining on a Y-o-Y basis, at least at a console level.
Mr. Sunil Mathur – Managing Director & Chief Executive Officer, Siemens Limited
- Sorry?
Mr. Aditya Mongia – Kotak Institutiona l Equities
- It seems as if the employee expense for the quarter is down on a Y-o-Y basis. I wanted to check if there is an element of productivity gains sitting over there that can be sustained. Or, should one think through that line item?
Mr. Sunil Mathur – Managing Director & Chief Executive Officer, Siemens Limited
- I mean, again, this is specific. There's definitely a productivity gain, but if you want specific answer, we

can send that to you later.
Mr. Aditya Mongia – Kotak Institutiona l Equities
- Understood. The second question that I had was more on the weakness that one is seeing in the digital industries orders. It's been, I think, now two quarters, and now our revenue line is higher and our order inflows are lower for the first half. Does that have implications for margins, which have been fairly strong so far in that segment, to start kind of normalizing down? Or do you think that this is more of kind of a cyclical effect here and there, and margins can actually be sustained at the current levels incrementally as well?
Mr. Sunil Mathur – Managing Director & Chief Executive Officer, Siemens Limited
- So as Wolfgang mentioned to you, the main reason for the slowdown in the industrial automation business is primarily destocking, and this is resulting basically in channel partners running down their inventories. And until that point in time, there is a slowdown in the ordering. You've also seen, as you rightly mentioned, in the last two quarters, while there has been a slowdo wn, the profitability has been robust. And it is our intent to keep it that way.
Mr. Wolfgang Wrumnig – Execut ive Director & Chief Financia l Officer, Siemens Limited
- We still have a healthy backlog, and we expect the revenue development to continue.
 Mr. Aditya Mongia – Kotak Institutiona l Equities
- Sure. One more question from my side. As we think through the demerger happening over time, you will eventually have two different sets of promoters, Siemens AG and Siemens Energy . Is there any thought process being shared on wh ether the related party transactions, specifically royalty, will start changing in any manner? Or should we expect these RPT terms or royalty terms to be quite consistent in spite of there being two different set of promoters incrementally?
Mr. Sunil Mathur – Managing Director & Chief Executive Officer, Siemens Limited
- I think you can expect consistency.
Mr. Aditya Mongia – Kotak Institutiona l Equities
- Sure. Thanks a lot for the colour. Tho

se are my questions. Yeah, thank you.
Ms. Ramya Rajagopalan – Head of Communications, Siemens Limited
- Parikshit, you can go ahead and ask your next question, please.
- We'll go to the next speaker. Ravi, would you like to unmute yourself and ask a question, please?
Mr. Ravi Swaminathan – Avendus Spark
- Congrats on a good set of numbers. My first question is to get a sense on the business momentum at overall Company level that you are seeing. Just wanted to get a sense on how the enquiry pipeline is and how the bid pipelines are for you at a overall Company level. Are you seeing an acceleration in terms of demand or compared to, say, previous year or if you compare previous year with the previous year over that, are you seeing it moderating a bit from the high base? How the enquiry pipeline is panning out? If you can give your thought process across various categories like government, private, sub segments like say data centres, electronics and the various other categories, if you can talk about even the traditional sectors like steel, cement.
Mr. Sunil Mathur – Managing Director & Chief Executive Officer, Siemens Limited
- Okay. So, overall the enquiry pipeline is robust. Has it gone up over the prior year? I would not say so. Is it at the same high level as in the prior year? Definitely. In some parts of our business it has gone up. In terms of the pipeline there for example, in our energy transmission business, the pipeline is very, very strong. It has increased, demand has increased. In our e-vehicle business, it is going up, it has increased over there. In our electrification business, in smart infrastructure, there has been an increase. So overall, yes. Government spending in CapEx has definitely helped. That has been the driver. But private spending has also happened. As I mentio ned earlier, data centres, pharma, chemicals, healthcare, all of these areas are looking for CapExt spending. Electronics areas, these are all the new areas, batteries, pipelines are definitely increasing over there. So I think overall, I would say, I mean, if
 I look at it at a Company level, I think overall the pipelines are robust. Some spikes in some parts of the
business, not too much of a slowdown. Again, on the digital industries part that we talked about earlier on, I don't see this as a slowing down of the demand. The demand in the market is there. It is just a destocking that is happening at channel partner levels. So overall, I think it's robust and we've got a good visibility for the future, which has encouraged us to start looking at CapEx measures.
Mr. Ravi Swaminathan – Avendus Spark
- Okay. Is there a number that you can put to this? Say for instance, last year, FY23 over 22, the pipeline would have grown at probably 15% or 20%. This year it would have grown at 15%. Is there a number like that that you can share so that we will get a perspective?
Mr. Sunil Mathur – Managing Director & Chief Executive Officer, Siemens Limited
- No, it's difficult to give that number because I'd be giving the average temperature in a hospital sort of thing because there's nothing in comparison, nothing to compare my low voltage business with my transmission business or my mobility business with my smart infrastructure business. So it varies from, as you rightly mentioned, government business to private business, sector by sector as well.
Mr. Ravi Swaminathan – Avendus Spark
- Understood. Thanks a lot, sir.

Ms. Ramya Rajagopalan – Head of Communications, Siemens Limited
- Thank you, Ravi. Nidhi, you can go ahead and unmute yourself and ask you question, please.
Ms. Nidhi Shah – ICICI Securities
- Thank you so much for taking my questions. Firstl y, I would like to congratulate you on an inordinate set of results. I had a question on the other income. It seems to be two times out of the previous quarter. Is there any specific reason w

hy that is there? That is my first question. Second would be the current orders that have come in. Would you be able to give any colour on whether these orders are short cycle,
long cycle orders? If there is a split that you could possibly give? And the third question is that we've seen this immense profitability this quarter. Is it something that would be sustainable long term or even for the next one or two quarters to come, or is this something that was, say, like a derivation of lumpy revenues?
Mr. Sunil Mathur – Managing Director & Chief Executive Officer, Siemens Limited
- So Wolfgang, over to you.
Mr. Wolfgang Wrumnig – Execut ive Director & Chief Financia l Officer, Siemens Limited
Siemens Limited – Analysts Call – 14th May 2024 23 - Yeah, okay. So on your first question regarding other income, there are two topics we can mention.
One is the gain on sale of properties in this quarter for within Siemens Limited and the second topic is the dividend payment of our subsidiaries. We have booked this under other income.
Ms. Nidhi Shah – ICICI Securities
- Okay.
Mr. Sunil Mathur – Managing Director & Chief Executive Officer, Siemens Limited
- Second question is the profit sustainable? Want to talk about that?
Mr. Wolfgang Wrumnig – Execut ive Director & Chief Financia l Officer, Siemens Limited
- You know, at the end of the day, you have seen over the last couple of quarters that we have focused on improving our profitability and we will continue to do so. As I mentioned, there are, of course, different factors impacting the profitability. It's one hand the volume growth and the business mix, and our focus is also on improving profitability by focusing on productivity measures. So we will continue to do so, and we expect that this will have impact on our margins going forward.
Ms. Nidhi Shah – ICICI Securities
- Alright.
Mr. Sunil Mathur – Managing Director & Chief Executive Officer, Siemens Limited
- On the order mix, again, it's a mixture of both short cycle and long cycle. It's a mixture also of government and private. So I think it's a good mix all round. We've seen a good growth on the private ordering and we've seen an equally good growth on the government ordering. There have been, as we mentioned, some deferrals of orders or spill overs from one quarter to the other. But I think that is pretty natural. That’s it.
Ms. Nidhi Shah – ICICI Securities
- All right. Thank you so much.
Ms. Ramya Rajagopalan – Head of Communications, Siemens Limited
- Thank you. Parikshit is unable to join via audio. He sent us questions on WhatsApp. I'm reading it aloud. Two questions, and then we can answer. Parikshit, these are your questions. Question number one is, how will energy transition, clean energy like hydrogen battery storage, play out between two companies? That's question number one.
Mr. Sunil Mathur – Managing Director & Chief Executive Officer, Siemens Limited
Siemens Limited – Analysts Call – 14th May 2024 24 - So, I mean, this is, as you're aware, Siemens Energy Global is virtually the only integrated energy
company in the world. And they have all these technologies with them. And they and the new management and Board of Siemens Energy India Limited will, at the right time, re view how big the market here is, what the right time to invest, and technology will then be available to Siemens Energy India Limited at the right point in time.
Ms. Ramya Rajagopalan – Head of Communications, Siemens Limited
- Second question is on mobility. On locomotives order, has the work started and revenue started occurring?
Mr. Sunil Mathur – Managing Director & Chief Executive Officer, Siemens Limited
- So, yes, work has started, very much started on the project overall. Revenue has started being booked. As I mentioned in one of my earlier meetings, this is a PoC project. And therefore, as costs get incurred, the revenue recognition is done according

ly. So the answer to your question is yes, revenue is being
recognized on a continuous basis.
Ms. Ramya Rajagopalan – Head of Communications, Siemens Limited
- Okay. We've also got the question from Harshit, who is unable to read out his question, on WhatsApp. So I'm reading that out to you. That's on HVDC. There are three, four projects on the horizon in India. Are we geared up in terms of manufacturing capacities for converter stations? What is our localized content in an HVDC project vis-à-vis imported content from or global factories?

Mr. Sunil Mathur – Managing Director & Chief Executive Officer, Siemens Limited
- So a lot of it depends on what technology of HVDC is being requested for. And we look at all the HVDC projects, we examine them from a technology perspective, we examine them from a realization perspective. But we also need to acknowledge the HVDC market globally is booming. And therefore, we have got to look at it and along with the parent company, Siemens Energy AG, on whom we are dependent for technology, and for some products as well, we've got to work together with them to see where the priority lie in terms of the bidding proce ss. How realistic our orders over here in actually materializing in the short term versus the realization at a global level? So there are a lot of factors that play into HVDC projects. We are geared to do them, but we take them on a very selective basis, taking into account the technologies, the customer, the payment terms, the availability of resources, engineering resources, etc. We are building up resources here in the country on the HVDC side in particular as well, in terms of technologies.
Ms. Ramya Rajagopalan – Head of Communications, Siemens Limited
- That answers Harshit's question. We'll go to our next question from Mohit. Mohit, you can unmute yourself and ask your question please.
Siemens Limited – Analysts Call – 14th May 2024 25 Mr. Mohit Kumar – ICICI Securities
- Thanks for the opportunity once again. My first question is, you announced the capacity expansion for medium voltage GIS. Is it fair to say that medium voltage GIS use case is primarily for renewables? And is it possible define the market size for this product in India and globally?
Mr. Sunil Mathur – Managing Director & Chief Executive Officer, Siemens Limited
- So this GIS factory is not only for GIS, but it's also for our end use. For the GIS factory in particular yes, it is primarily for the Indian market. But as I mentioned, as we develop components for Blue GIS, these will be then supplied as part of th e global supply chain in to global customers, or Siemens globally, who will use them in the gl obal markets. Right now, the Blue GIS is not really affo rdable at the Indian market. Over a period of time, we expect these prices to come to a level where Indian customers will afford them. But until that time, we will develop them for the global market. The size of the opportunity of the transmission market and distribution market, you are well aware of, we put it on the transmission side, 1800 GVA over there. On the distribution side, it is effectively every discom in the country is going to need it. So the size of the market is huge for GIS in totality. For Blue GIS, I'm a little bit more conservative.
Mr. Mohit Kumar – ICICI Securities
- My second question is on the block signalling opportunity from Indian railways. We expect this opportunity to accelerate over next twelve months. Given the government thrust on safety and speed, is it also right to say that we are one of the few who have the complete technology?
Mr. Sunil Mathur – Managing Director & Chief Executive Officer, Siemens Limited
- For what were you saying? What was the first part, sorry?
Mr. Mohit Kumar – ICICI Securities
- Block signalling opportunity.
Mr. Sunil Mathur – Managing Director & Chief Executive Officer, Siemens Limited
- So let me put it this way. We do hav

e the complete integrated port folio for signalling, right? And this goes across the entire value chain on the signalling part. We do have it and we will offer it to the Indian Railways as and when tenders come. We are already bidding for many tenders on the signalling side. And it's not only to the Indian Railways, but also for metro projects.
Mr. Mohit Kumar – ICICI Securities
- Understood sir. Thank you and all the best.

Siemens Limited – Analysts Call – 14th May 2024 26 Ms. Ramya Rajagopalan – Head of Communications, Siemens Limited
- Jonas Bhutta, you can ask your next question. You can unmute yourself and go ahead, please.
Mr. Jonas Bhutta – Aditya Birla Capital
- Thanks a lot and congratulations sir, on a phenomenal set of results. Sir, three quick questions. Firstly, on C&S, it would be really great if you can highlight what we've done that in such a short period of time we've been able to scale up margins from single digits to now almost reaching mid-teens. And does this margin profile at an EBITDA level of almost 18-19% look sustainable to you given that exports have further room to grow? And just a joint to it, though, we've seen some bit of sales growth slowdown in the first half, as in we've still grow n, but it's been around 8% in C&S versus the 20% that we were clocking for last four to six quarters. That's the first question.
Mr. Sunil Mathur – Managing Director & Chief Executive Officer, Siemens Limited
- So in terms of the growth, I'll answer the growth first and then maybe hand over to Wolfgang on the profitability. Th e growth that you see of 8% is strictly speak ing, not really comparab le to last year. Last year there were large order that we had received. If we take out that one large project that we had received in C&S, the growth would be more in the range of around 18%. So C&S is definitely growing.
Our footprint, our export footprint is growing substantially as planned, actually ahead of plans as well. We are continuing to address new markets. We're continuing to get depth into additional global markets as well in the identified countries that we had done at the time of the acquisition. So I think the growth story is definitely good. The margins, as you say, are robust as well. Wolfgang, do you want to comment

a little bit on that?
Mr. Wolfgang Wrumnig – Execut ive Director & Chief Financia l Officer, Siemens Limited
- I believe in C&S Electric, we have done a lot to improve the competitiveness of the Company, which at the end of the day resulted in the mid teen margin corridor. And so we will continue to focus on profitability of course driven by a strong re venue growth. Yes, yo u said it's slowing down a little bit, but we will continue to grow going forward, expanding also in the global market. So I believe the marching of mid teen? is at a reasonable level.
Mr. Jonas Bhutta – Aditya Birla Capital
- Understood. So my second question was to understand this one business of industrial drives, LV and MV drives. So, how has that business performed for you in the recent past and what are the localization levels in that business? Is it as large as your maybe LV motor business, the outgoing LV motor business? If you can talk about the industry dynamics there, what is our market positioning, etc. So on the industrial drives that will be helpful.

 Mr. Sunil Mathur – Managing Director & Chief Executive Officer, Siemens Limited
- Are you talking about the industrial drives or are you talking about the low voltage motors?
Mr. Jonas Bhutta – Aditya Birla Capital
- Sir, the industrial drives, the LV MV drives, sir.
Mr. Sunil Mathur – Managing Director & Chief Executive Officer, Siemens Limited
- Yeah. So the industrial drives is a part of the motion control business that we have. That business is doing well. Industry is growing. Of course, they are partly also impacted

through the destocking story
over there. But the demand is robust. We see that business growing. It may take some time before it completely bounces back from the destocking scenario. Our projection is in the October-December quarter. They should start bouncing back there. But the demand in the market is pretty robust.
Mr. Jonas Bhutta – Aditya Birla Capital
- And, is it fair to say that the localization levels here are similar to that of PLC or they are at least slightly better in terms of localization?
Mr. Sunil Mathur – Managing Director & Chief Executive Officer, Siemens Limited
- So PLC we have no localization.
Mr. Jonas Bhutta – Aditya Birla Capital
- Exactly.
Mr. Sunil Mathur – Managing Director & Chief Executive Officer, Siemens Limited
- So it's all imported in terms of the PLC. On the industrial drive, we have a mix. Some are imported, some are outsourced here to local suppliers.
Mr. Jonas Bhutta – Aditya Birla Capital
- Understood. And just a tied in question, sir. I was just trying to understand or better appreciate what's happening with the digital industries margins. So one hand, we've been talking of destocking and it's reflective in our both order inflows and sales growth, and was partly reflective in margins also, if we see the second half margins of last year. But then in the last two quarters, again, 16% this time around and 12.7 in the first quarter. For a business that is traded in nature, where there's a lot of imports, where there are only trading margins with hardly any value at margins, what brings in th is sort of volatility in margins, particularly on the upside, sir? If you can help us understand, it will be great. And that's my final question. Thank you.
 Mr. Wolfgang Wrumnig – Execut ive Director & Chief Financia l Officer, Siemens Limited
- As I mentioned in my presentation, there has been some major impact from FX and commodity hedging in the DI business. Last year saw significant positive impact on margin, which we didn't see this first half of the year. And on the other hand, we have a robust service business, which is value add and also supporting the development of our margin quality.
Mr. Jonas Bhutta – Aditya Birla Capital
- So, we had an FX loss this half versus FX gain last year?
Mr. Wolfgang Wrumnig – Execut ive Director & Chief Financia l Officer, Siemens Limited
- Last year we had a significant gain and this year, it is much less.
Mr. Jonas Bhutta – Aditya Birla Capital
- Understood. Got it. Thank you and all the best.
Ms. Ramya Rajagopalan – Head of Communications, Siemens Limited
- Thank you. Given that we are running out of time completely, we will take one last question, and that's from Srinidhi. Please go ahead, Srinidhi.
Mr. Shrinidhi Karlekar – HSBC
- Thank you for the opportunity and congratulations on great set of numbers. Sir, if I look at mobility business, it's likely to scale up significantly from here onwards. But if I look at the margin profile of this business, not only it has been volatile, it has been a lot lower than th e portfolio margin for Siemens. So would it be possible to share some colour on the likely trajectory of this business as the scale up of this business happens? And what I'm really looking at is, are double digit margins are possible as revenue

ramp up happens?
Mr. Sunil Mathur – Managing Director & Chief Executive Officer, Siemens Limited
- So traditionally, and this business until about two or three years ago, was in double digit margins while we were concentrating on electrification and signalling. As the market became more attractive on the rolling stock, we decided to invest in rolling stock as well with the reopening of the bog ie factory, with expansion of Nasik, and with the metro project that we've just announced. Those are heavy investments that have gone in to the business which have naturally had impacts on t

he profitab ility. They will continue
to have impacts on the prof itability for the next co uple of years as we continue to invest in these projects, land, building machineries and so on. However, we do expect, as the volumes start coming up, the margins will start improv ing as well. And I expect in a couple of years we will slowly get up to the same levels that we were prior. But of course, a lot of it first depends on our...we've got to build the factories,
we got to fill the factorie s, and that's when the ma rgins will start growing up.
Mr. Shrinidhi Karlekar – HSBC
- Right. So one more if I may. Sir it is heartening to see capacity expansion on electrification as well as mobility segment. But sir, it seems like a lot of these capacities are coming on stream two to three years down the line and you're operating at almost 100% capacity utilization in all these prod uct categories. So wondering, will it constraint in order taking as well as revenue execution for Siemens over next couple of years particularly?
Mr. Sunil Mathur – Managing Director & Chief Executive Officer, Siemens Limited
- No, we are not. We haven't waited until we have reached 100% capacity to start thinking about adding capacities. So we've got capacities that will beat our requirements for until the new capacities come into place. We're betting on the fact that the economy will continue to grow, and grow robustly, and based on that we are adding capacities. But it doesn't mean that we are at overcapacities right now.
Mr. Shrinidhi Karlekar – HSBC
- Yeah, thanks for answering my questions and all the very best.
Mr. Sunil Mathur – Managing Director & Chief Executive Officer, Siemens Limited
- Thank you very much.
Mr. Venkatesh S – Head of Inve stor Relations, Siemens Limited
- Thank you very much. With that, we close this call. Thank you very much for joining us and for your insightful questions. In case there are few more queries which we could not answer, please get back to us and I'll try to address it as best as I can. Thank you very much once again.
Mr. Sunil Mathur – Managing Director & Chief Executive Officer, Siemens Limited
- Thank you very much.
Mr. Wolfgang Wrumnig – Execut ive Director & Chief Financia l Officer, Siemens Limited
- Thank you.
End of Transcript

Call: Dec 2024

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Siemens Limited
Investor and Analyst Call
Q4 FY 2024

10.30 am (IST) to 12.00 noon (IST)
20th December 2024

Management:
■ Mr. Sunil Mathur – Managing Director and Chief Executive Officer, Siemens Limited
■ Mr. Wolfgang Wrumnig – Executive Director and Chief Financial Officer, Siemens Limited
■ Ms Radhika Arora – Head, Investor Relations, Siemens Limited

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- Ms. Radhika Arora – Head, Investor Relations, Siemens Limited:
- Good morning, everyone. And welcome to Siemens Limited Q4 FY 24 analyst and investor call. I'm Radhika Arora and lead the investor relations for Siemens limited. I hope you all are in good health and would have seen the Quarter 4 results that were announced late last month.
- Before we start this call, let me give you a few instructions about the technology that we are using here. We are using Microsoft Teams platform for the meeting. All of you are on mute and the camera has been disabled. The meeting will start with a presentation by the management team, followed by Q&A. Anyone who wishes to ask a question should use the raise hand option and we will enable the microphone for the person in that order. After enabling the microphone at our end, the speaker must also enable it on their device and then start with a question.
- In the interest of time, each one of you is requested to limit the question to maximum 2. After the question is over, the speaker's microphone will be disabled.
- Moving on to the presenters on the call today, we have with us Mr. Sunil Mathur, Managing Director, Managing Director and Chief Executive Officer and Mr. Wolfgang Wrumnig, Executive Director and Chief Financial Officer of Siemens Limited from the management team. They would give you an operational and financial overview of the company's performance, post which we will move to the Q&A.
- Before I hand over to Sunil, please note that we take as having read the Safe Harbor statement that you can see in the presentation and also on the slide. With that, over to you, Sunil.
- Mr. Sunil Mathur – Managing Director and Chief Executive Officer, Siemens Limited:
- Thank you very much, Radhika and very warm welcome to all of you to our Analyst Call. Maybe I just start with an overview and say at the outset that we believe that we have delivered double digit growth as we've been talking about both on revenues as well as on the profits in the last four years post COVID. I'm also convinced that we have the right technology coming out of our strategy for digitalization and Siemens Xcelerator. We also have the right strategy, which is connecting the real and the digital worlds to transform the everyday for our customers. And we also have a strategy of being a One Tech company.
In other words, combining the strengths that we have across all our segments here in the company to deliver combined solutions that will really make an impact to the customer. And finally, I think we've demonstrated over a period of time that we've got robust execution and we are pretty consistent in the execution of our strategy as well as all the projects that we are undertaking.
- Now, over the next couple of minutes, I will very quickly run you through an overview of what we are doing on the business in each of our businesses, give you an overview of what we are doing there. Maybe start off first with a little bit of an overview on how we see the economy and then I'll run through this very quickly, the segment wise information and then hand over to Wolfgang to deep dive into the financials, because I believe that is what would really interest you. And then I do a quick wrap up.

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- We aim to do this very quickly. You have the slides already uploaded so you have the opportunity to look through them already. And our intent today is really to answer as many questions as we can that are on your mind.
- Just starting with the economy story. Government spending in infrastructure has continued

. It slowed down to
be honest in H1 for various reasons that are well known. We expected to pick up in H2. It is slow right now to pick up but we expect this to gather pace starting January onwards as well.
Consumption – first signs and very, very first signs a month or two of good indicators in terms of an uptick in the consumption. Private sector CapEx is happening, but mainly in the new age technology: semiconductors,

batteries, solar photovoltaic, e-vehicles and so on. On the traditional verticals, it is slow. It still continues to be slow. Some are doing better than others, but private sector CapEx has not really picked up yet to the extent that we would have liked it to.
- On the energy side, we see a huge demand and this is really booming in terms of demand for energy transmission and energy efficiency solutions as well. So it's a little bit of a mixed picture right now.
- On the verticals, as we said, overall a lot of the verticals seem to be investing. Some of them are consolidating and then investing. Some of the verticals are flattish. I think the metals is known to everybody. Due to the dumping that is happening, there has been a delay in investment by local steel manufacturers. I think this is a stage right now of wait and watch. We'll have to wait and see what happens over here, but overall I think we do see an upward trend in the CapEx. Good announcements have been made but slow in the tendering process, let me put it that way. Some of them, however, are doing well – power utilities, data centres, commercial buildings, pharma are ordering pretty well; chemicals as well to some extent. But in the other verticals it is basically slow in terms of the ordering right now, although announcements have been made and we know that there are clear intents in place.
- Now when I move to the individual businesses that we have, let me start with our Digital Industries business. I've outlined at the top over there the four sub segments that we have, also indicating some of the products and solutions that we offer over there. This segment or this business, Digital Industries, is really being driven through the increased CapEx in electronics and chemicals, pharma and food and beverage, all of which have already outlined clear investment targets. In electronics, for example, we see real traction happening in the semiconductor and battery space and e-vehicle space. Photovoltaics is another part manufacturing where automation, motion control are all being used. So those are real areas that we do see traction in. Pharma is doing pretty well already, food & beverage is a little bit slow right now, but we definitely see opportunities in these areas here. Now maybe just to outline briefly some examples. For example, for a leading metal producer, we supply the variable frequency drives giving them 20% energy savings. This is really not a one off. These are examples that can be scaled.
- Energy efficiency is becoming a major driver for investments in CapEx by many, many industries, driven by their own targets of sustainability. But also driven by the need to save costs and we see the example that I put over here spreading not only to one metal producer but running across industries as well, as more and more companies move out and start looking at ways to save energy and meet their sustainability target.

- We had another very interesting success with a pharma and chemicals company that had the challenge where they were looking at large amounts of time in recording of the batch production data of drugs. Now, this is very critical. You need to be able to trace back all the data to every batch of a drug that is manufactured and this is something that requires a lot of time and requires a lot of effort in the production process, and more importantly, sometimes slows down the actual production. Through the technologies that we were able to bring in we were able to convert this into a completely

paperless operation using our DCS solutions and our
manufacturing execution system. Again, this is something that saves time, improves the throughput of drugs, creates more transparency in the entire production process, which is required by the FDA, which is required by all the regulatory authorities as well. And this is something that can be scaled to a lot of other pharma and chemical companies.
- Moving on to the Smart Infrastructure business. Here again. This is mainly electricals and building business including our e-mobility business as well. Here we see data centres, commercial buildings really growing. A large demand coming in for it. Steel and cement are definitely growth areas. As the economy grows, utilities under the RDSS scheme as well are beginning to order and we see here very clearly an uptick in demand for this business coming primarily out of the electrification and automation, electrical products in building segments. Of course, the e-mobility business is doing well as well, since we acquired the Mass-Tech company, it is really picked up in volumes as well over there. Now just to give you some examples of the kind of work we are doing over here. For some real estate customer, we've been able to bring in building management solutions for them for their high-rise commercial areas. It brings in security as well. Saves them energy. We are able to help them track energy and utility, other utilities there and monitor them in real life. So it brings in the complete BMS solutions as well as fire safety and security. On the other hand, to the DISCOM in Gujarat, we've been able to supply them RMUs which increase their efficiencies as well. Another increasing demand for this across DISCOMs in the country.
- Moving on to the Mobility space, this is a business where we have been classically for sometime leaders in the electrification and signalling area and this is something that we have now expanded with our various investments. In the rolling stock, you are aware of the locomotive project which is which is on track. Right now, as you are aware, we will be delivering 1,200 locomotives over a period of 11 years. The first one of them gets delivered by the end of next year. And then they will be subsequently delivered until over a period of 11 years, with a maintenance period of 35 years thereafter. So this project is on track. And we are expanding into the metro space. We already announced an investment over there. We are already into bogies and traction motors. So you see this is an area of growth. Very clearly, electrification is continuing in the country. Signalling is with over 3,000 stations will need the TCAS systems to be installed and we are looking at that as well and very much involved in that technology as we are in the Vande Bharat trains with train sets and locomotives and bogies as well.

- So these are areas where we are very much present and will continue to be active in some examples here as well. Propulsion systems for 6000HP as well, we are delivering. We got a large order for the metro in Bangalore where we were in a consortium with RVNL to electrify 58 kilometers of the outer ring circle in Bangalore, we were able to introduce a complete scanner system and auxiliary substation works as part of the electrification work that we do at the at the Bangalore Metro.

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- Energy business continues to go strong. We've got the complete suite of offerings over there ranging from generation to transmission. In this business, as you are all aware, the transmission business is booming, not only in India but globally and we are participating and supporting the parent company there as well with exports and transmission. Our factories are full. On the transmission side, HVDC very clearly will be a growth driver here as the country moves towards renewable energy expansions. HVDC, transmission and grid stability will definitely be areas that the government is looking at. We ar

e already seeing a boom in this
business, mainly in the transmission. On the generation side, we are seeing a lot of activity around waste heat recovery in cement, in fertilizers, in chemical plants. And this is something that we are at the forefront of as well in this business.
- Some projects that that we won – a STATCOM order that we have got to bring grid stability resulting from the renewable energy integration there. TBCB player – we were able to win an order for the largest 765 KV substation business, by supplying them a transformer and these are kind of businesses, the STATCOMs are coming in fast and furious particularly with the RE integration. There will be a greater need for STATCOMs in the country for HVDC projects as well.
- I've been talking about the last two years about Siemens Xcelerator, our platform which combines the real and the digital together. It is already gaining traction and is supporting our strategy of being a One Tech company. This is an open platform, which is, as mentioned, they're interoperable, flexible, open, provide solutions as a service. Most importantly, cyber security is, particularly in the OT space, becoming increasingly critical. We are working here with an ecosystem of partners, developers, together with our customers as well. And this is not something where we only bring in our own products and solutions, but we work in an ecosystem to collectively find solutions for customers that will bring value them in terms of productivity, resource efficiency, energy efficiency, speed of manufacturing and enabled them also to scale up. Currently, we are working in four verticals there, but this is by no means restricted only to the four verticals. We will expand this to other verticals in the food and beverage, pharma, chemical areas as well. Now, two years ago, when we launched this, we had 125 individual cases where we were able to bring value to our customers. In the meantime, we've just taken a couple of these use cases and have been able to already win 200 references across these verticals across customers, working not only with ourselves, but we are increasing the number of ecosystem partners that we are working with.
- As I said, this is completely in line with our strategy of being a One Tech company where we combine the products and solutions that we have in our Digital Industries business with our Smart Infrastructure business to try and see how together we can combine this to answer real issues for our customers. And this is a different approach from going out and saying we've got certain products and certain solutions, and trying to sell only that. This is a more ‘customer in’ process where we go out and try and answer real challenges that our customers are facing. For example, a leading metals company had an increase in cyberattack vulnerability due to higher digitalization and remote working that they had introduced in their company. The risk for them was they would lose sensitive data on the on the shop floor, machine data on the shop floor. So we were able to provide cybersecurity consulting offering to them with our products and also bring in software that brought the entire consulting, product, solutions, all of it together.

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- In the meantime, we now have over 24 reference cases in this area and we are able to scale this up not only in the metals business, but also to other verticals, in the company. Leading hospitality chain, for example, had a very high electricity consumption and this is known – roughly 40% of the fixed costs of hospitality, of hotels, comes from energy cost and this results also in higher CO2 emissions. Here we were able to bring them an average energy saving of around 13% saving them substantial CO2 emissions and we've been able to get out of this roughly 90 reference cases where we are able to also scale this up not only to hotel chains, but to malls, to stadiums, to schools, and so on all of which energy ef

ficiencies is a huge benefit. In an FMCG
company, they had the challenge of moisture content in their final product and this is where they wanted to monitor and reduce the moisture content in their product. Here again we were able to introduce science-based digital twin technologies on the Siemens Industrial Edge platform and help them to track this and effectively bring in energy savings, but also to control the moisture content of their product. Now this is the first of its kind and we have the opportunity to scale this across other food and businesses as well. And this is really the business model that we have. We go in with one use case pilot it with our consulting, with our products, with our solutions with ecosystem partners working together with the customer, implementing it in one customer and then we are able to scale that across more customers in the same vertical and I believe across multiple customers across verticals.

- A short update on the demerger of the Siemens Energy business. You're aware that we recently got shareholder and creditor approval. This process is on track and we hope to complete the demerger and the listing in the calendar year 2025. With that, I'd like to hand over to Wolfgang to dive deeper into the financial highlights for the last quarter, as also for the last financial year. Over to you, Wolfgang.
- Mr. Wolfgang Wrumnig – Executive Director and Chief Financial Officer, Siemens Limited:
- OK. Thank you, Sunil. So good morning from my side as well.
- Today I will give you an update on our financial performance in fiscal year 24 and our Q4 of this fiscal year as well. So I will give you an overview of the overall performance first and we'll then go into the four major businesses - Digital Industries, Smart Infrastructure, Mobility and finally, Siemens Energy. So I will start with the KPIs for fiscal year 24. We can look back to a successful year 24. New orders grew 13.8% excluding the large locomotive orders signed and booked in fiscal year 23. And major orders in our Energy and Mobility business as well as a solid order performance in Smart Infrastructure have contributed to the growth of almost 14% in fiscal year 24. Revenue is also up by 14.4% versus prior year with double digit growth rates in all businesses except Digital Industries. Our Digital Industries business is still facing headwinds after the high order volumes during the supply chain crisis as a result of the semiconductor shortage and the still ongoing destocking at our customers.
- We continue to strive for flawless execution of our projects to maintain the high level of customer satisfaction and we have been able to turn orders of the past quarters into profitable revenue. Our export business has slightly increased from 15.4% to 15.6%, so no major shift from domestic to export. Also a business mix comparing project versus product and service business is pretty much unchanged. Project business decreased slightly from 30.6% to 30.4%. Our EBITDA is at 13.7% versus 12.7% in fiscal year 23, so an increase by 100 basis points. On a comparable basis, by excluding impacts from FX and commodity hedging,

our EBITDA margin improved by 120 basis points from 12.4% to 13.6%. Our Profit before Tax stands at 17.4 and our Profit after Tax is at 13.2% for the full fiscal year. As a reference point, our Profit before Tax in 2023 was 14.4% and the Profit after Tax was 10.8%.
- A few comments on our profitability expansion. The major reason for the expansion – higher volumes, a favorable portfolio mix and better pricing had a positive impact of almost INR 10 billion. This was offset by cost increases of approximately INR 4.7 billion on account of merit increase, additional headcount and other costs, including FX and commodity losses. We also generated profits on sale of properties of INR 2.6 billion positive and there was an increase in Income from Interest and Dividend by INR 1.9 billion.
- But not

only on the profit side, we also have seen progress in our cash generation and finished the year with Cash from Operations of INR 21.6 billion. So an increase of INR 2.3 billion versus prior year. Our continuous focus on working capital, especially inventory optimization and cash collections as well as our increase in profit has been driving this positive development. Overall solid results in fiscal year 24 and another proof point of our successful journey in India.
- Briefly on Q4. Q4 24 was also a very successful quarter. We had a very strong finish in Q4 with New Orders growing almost 21% again, excluding impacts from the large locomotive order we booked in Q2 last year. And all four major businesses have contributed by at least double digit growth. Looking at Revenue, Revenue grew by 11.3% versus prior year. Also, all four businesses contributing to the revenue growth as well. EBITDA was at 14.6% versus 11.9% in Q4 of fiscal year 23, an expansion of 270 basis points. As already mentioned, volume increase a positive product and business mix and price enforcement as well as an accrual release in one of our businesses have contributed to the margin expansion. Profit before Tax is at 17.6%, Profit after Tax at 13.1, also representing a significant increase versus prior year and our Earnings per Share in Q4 is at INR 21.8.
- So briefly, New Orders. Three strong quarters around and above INR 60 billion per quarter have contributed to a total of INR 235.6 billion of new orders increasing our order backlog to INR 483 billion. As already said, a few larger orders in our Energy and Mobility business and also a stable product and service business have contributed to the solid performance. In Q4, we have been able to grow our orders by 21% versus prior year.
- I'm coming next to Revenue. With an all-time high in Q4, revenue at INR 58.9 billion, we finished the fiscal year with a total Revenue of more than INR 200 billion, growing by 14.4% versus prior year and 11.3% in Q4 on tough comps. Our product and service business as well as stringent execution in our project business have contributed to our positive revenue development. Our Book to Bill for the full fiscal year is 1.13 excluding the locomotive order.
- Next, our EBITDA in Q4 at 14.6 after already 15% in a very strong Q2 and 12.9% in Q3 driven by solid project execution in our Mobility and Energy businesses. Revenue increase and product mix have contributed as well. Excluding FX and commodity hedging, our EBITDA margin is at 13.6% compared to 12.4% in fiscal year 23. Overall in fiscal year 24, EBITDA as a percentage of revenue was strong at over 13%. Before we move to the respective businesses, I would like to provide an update on CapEx. In fiscal year 24 we spent CapEx of around INR 3.2 billion. As you are certainly aware, we recently announced an additional investment of INR 101 billion end of November for the CapEx of our power transformer factory at Kalwa. This is for expanding

the range of its product portfolio to include large reactors. The overall CapEx investment across segments is

now expected to be around INR 11 billion over the next two to three years.
- So now let me go into the four major businesses and starting with Digital Industries. In general, I would say the market environment is OKish and we do see positive developments in some of the verticals we're in. But we are still challenged with ongoing destocking at our customers in the automation business. This is also reflected in our New Orders. From Q1 until Q3, we have seen a stable order booking while Q4 was muted. We booked new orders of INR 7.6 billion nevertheless, an increase of almost 22% versus prior year. On a full fiscal year basis, our orders declined by 10.6% to a total of INR 33.6 million. Looking at the Revenue in Q4, Revenue grew by 10.6% to a total of INR 10.1 billion. Our Revenue for the full fiscal year grew by 15.7% to almost INR 40 billion due to

a strong order backlog from the advanced ordering in fiscal year 22 and fiscal
year 23. So EBITDA margin dropped due to the muted market environment resulting in strong price pressure and unfavorable product mix. The reported margin in fiscal year 24 dropped from 15.4 to 12.9%, so 250 basis points. If we eliminate the impact of FX and commodity hedging, we do see a margin decline of 120 basis points from 14.3 to 13.1. Again, price, negative mix effects and also cost increases are the main drivers despite higher Revenue.
- Now moving on to smart infrastructure in our Smart Infrastructure business, we do see a different picture supported by a positive market environment, especially in the area of electrification and building products.
In Q4, we booked orders of INR 17.5 billion, a 33% growth versus prior year and in fiscal year 24, in total, we grew by almost 12% to INR 73.3 billion. Revenue reached INR 64 billion in fiscal year 24, representing a growth of 19% versus prior year. We can also see the steady development of revenue quarter over quarter. We are successfully turning orders and backlog into profitable business. And also we finished fiscal year 24 strong with Revenue of INR 17.5 billion in Q4. Product and business mix, price realization and higher Revenue are the main drivers for EBITDA of 15.6%, a total of 200 basis points up versus prior year. In Q4, we reached also 15.6%, up 150 basis points versus Q4 prior year with 10% basis points positive impact from FX and commodity hedging.
- The next business is our Mobility business. With a strong Book to Bill of 1.15, we continue to add to our already strong order backlog. In fiscal year 24, we booked orders of INR 31.2 billion, a plus of 21% if we exclude the large locomotive order in fiscal year 23. Q4 also was very strong with INR 11 billion resulting in 243% growth versus Q4. Orders in the area of Metro projects, electrification and signalling, as well as export business contributed to the positive development. On the Revenue side, in our Mobility business, we finished at INR 27.2 billion, up 38% versus prior year. In Q4, we booked Revenue of INR 8.3 billion, the highest quarter in the last two years. We continue to generate Revenue from robust project execution.
In Q4, our EBITDA went up by 590 basis points to 8% resulting in a fiscal year EBITDA of 6.4% up 290 basis points versus prior year. If we exclude FX and commodity hedging, profitability went up by 290 basis points and in Q4 by 510. Main reasons for the positive development of our profitability are Revenue increase, mix and lower R&D spend. So also in the Mobility business, a very positive development.
- Last but not least, I will discuss the Energy business, which will be demerged in calendar year 25. Also supported by a very positive market environment driven by the ongoing energy transition, we booked orders of a total INR 88 billion in fiscal year 24 and thereof INR 23.3 billion in Q4. Fiscal year gross is at 30% like Q4

was at 15%. We won a couple of major orders in fiscal year 24, the majority in the Grid Technology business, Oil and Gas business and the steam turbine order. Our Book to Bill in Q4 was 1.14 and for the fiscal year 1.4 adding more to our already high order backlog. Revenue grew by 5% to INR 62.8 billion in fiscal year 24 with a strong revenue performance in Q4. Revenue in Q4 grew by 12% due to project related Revenue recognition. Finally, EBITDA continues to be strong. Our reported profitability reached 15.7 for the fiscal year, up by 300 basis points in fiscal year 24, positively impacted by an accrual release of 110 basis points booked in Q4. EBITDA without effects and commodity hedging is at 15.4 for the full fiscal year.
- So with this, I come to my final slide. With the demerger of our Energy business, we are creating two strong and independent companies, Siemens Energy India Limited and Siemens Limited with three core businesses – Dig

ital Industries, Smart Infrastructure and Mobility. Both companies are very well prepared for the future growth, focusing on their relevant markets. Significant order backlog for both companies, robust growth in orders and revenue over the past years and the very solid profitability are very good basis for future successes. With this let me hand it over to Sunil for closing remarks.
- Mr. Sunil Mathur – Managing Director and Chief Executive Officer, Siemens Limited:
- Thank you, Wolfgang. Maybe just to just to summarize: we continue to be very confident in India growth story. We believe the current, slowdown is probably a strong word, but the current position is more cyclical rather than structural. The structural story of India is still very, very strong. I'd like to reiterate that it was reflected in our robust performance in 2024. Our focus now shifts to being very clearly a One Technology company with even Siemens Xcelerator being at the center of that, and this is what we will use to expand what we were doing, which was basically going out and delivering products and solutions that were available with us in each of our individual businesses. Adding on top of that products and solutions that we can actually deliver to customers across our businesses so that we get the maximum synergy within the company. We've announced investments in May last year and in November 24 as well and those investments are on track.

We've announced it in Siemens Energy, in Siemens Mobility business as well as in the Smart infrastructure business. And these investments are on track and we will continue to invest as and when we see the need for it. Finally, our Energy business demerger is on track. We expect to conclude this in the next calendar year.
- So with that we are through with our presentation. Thank you very much. We hand it now back for questions and answers. Radhika, do you want to take over?
- Ms. Radhika Arora – Head, Investor Relations, Siemens Limited:
- Yeah, yeah. Thank you. Thank you, Sunil. So as I said earlier, whoever wishes to ask a question please raise your hand. we will unmute you from our end. Then you can unmute from your end. So the first question is from Parikshit Khandpal from HDFC Securities. We have unmuted you. You can go ahead please.
- Mr. Parikshit Kandpal – HDFC Securities:
- Hi Mr. Mathur, am I audible?
- Mr. Sunil Mathur – Managing Director and Chief Executive Officer, Siemens Limited:

- Yes you are, Parikshit. Go ahead.
- Mr. Parikshit Kandpal – HDFC Securities:
- Congratulations on a decent quarter, Sir. So my first question is on the HVDC. I just wanted to understand for us as a place. So we have both the technologies, right, LCC and VSC. So are we bidding for these projects? I mean, two large orders have been tendered and kind of awarded. One is awarded and one is getting finalized. So have we participated in these tenders. What's our view on the entire HVDC thing? I mean, is there a play for us here?
- Mr. Sunil Mathur – Managing Director and Chief Executive Officer, Siemens Limited:
- So Parikshit, I will not comment on running tenders right now, but what is important for you to know is we are not participating in LCC technology in India or indeed anywhere in Siemens globally. We believe very strongly in the VSC technology, so we will participate in the VSC technology projects that emerge. We believe this is a technology which is superior and is being adopted around the world as well. We have the capabilities to do that. We continue to build up capabilities for that in India, not only for the local demand, but also providing out of India support for global projects on engineering and commissioning and so on. So simple answer, we are not present in LCC. We are present in VSC technologies.
- Mr. Parikshit Kandpal – HDFC Securities:
- OK. Thank you, Sir. So my second question is on the demerger now. So it it'll be at mirror demerger. So what happens to

the cross holding of the promoter shareholding of Siemens Energy? And so will that trigger any sell off? Will you look at reducing stake or you looking to do like status quo or some swap between the two entities? So how are you looking at the shareholding post listing of the Siemens Energy in India?
- Mr. Sunil Mathur – Managing Director and Chief Executive Officer, Siemens Limited:
- So I think what I can do is basically I can't speak on behalf of the parent. As you rightly said, both the merger both companies will have identical holdings. But all I can do is quote what we said in our November 2023 disclosure where we said subsequent to the proposed demerger, the parties to the shareholder agreement, that is the promoters of Siemens limited, they have agreed to certain procedures to enable Siemens Energy AG to acquire majority share in the newly listed entity containing Siemens Limited's Energy business. So I can't speak about time, I can't speak about quantum. We are not privy to that information. All I can quote is what they have said in their global disclosures as well, which we have repeated.
- Mr. Parikshit Kandpal – HDFC Securities:
- OK, Sir. Thank you. Those were my questions.
- Mr. Sunil Mathur – Managing Director and Chief Executive Officer, Siemens Limited:
- Thanks Parikshit.
- Ms. Radhika Arora – Head, Investor Relations, Siemens Limited:

- Thank you. The next question is from Harshit Patel from Equirus. We have unmuted you. Go ahead.
- Mr. Sunil Mathur – Managing Director and Chief Executive Officer, Siemens Limited:
- Harshit, please go ahead. You're on mute.
- Ms. Radhika Arora – Head, Investor Relations, Siemens Limited:
- Harshit, you have to unmute at your end. OK. I think we'll switch to another question. We have the next question from Arafat Saiyed from InCred. Please go ahead. Arafat, you're on mute. You'll have to unmute at your end. OK. So we'll have the next question from Jonas Bhutta from Aditya Birla Capital. Jonas, you want to go ahead?
- Mr. Jonas Bhutta – Aditya Birla Capital:
- Am I audible?
- Mr. Sunil Mathur – Managing Director and Chief Executive Officer, Siemens Limited:
- Yes, you are, Jonas. Please go ahead.
- Mr. Jonas Bhutta – Aditya Birla Capital:
- Congratulations on a great set of numbers, Sir. And advanced greeting for the new year. Sir, two questions. First, if we see the order book of the ex-Energy business, that's largely flat. And within that also, if I remove the large loco order, then probably we're looking at a 9 to 10% growth in the order book. You know, how does

this read in terms of growth prospects for the coming financial year, given that we're sitting on a book that is just about 10% higher and in a scenario where Digital Industries, which was the growth driver in the last maybe three years is sort of still not recovered. So if at all we have to think of a scenario of a higher order inflow or order book exiting FY25, out of the three segments, which one would you be most bullish on from a 12 month perspective? That's the first question.
- Mr. Sunil Mathur – Managing Director and Chief Executive Officer, Siemens Limited:
- So Jonas just to answer that the order book is not flat when you consider… are you talking about 378 versus 382?
- Mr. Jonas Bhutta – Aditya Birla Capital:
- Yes Sir.
- Mr. Sunil Mathur – Managing Director and Chief Executive Officer, Siemens Limited:
- Right. The 378 includes 263 of the locomotive order, so if you take 263 out from 378, that's 115 going up to 382. So the order book is not.

- Mr. Jonas Bhutta – Aditya Birla Capital:
- Sorry, no, the 382 doesn't have the locomotive.
- Mr. Sunil Mathur – Managing Director and Chief Executive Officer, Siemens Limited:
- Are you looking at the new orders or at the order book?
- Mr. Jonas Bhutta – Aditya Birla Capital:
- Yes, Sir.
- Mr. Wolfgang Wrumnig – Executive Director and Chief Financial Officer, Siemens Limited:
- Maybe I

can step in here. So I believe overall the order book is growing, but you also have to consider on one hand we do see significant New Orders growth which is around 14%. And then we also see significant revenue growth, so more or less we book orders and we turn them into revenue. And this is going to continue. If you look at the Book to Bill, the Book to Bill is about one, which means we always create or add to the New Order book. From this perspective, I believe the future, I am not afraid of the future with regard to the orders. There is a positive market environment in the Smart Infrastructure business and we also expect recovery in the Digital Industries business.
- Mr. Sunil Mathur – Managing Director and Chief Executive Officer, Siemens Limited:
- Exactly, the electrification business as you said is doing very well. The Smart Infrastructure business is growing. Mobility is also growing with the number of orders coming in for electrification, signalling and Vande Bharat – locomotives, bogies, Metros, are growing market as I mentioned in my presentation. Digital Industries is a little bit muted right now. When private sector investment picks up this business will pick up as well. When the destocking of the inventory reaches its bottom which we expect in the next couple of quarters that will pick up as well. So effectively the ex-Energy business I think we have got three verticals that will be firing on all cylinders.
- Mr. Jonas Bhutta – Aditya Birla Capital:
- Got it. My second question is if you can update us on the loco order itself in terms of progress and from which should one expect it go up materially in the revenue line. Did it have any role to play on the margin side of Mobility this year? Was it a drag, accretive? If you can just update. Then I have one book keeping question.
- Mr. Sunil Mathur – Managing Director and Chief Executive Officer, Siemens Limited:
- OK. As I mentioned the first loco will go out in the latter part of 2025. Wolfgang would you like to expand on that please? This is order as per a POC system of accounting. So basically as the costs come in the revenue is recognized there as well. This project is being executed over a period of 11 years. As the cost come in, revenue recognition will take place. Anything to add to that Wolfgang?
- Mr. Wolfgang Wrumnig – Executive Director and Chief Financial Officer, Siemens Limited:

- No, as you said the progress of this project we will recognize revenue and you will see then the respective revenue growth also in our books.
- Mr. Jonas Bhutta – Aditya Birla Capital:
- Understood. Lastly, Wolfgang if you could tell us, what is the order intake in C&S and when you declare the order intake on the slide on Smart Infrastructure business which is INR 73 billion odd is it consolidated for C&S or we have to clear it up for C&S?
- Mr. Wolfgang Wrumnig – Executive Director and Chief Financial Officer, Siemens Limited:
- The numbers I have shown today is Siemens Limited standalone. So C&S Electric business is not included in these numbers.
- Mr. Jonas Bhutta – Aditya Birla Capital:
- If you can provide us the order intake for the year for C&S, that will be helpful. And my final question. Thank you.
- Mr. Wolfgang Wrumnig – Executive Director and Chief Financial Officer, Siemens Limited:
- The order intake for C&S Electric in fiscal year 24 is INR 18.2 billion, up by 9% versus the prior year and the Revenue was INR 16.9 billion, up 13.3% versus prior year.

- Mr. Jonas Bhutta – Aditya Birla Capital:
- Perfect, thank you and all the best.
- Mr. Wolfgang Wrumnig – Executive Director and Chief Financial Officer, Siemens Limited:
- Thank you so much.
- Ms. Radhika Arora – Head, Investor Relations, Siemens Limited:
- Thank you. So we go back to Harshit, Harshit Patel from Equirus. Go ahead.
- Mr. Harshit Patel – Equirus:
- I'm audible?
- Ms. Radhika Arora – Head, Investor Relations, Siemen

s Limited:
- Yes.
- Mr. Sunil Mathur – Managing Director and Chief Executive Officer, Siemens Limited:
- Harshit, please go ahead.

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- Mr. Harshit Patel – Equirus:
- Thank you very much. Thank you. So my first question is on the Digital Industries segment. What part we are playing in the upcoming semiconductor industries as well as OSAT units in India? So the automation solutions for this. They are provided by us or they will be directly done by the parent company? Also, are there any active discussions or orders booked with any of the potential customers over here?
- Mr. Sunil Mathur – Managing Director and Chief Executive Officer, Siemens Limited:
- So Harshit, good question. Yes we do the automation for this business, for the fab part of it as well. We are in discussion for the OSAT well. We have already started getting orders. By we I mean Siemens Limited has already got some orders from customers around this business. So we do not only the automation but also the software design for the manufacturing processes.
- Mr. Harshit Patel – Equirus:
- Understood, Sir. Secondly, Altair Engineering has been a significant addition to our DI portfolio globally. So is there any way it helps our India software and simulation portfolio in the immediate future? Also, what is the revenue contribution of this software and related offerings within our DI segment at the moment? I am asking this because its contribution in the global DI segment is increasing at a rapid pace and it is also impacting the margins very favorably at the global level.
- Mr. Sunil Mathur – Managing Director and Chief Executive Officer, Siemens Limited:
- So Harshit, the Altair acquisition as you know has recently been closed or is under closure right now; it is only announced the closure has not yet happened. So we are not yet completely into the details of what the implications of that will be for Siemens in India. So that's the first thing. The important part is from the Siemens perspective Altair provides simulation for non-linear technologies and I am sure there will be a benefit to us with it making Siemens globally maybe one of the top 2-3 players in the world in the area of simulation technologies. From an India perspective, from a Siemens Limited perspective, we don't know more than that and I can't tell you the implications of what Altair will be for Siemens Limited moving forward. We will have to see. As and when something happens we will keep you informed. A lot of the software business is done through licensing through Siemens software company outside of Siemens Limited. But we work closely together with them. There is also software business that we do within Siemens Limited which is project-based as well and depends on solutions that are required by the end customer. We do not track software separately. It runs as a horizontal across all three of our businesses – Digital Industries, Smart Infrastructure and Mobility. But you have already seen an increase in profitability. If you look at the profitability growth of our Digital Industries business also in our Smart Infrastructure business over the last couple of years you will see that there has already been growth in the profitability there. An element of that is definitely software.
- Mr. Harshit Patel – Equirus:
-
- That was all from my side. Thank you very much for answering my questions.

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- Mr. Sunil Mathur – Managing Director and Chief Executive Officer, Siemens Limited:
- Thank you Harshit.
- Ms. Radhika Arora – Head, Investor Relations, Siemens Limited:
- Thank you. The next question is from Subhadip Mitra from Nuvama. Please go ahead.
- Mr. Subhadip Mitra – Nuvama:
- Good morning and thank you for the opportunity. I hope I'm audible. OK. Thanks. So two questions from my side.
- Mr. Sunil Mathur – Managing Director and Chief Executive Officer, Siemens Limited:
- Yes you are Subhadip. Please go ahead.
- Mr. Subhadip Mitra – Nuvama:

- You did give us a lot of details on the HVDC side. So what I wanted to understand is beyond the current two HVDCs that are under tendering, we understand that there could be three or four more which could come over

the next, let's say two years or so in the company. Are any of these already planned on VSC technology? And secondly on the export side, with regard to, you know, component exports on HVDC to patent is there already a large visible pipeline that is there at the parent level and that gives you a lot more visibility on that front as well?
- Mr. Sunil Mathur – Managing Director and Chief Executive Officer, Siemens Limited:
- So currently Subhadip most of the projects are using the LCC technology and therefore that is a technology that we are not working with. On the VSC technology as I mentioned on the HVDC right now the numbers are not material in terms of the export support that we give to the parent company. They are a part of the Siemens Energy segment there but there are clear plans in place to build up the engineering competency here as well as the commissioning competency, under in Siemens Energy in India, and in the next couple of quarters we would be able to see that impact the numbers of Siemens Energy in India.
- Mr. Subhadip Mitra – Nuvama:
- OK. Understood. Secondly, on the Mobility side, in terms of the larger, chunkier orders that were expected on the locos front, whether it was the 6000HP pull order, the 12,000 HP as well as on the Vande Bharat orders and metros, if you can give us some color as to you know how that TAM is panning out, because since elections there seems to be some bit of a slowdown in terms of those Big Bang large orders that were to come.
- Mr. Sunil Mathur – Managing Director and Chief Executive Officer, Siemens Limited:
- I think you are right over there. We have not seen the tenders for the 6000 HP / 12000 HP orders. Vande Bharat tenders are coming out. There are a couple of passenger train tenders that are coming out over there.

But you are right, the large big ones have not come out yet. In terms of the locos, the 6000 HP loco has not been tendered neither is the 12000 HP loco.
- Mr. Subhadip Mitra – Nuvama:
- Understood. But is there any? Because what we understand is that Railways had already put out their larger plan that there is a requirement of, let's say 1,100 to 1,200 electric locos, on an annual basis in order to replace existing locomotives, etc. So clearly over a period of, let's say the next two to three years, it will be a requirement for Indian Railways to procure these locomotives. So do you see most of these manufacturing, again shifting back to the Railways' own coach factories or is this still a good visibility that these will pan out over the next, let's say two to three years?
- Mr. Sunil Mathur – Managing Director and Chief Executive Officer, Siemens Limited:
- I don't know the answer to be honest. We will have to wait and see what gets tendered. Of now it is still on our data screen. We will have to just wait and see what decisions the Railways takes in terms of how much they want to do themselves and how much they want to tender out. The 12000 HP they do not have the technologies for but the 6000 they do. So, there is a possibility that they could do it themselves but right now we do not have that transparency.
- Mr. Subhadip Mitra – Nuvama:
- I understand. Lastly, you know on the Metros front as well as you know the export orders for Mobility because you know I believe when the global CEO had visited India few months back, he had put a lot of focus on making India the local or the regional hub for exports for the Mobility business. So on that front for Metro as well as exports, do you see a large visibility panning out over the next two years?
- Mr. Sunil Mathur – Managing Director and Chief Executive Officer, Siemens Limited:
- Yes, so exports is increasing very clearly. And you're probably awar

e we did the first large export order for
bogies to Bucharest in Hungary. That order is now concluded. We're expecting further growth of orders also for bogies. The Metro we announced the building of the factory which will take another year-year and a half. But when that is up the idea is to build the factory was primarily to serve not only the Indian market requirements but also the global requirements. So absolutely, we are exporting. We do export of propulsion equipment as well. The intent of building the Metro factory is also for export so increasingly India will become a major player in the overall manufacturing network Siemens Mobility.
- Mr. Subhadip Mitra – Nuvama:
- Thank you so much. That's it from my side.
- Ms. Radhika Arora – Head, Investor Relations, Siemens Limited:
- Thank you Subhadip. The next question is from Bhavin Vithlani of SBI Mutual Fund. Bhavin you may unmute yourself and go ahead.

- Mr. Bhavin Vithlani – SBI Mutual Fund:
- Yeah. Good afternoon, gentlemen. Hope I'm audible.
- Mr. Sunil Mathur – Managing Director and Chief Executive Officer, Siemens Limited:
- Yes you are. Please go ahead.
- Mr. Bhavin Vithlani – SBI Mutual Fund:
- My first question is on the margins and I'm taking a slightly longer term view on the margins for the the Energy that we have seen margins hovering between 10 and 12% prior to 23 to if I take 2014 to 2023, we have seen a very strong increase here to 15.7. So what part of this in your view is driven by the bunching up of the

business and what in your view is sustainable because we have seen cyclicality and supply catches up in this segment pretty fast? The Part 2 of the margins is the ex of the Energy segment where some parts of the segments we have seen margins move up steadily like Smart Infrastructure as well as the Digital Industries over a longer period of time and variability in Mobility. The question here is how should one think about the margins in the ex-Energy piece on a sustainable basis because what I understand is a Smart Infrastructure as a piece is a very closely guarded market with couple of MNCs. Digital Infra has a lot of impact on the increase in the installed base as your installed base goes up, the margins comes with a lag. So if you can give us a little longer term picture on the margin trajectory of the Energy and ex-Energy piece, that would be more helpful.

- Mr. Sunil Mathur – Managing Director and Chief Executive Officer, Siemens Limited:

- I think Wolfgang has already spoken about the Energy margins over there as outlined that against the 15.7% margin that is there. There about 3% of one-time impacts in there in Q4. So let's say the underlying would probably be in the range of 12 and a half percent. I also mentioned to you that Transmission business is growing and that is filling our factories. We are increasingly investing in the Siemens Energy business. We announced the investment in the large power transformers. A lot of that will be used for export business. The local domestic market is growing as well. So I believe the underlying margins for Siemens Energy will continue to be strong. If I move on to the DI business, the Digital Industries business, there as you rightly mentioned the margins have increased over the last couple of years as well. Our intent is that they continue to grow.

As we bring in greater offerings this is not only about installed base this is also about bringing in Factory Automation, Motion Control businesses making that in with the energy efficiency solutions that we have. This goes back to the One Tech company which will effectively increase the margins because we are able to bring in a combined offering for the customer which earlier on was served either by the Digital Industries business or by the Smart Infrastructure business. Now if you're able to bring in combined offerings. So our expectation is that in the medium-long term we would like to see margin expansion

happening on the Digital Industries

business as well. Smart infrastructure also, you are right, electrification will continue to be a focus area particularly in the DISCOMS. As we get more renewable energy entering the grid, you will need stability over there. There will be the need for SCADA systems coming in, there will be the need for greater electrification, energy efficiency solutions. As commercial buildings increase and we are seeing that substantially happening

right now the need for electrification will increase there as well. When I look at private industry, the food and beverage for example, and this is going back to my earlier point of One Tech there is a very large energy efficiency story in food and beverage. They've got a large requirement for air conditioning. They have a large requirement for energy efficiency happening within their premises. And you couple that with our automation solutions that we have got and with our software solutions that adds the scope on there as well.

So here again, for Smart Infrastructure I expect a growth in the margins moving forward as the volumes increase and as the market continues to grow there. Finally, on the Mobility segment, the margins are currently let's say lower than the other businesses coming primarily out of the fact that we are doing heavy investments over there. And those investments as and when they come up and we start commercial production, we expect that the margins in the Mobility segment will pick up as well. So I think put that all together we are entering new businesses in the Mobility area with the Metro business, with signalling and so on. So as we look forward I would really be driving for growth in the top line but also driving for growth in the bottom line in all our segments.

- Mr. Bhavin Vithlani – SBI Mutual Fund:

- To me, the second question is on the DI piece, on the growth piece part of it, and when I look at some of your peer sets like Honeywell and ABB in the relevant segments also the performance has been muted. But when we go and visit factories, the small and medium scale, the intensity to automate and what they are automating is considerably higher and so what when I see the performance actually it kind of confuses me. So on a little longer term leaving out some idiosyncrasies that could be there because of restocking, etc. Is the underlying growth in this segment possibly in the high 20s. Your thoughts on it?

- Mr. Sunil Mathur – Managing Director and Chief Executive Officer, Siemens Limited:

- So look the industrial segment, the industrial business is driven primarily by the large and medium companies. The small scale companies, there's a huge opportunity there but a lot of it is driven by demand as well. Now, currently we are running at 75 to 80% capacity utilizations in the country. The runway is still not particularly visible to most private sector players and therefore they are being hesitant in CapEx expansions. There is absolutely no doubt that they will need to go in for automation and digitalization solutions as and when they scale up. But currently the market as you're aware is relatively muted on private CapEx. I expect that this will change in the next couple of quarters. The government is already focusing on areas right now. The PLI scheme is showing results on the new tech businesses that they are supporting there. But as I mentioned earlier the traditional verticals are not really spending on CapEx at this point in time. Moving forward as and when the segment grows it will start feeding in terms of automation and digitalization not only the large companies but also the entire supply chains that are feeding into these companies. And that's when I see a huge growth potential for the private sector CapEx players or industries in the area of the Digital Industries business. Does that answer your question?

- Mr. Bhavin Vithlani – SBI Mutual Fund:
- Just a follow up, does the enqui

ry book give you confidence of a significant pick up in the next couple of
quarters as you highlighted?

- Mr. Sunil Mathur – Managing Director and Chief Executive Officer, Siemens Limited:
- Currently not.
- Mr. Bhavin Vithlani – SBI Mutual Fund:
- Yeah, yeah. Those are my questions. OK. Yeah. Thank you so much.
- Ms. Radhika Arora – Head, Investor Relations, Siemens Limited:
- Thank you. The next question is from Rahul Gajare from Haitong.
- Mr. Rahul Gajare – Haitong:
- My question is a continuation of an earlier participant on the Mobility business. Now you know when you had received this order for locomotive I think the timeline for execution indicated that you were expected to deliver 5 locomotives in FY24. Now you just indicated that the first loco is expected to be delivered only in FY25. Does this mean that the overall execution of the entire project would be delayed beyond FY34. Maybe by one year or and if there is any penalty clause for any delay beyond FY34. That's my first question. Thank you.
- Mr. Sunil Mathur – Managing Director and Chief Executive Officer, Siemens Limited:
- We did not say that we will deliver the first 5 locomotives in 24. The schedule was to start delivering in 25. We are on track. Please be aware this is an 11-year project. It is too early to start talking right now about the delays in the project. So the journey has started. Suffice it to say we are on track. Yeah and it's too early to talk about penalties and LDs on an 11-year project.
- Mr. Rahul Gajare – Haitong:
- Got it. My second question is – you have a long CapEx plan, almost INR 11 billion over the next 2-3 years. I want to understand if you can lay out where specifically this money is going to be spent on, and if you can actually further classify it. You know how much of that could actually be spent on Siemens Energy and Siemens India, given, you know, we are looking at a global shortage of transformers? I just want to understand this 11 billion breakdown.
- Mr. Sunil Mathur – Managing Director and Chief Executive Officer, Siemens Limited:
- So this is already being disclosed at various points in time. But for your benefit the Siemens Energy part is about INR 4.6 billion that has been announced. The Smart Infrastructure is another 4 billion and the Mobility segment is about 2 billion. So we are looking at roughly 11 billion over there.
- Mr. Rahul Gajare – Haitong:
- OK. So this is all the announcement. This is 11 billion is not initial CapEx that's something which I wanted to clarify.
- Mr. Sunil Mathur – Managing Director and Chief Executive Officer, Siemens Limited:

- If I was to pick 11 billion I wouldn't be forced to disclose it.
- Mr. Rahul Gajare – Haitong:
- OK. Thank you. Thank you very much.
- Ms. Radhika Arora – Head, Investor Relations, Siemens Limited:
- The next question is from Aditya Monga from Kotak Securities. Please go ahead.
- Mr. Aditya Mongia – Kotak Institutional Equities:
- Thank you for the opportunity everyone. My question was more focused from the perspective of exports for the Energy business. Could you talk us through prospects of growing in both geographically as well as from a product or service perspective in the export segment or the Energy business for the next three years?
- Mr. Sunil Mathur – Managing Director and Chief Executive Officer, Siemens Limited:
- So I think I mentioned it earlier as well. Part of the exports is on the transformer side. There's a huge demand globally for transformers as also in India for transformers so that is one of the reasons for building an additional factory for expanding. So transformers on the Energy side is definitely one area. We are looking also at the, this is not only…this is also for the VSC technology HVDC projects that we have there. So that is one large area we are exporting our steam turbines as well out of our Baroda factory which are used for exports over there. We're exporting

switchgear. We are effectively, I think supplying to Southeast Asia, South
America and parts of Europe as well.
- Mr. Aditya Mongia – Kotak Institutional Equities:
- Understood. So there should not be any changes in the mandates or are there prospects of you kind of getting some global mandates on from a geographical perspective and that was the side question in this one?
- Mr. Sunil Mathur – Managing Director and Chief Executive Officer, Siemens Limited:
- I think there is no change in mandate post-demerger. If anything the mandate will be strengthened post demerger.
- Mr. Aditya Mongia – Kotak Institutional Equities:
- The second question was kind of picking up from an earlier participant. As in when you talk about DI. As in,

there's a product angle and there's an automation angle what can drive growth. Just wanted to get a sense of how to kind of think through as in today as we think through DI, is this more product driven kind of purposes which means automation can only add to as much growth and when do you see that changing you talked about supply chain becoming part of that, it's just somewhat what would be useful for us to understand when does the automation part start becoming heavy in that portfolio
- Mr. Sunil Mathur – Managing Director and Chief Executive Officer, Siemens Limited:

- I think the automation will become heavy as private sector investment picks up very clearly. Right now the private sector has not yet reached its full potential. Automation is definitely part of it. It is product business but it is not only product business, it is also integration of product. It is also providing solutions, so the spray drying example that I gave you is not only plain automation, it is combining automation with software as well. And bring a complete solution to the customer.The example that we gave you on cybersecurity is in the manufacturing space, which is another area. There are also companies who are turning around and we've done work for steel companies asking, "can you find the solution for us for our for improving our in-plant logistics." So this is not only providing plain automation this is actually planning out the entire logistics process for the company and looking at the entire possibilities of automation but also digitalization through gaining greater transparency out of digital solutions that we are able to provide partly ourselves and partly also with the other Siemens software company in India.
- Mr. Aditya Mongia – Kotak Institutional Equities:
- Well, those are my questions. Thank you for the responses.
- Ms. Radhika Arora – Head, Investor Relations, Siemens Limited:
- We have the next question from Renu Baid from IIFL.
- Ms. Renu Baid Pugalia – IIFL Capital:
- Am I audible?
- Mr. Sunil Mathur – Managing Director and Chief Executive Officer, Siemens Limited:
- Yeah. Hi Renu.
- Ms. Renu Baid Pugalia – IIFL Capital:
- Good afternoon, Sir, and thanks for the opportunity. First question is to understand a bit more on the export side. Can you share what was the share of exports in Mobility and Energy portfolio for us for last year and specifically for the Mobility business where is Siemens with respect to large international projects for Metros and bogies? And how large can this portfolio be over the next three to five years? Reason for asking is if you see most of the unlisted peers global peers on the Mobility side earn the larger share of profit from the export business, so will that also roll out the road map for our Mobility business moving from mid-single digit margins to double digit as exports scale up. That's the first question.
- Mr. Sunil Mathur – Managing Director and Chief Executive Officer, Siemens Limited
- I think I answered that question earlier on. Our intention is very clearly to increase the export content. it's also been strategically indicated by our global CEO to make India a manufacturing hub not only for the Indian busi

ness but also for the global business. Bogies – I gave the example we've already started exporting. I don't, can't give you the numbers of percentage of exports separately for Siemens Energy or Mobility. We're not doing that at a segmental level but the focus is very clear. In the Mobility business to serve not only the local business because but also the global business. The reality is the business case for setting up a

factory for example counts only when you are able to combine the local and the global synergies over there. On the bogies we already got the orders I mentioned earlier from Hungary Bucharest for bogies that we delivered in the last financial year. We are expecting additional orders coming in as well for exports. Metros – as and when the factory is built it will be used for export projects. First we will gain experience out of export projects before addressing the Indian projects. So I think our strategy is in a way similar to the strategy of the other large players and I think there are only a handful of large players in the Mobility space. So our strategy will be very very similar to that.
- Ms. Renu Baid Pugalia – IIFL Capital:
- And what would be the share of exports today in the Energy portfolio?
- Mr. Sunil Mathur – Managing Director and Chief Executive Officer, Siemens Limited
- I don't have it offhand, Renu, we haven't disclosed that in Energy or at a segmental level.
- Ms. Renu Baid Pugalia – IIFL Capital:
- Sure. So just coming back on the Energy part of the business while order flows outlook everything is pretty healthy. So this year's 5% revenue growth was it largely because of capacity constraints or there were other bottlenecks also which constrained the overall revenue growth?
- Mr. Sunil Mathur – Managing Director and Chief Executive Officer, Siemens Limited
- I think it's a mixture of multiple things. I don't think it was capacity constraints only. I think it is also delayed offtake by customers who are delaying offtake for various reasons. As you know most of the revenue comes out of the backlog in Energy. So it's just the nature of the business. And therefore part of it is delays by customers in offtaking and part of it is project delays probably by customers as well and part of it is just the normal delivery schedules that are linked to the order inflows that we have received.

- Mr. Wolfgang Wrumnig – Executive Director and Chief Financial Officer, Siemens Limited:
- Maybe I can add to this, Renu, when you look at the quarterly slices of revenue you can see that last year in Q4 we had also a tremendous order with almost over 18 billion in revenue so which also then Q1 was a little bit muted from a revenue perspective and then we are picking up again. So it's I believe, it's kind of better this year and then overall I believe the revenue development is pretty nice.
- Mr. Sunil Mathur – Managing Director and Chief Executive Officer, Siemens Limited
- A large part of this revenue comes out of backlog.
- Ms. Renu Baid Pugalia – IIFL Capital:
- Correct. We catch up in fiscal 25 then.
- Mr. Sunil Mathur – Managing Director and Chief Executive Officer, Siemens Limited
- Yeah.

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- Ms. Renu Baid Pugalia – IIFL Capital:
- Lastly you did touch upon this that for the core Siemens business ex of Energy they will be focused to improve profitability but if we see the portfolio that mix, the pluses and minuses, broad margins currently are in 12.5 - 13% range. In your view what could be the share of exports today in the Energy portfolio? Can these margins be in mid-teens level over the next two to three years, given the tailwinds, on the mix, on the end market demand and considering the effects and other impact that you have seen in the near term. Or you think the teen margins for the core business could be a bit of stretch until Mobility inches close to double digit margins?
- Mr. Sunil Mathur – Managing Director and Chief Executive Officer, Si

emens Limited
- So Renu, you have been following us for a long time. You've seen the growth in the margins of the business here and you've seen how it's picked up in the last couple of years once the economy picked up as well. Our intent is very clear as Management, I've been talking as long as I've been around about profitable growth – and our intent has Management is to grow the top line and grow the bottom line as well.
- Ms. Renu Baid Pugalia – IIFL Capital:
- Got it. Thanks, Sir, and best wishes for the next year. Thank you.
- Ms. Radhika Arora – Head, Investor Relations, Siemens Limited:
- We'll have one last question from Jainam Jain from ICICI securities. Jainam, you can go ahead.
- Mr. Jainam Jain – ICICI Securities:
- Hello.
- Ms. Radhika Arora – Head, Investor Relations, Siemens Limited:
- We can hear you, go ahead.
- Mr. Jainam Jain – ICICI Securities:
- Yeah, you hear me? Right. OK. So congratulations to the Management on the great quarter. So, Sir, my first question is, are we hearing about any upcoming new orders for locomotive business?
- Mr. Sunil Mathur – Managing Director and Chief Executive Officer, Siemens Limited
- Currently nothing on the horizon.
- Mr. Jainam Jain – ICICI Securities:
- Oh well, that answers my question. Thank you.
- Ms. Radhika Arora – Head, Investor Relations, Siemens Limited:
- Thank you, so that was the last question. Thank you everyone for joining us today and wish you a happy festive season and a happy new year. Thanks.

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- Mr. Sunil Mathur – Managing Director and Chief Executive Officer, Siemens Limited
- Thank you very much and all the best and a very happy year ahead. Look forward to touching base with you in the new year
- Mr. Wolfgang Wrumnig – Executive Director and Chief Financial Officer, Siemens Limited:
- Wish you the same.

END OF TRANSCRIPTION

Call: May 2025

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May 26, 2025
National Stock Exchange of India Limited
BSE Limited
Scrip Code –
National Stock Exchange of India Limited: SIEMENS EQ
BSE Limited: 500550
Information pursuant to the SEBI (Listing Obligations and Disclosure Requirements)
Regulations, 2015 (“Listing Regulations”)
Dear Sir / Madam,
Pursuant to Regulation 30, 46 and other applicable regulations of the Listing Regulations, please find enclosed the transcript of the Company’s Analysts / Institutional Investors call held on May 20, 2025.
The said transcript is available on the website of the Company at:
https://www.siemens.com/in/en/company/investor-relations/analyst-meet.html#2025
Kindly take the above information on record.
Yours faithfully,
ForSiemens Limited
Ketan Thaker
Company Secretary
Encl.: as above

Siemens Limited
Investor and Analyst Call
Q2 & H1 FY 2025

10.00 am (IST) to 11.30 am (IST)
20th May 2025

Management:
■ Mr. Sunil Mathur – Managing Director and Chief Executive Officer, Siemens Limited
■ Mr. Wolfgang Wrumnig – Executive Director and Chief Financial Officer, Siemens Limited
■ Ms Radhika Arora – Head, Investor Relations, Siemens Limited

- Radhika Arora – Head, Investor Relations, Siemens Limited:
- Good morning and welcome to the Siemens Limited Quarter 2 and Half Year FY25 Analyst and Investor Call. I hope you all are in good health and would have seen the results that were announced last week.
- Please note that Siemens Energy India Limited is a separate company now and is being proposed subject to receipt of requisite approvals, market conditions and other considerations, to list its equity shares on BSE and NSE in the near future and is in the process of filing an information memorandum with the Stock Exchanges. We therefore request you to restrict your questions today to only Siemens Limited and not on Siemens Energy India Limited.
- Before we start this call, let me give you a few instructions about the technology that we are using here.
o We are using the Microsoft Teams platform for the meeting.
o All of you are on mute and the camera has been disabled.

o The meeting will start with a presentation by the management team of the company followed by Q&A.
o Anyone who wishes to ask a question should use the raise hand option and we will enable the microphone for the person in that order. After enabling the microphone at our end, the speaker must also enable it on their device and then start with question. In the interest of time each one of you is requested to limit your question to maximum two.
o After the question is over, the speaker's microphone will be disabled.
- Moving on to the presenters we have with us today Mr. Sunil Mathur – Managing Director and CEO and Mr. Wolfgang Wrumnig – Executive Director and CFO of Siemens Limited from the management team.
- They would present the operational and financial overview of the Company's performance post which we will move to the Q&A.
- Before I hand over to Mr. Mathur, please note that we take as having read the safe harbor statement, that you can see in the presentation and also on slide no. 2 and currently on the screen as well.
- With that, let me now hand it over to Mr. Mathur.
- Sunil Mathur – Managing Director and Chief Executive Officer, Siemens Limited:
- Good morning and a warm we

lcome to our analyst meeting today. We've got a couple of slides that we have prepared over here. I will start off by giving a little bit of an overview first. I'll hand over then to Wolfgang, who will then go into more details regarding the numbers and then we will sum up at the end before taking your questions.
- Let's start now with first an overview of the global economy. As we see it and as you are all probably aware, geopolitical uncertainty is really the order of the day right now. There are increasing trade tensions that are happening all around the world. The impact of that so far on India has not been very high. We will have to see whether there will be any direct or indirect impacts of that, but I think it is fair to say that supply chains are getting disrupted, delivery periods are getting disrupted until there is more certainty around what is happening

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in terms of the trade, the tariff barriers there. And also caused the geopolitical scenarios around the world, which add another element of complexity into the ease of doing business on a global scale.
- Looking at it more from a domestic perspective, I think we're fairly positive about the Indian economy. We continue to grow at 6 ½ percent is the expectation for the financial year 25. We are beginning to see an uptick in manufacturing PMI 58.1 as you see is not bad. I will talk a little bit more about this and how we see things from our perspective in the next slides. Maybe just to summarize, however, does the results of the quarter for Siemens limited as Radhika mentioned, these figures and everything that we will talk about today exclude the Energy business.
- When we look at the new orders, there's a 43 ½ percent increase year on year in the in the order growth practically coming out of growth in orders in all our segments except for the Low Voltage Motors business, which is down for various reasons, partly commodity prices are down, partly the demand is down. And Wolfgang will talk more in detail about this as well.
- We do have a healthy Book-to-Bill at 1.25 which is good. Our Order Backlog stands at a healthy ■415 billion, grown by 7.2%. So we continue to build the Order Backlog and we get good visibility. I would just like to mention this is a healthy Order Backlog – there are no compromises in our profitability there. We continue as we have always done, keeping our margin hurdles in in mind and therefore the quality of the Order Backlog is good and is margin accretive overall.
- When I look at the Revenue, this quarter has seen a slight growth in revenue, 2 ½ percent. While the Smart Infrastructure business did pretty well, the real impact on Revenue came from two areas. One is on DI where there has been or continues to be demand normalization with all the impacts that it has. And I know there's a little bit of an uncertainty around private sector CapEx and the impact on the DI normalization business.
- So we put in a separate slide which will walk you through to really explain what the impact of this demand normalization actually is and why it got triggered and where we believe we are on the trajectory right now. The other part is on the Mobility which slowed down in the quarter. Nothing to be concerned about from our perspective, this is just normal project delivery schedules and we expect that the deliveries to and the volumes over here to pick up in the second-half of the year.
- When I look at the EBITDA, we are on track 12 ½ percent. Yes, marginally impacted also because of the DI volume and cost elements, and Wolfgang will also walk you through. And apart from that, it's basically when you look at our profitability over here overall, our Smart Infrastructure and our Mobility businesses in terms of profitability are more or less in line with the global profitability levels as well.
- Our DIGITAL industries volume as, as I mentioned in the past, and the profitability is largely impacted through transfer pri

cing and therefore you will not see a correlation between the global volume and the global profitability levels and our profitability levels over here. But our Smart Infrastructure and our Mobility businesses are more or less in line with the global profitability targets as well.
- The PAT was impacted by two elements – one was essentially an extraordinary gain in quarter two of last year on account of sale of property of ■192 crores. The second was demerger expenses in this quarter 2 of 2025 of ■63 crores and that has really had an impact on reducing the Profit after Tax. On an overall basis I think we are still more or less comparable to the demand drop and of course Wolfgang will walk you through

over here also in much more detail.

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- Lastly, just to highlight what Radhika also mentioned earlier on. The Siemens Energy demerger has been completed with the effective date of 1st of March 2025. So the financials will reflect five months of Siemens Energy in them. Therefore, they're not really comparable and we shown Siemens Energy as discontinued operations in the financials that you have seen.
- Moving on to the next slide. This is basically giving an overview of how we see the vertical markets moving in the next couple of months. Now with everything that is happening in terms of the global environment and so on, it's very difficult really to make a long-term prognosis of how we see the CapEx actually moving in the key verticals. But looking at it in the next our perspective or our visibility of the next three to six months is what we have tried to summarize over here, and as I mentioned already in our December meeting, we see the development of the market largely still driven by public CapEx. Private CapEx is still muted. Again, in the public CapEx, the power utilities, which impacts our Smart Infrastructure business largely is doing well, is growing very well. The Railways and Metros business, the pipeline is good. Ordering is happening and that we see also a robust pipeline there and Water is also picking up overall. Emerging verticals I talked about also in our December analyst meeting where I said we see continued investments happening in the emerging verticals, Electronics, Semiconductors, Batteries, Data Centers. And that has not slowed down. That continues and we expect continued growth to happen in this area as well. Major players who are all known and have already announced their CapEx investments are continuing with their plans of investment in these areas.
- So I think this is a positive side. When I look at the conventional verticals and this is more private CapEx, it's a mixed story. Again, not much change over what we talked about in December. While Commercial Building, Pharma, Cement and Chemicals are doing reasonably well, we do see, I wouldn't call it a slowdown, but we do see a flattish CapEx growth in Food and Beverage, Automotive, Machine Building and Metals. And if I take these individually, I think now this is really a surprise. There's hardly any CapEx happening in the Food and Beverage area. Overall, the Food and Beverage market is flattish due to urban lagging behind the rural economy over there. The Automotive business as well, there is a postponement in the CapEx plans in Automotives. Retail sales growth has been very, very low in the last quarter. Commercial Vehicles actually declined in in in the December quarter and retail inventories are actually still there. Depending on who you ask, we see between 30 to 60 days of inventories actually in the system. Machine Building is flattish again, I believe this is largely due to the geo economic situation, the macroeconomic uncertainties, exports are down. Delayed decisions by end users in the conventional sectors as they wait and watch to see what the impacts of all the tariff crisis will be around the world.
- And Metals you are aware of the dumping element that was there. I expect this could possibly pick up

in the
next couple of months thanks to the 12% anti-dumping duty that was put in by the Government. But again, Steel is a long-term investment. We will wait and see in in terms of the major announcements that are made by the major players over there. So really a mixed bag, private sector still slow, very, very muted whereas the public CapEx continues to flow in with emerging verticals continuing to be invested in CapEx by the major players who had already made the announcements.
- To summarize our Quarter 2 businesses and if I were to look at the three businesses that we have here, Digital Industries, as we mentioned is has largely continues on the normalization of inventories. It is a little bit early to talk about whether we think we've hit the bottom or not. The first signs of growth have come in in this last quarter. We will have to wait and see whether this continues and the curve is actually turned around, but of course large amount of our Digital Industries business is driven by private sector CapEx. Indeed, everything in our Digital Industries business is driven by private sector CapEx and this is where as I mentioned earlier, we see mixed developments. Inventory levels, however, with the channel, partners are definitely continuing to

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come down and are beginning to normalize and we are beginning to see the first signs of some channel partners beginning to order.
- Is it too early to celebrate? I believe so, but we will watch in the next couple of quarters and see whether this growth curve continues and actually picks up over time.
- Smart Infrastructure business is growing well, particularly in the electrification space. Power Utilities are growing, transmission distribution are doing extremely well. Semiconductor factories are coming in. They require medium voltage, low voltage products. Data Centers as well continue to grow and we continue to invest as we had already announced in our vacuum interrupters, in our GIS technologies there in Goa and those investments are on track.
- Mobility, as I mentioned earlier on, shows a robust pipeline, quite a robust pipeline, predominantly in the rolling stock area. What we are not sure about though is how much of this is going to be solutions, in other words, complete trains being required, being tendered or whether it'll be components in the Indian Railways actually assembles them themselves. And this will depend tender to tender and we will see and we will react accordingly.
- Signaling continues to pick up and we see a huge market over there. This will be the next growth engine – both rolling stock and signaling in the country and we see continued growth prospect prospects over there.

- On exports, we've now got the third export order from our parent for bogies to be distributed in other parts of the world. And we continue to deliver on this. So the export business, while the bogies business is relatively slow from a domestic perspective we continue to get orders from our parent in terms of exports and that's what continues to help us grow this business as well.
- The 9000 horsepower project is also on track. We're in the process of homologation of the prototype right now. You must have heard the Honorable Minister for Railways visited our factory a couple of weeks ago was highly impressed by what he saw and by the progress over there. And has already mentioned that the homologation is on track and once this is done we will start mass production in line with the production schedules of the customers. So this project is very much on track. It's actually a product delivery. We are only delivering the locomotive as a product out of the factory. There's no civil work or any other project business linked to this. We have received an additional order for maintenance that we have booked during the quarter and Wolfgang will give more insights into that as well.
- With that, I'd like to hand over to Wolfgang to basically talk about eac

h of the segments that we have got in
more detail and then I will wrap up at the end of it. So over to you, Wolfgang. Thank you.
- Mr. Wolfgang Wrumnig – Executive Director and Chief Financial Officer, Siemens Limited:
- Thank you, Sunil! Good morning, everyone. Thank you for joining us today. I am excited to share with you the financial performance of our company and each of the businesses for the first half and second quarter of this fiscal year.
- Starting with Digital Industries, as you all know, this segment is going through a normalization cycle globally. On the performance of this business, we see positive order growth momentum: order growth from ■7.6 billion in Q4 of last fiscal year to ■8.1 billion in Q1 of this fiscal year and now ■9.5 billion in Q2 of 25. H1 growth is at 1.2% while Q2 contributed with 6.1%. As Sunil said, while it may be too early to celebrate a return to growth in

this business, we will monitor the New Orders closely in the coming quarters before we make a definitive statement here.
- When it comes to Revenue, we had a slow start in Q1 with a significant decline, but we saw a catch-up in Q2 with revenue of ■10 billion, more or less flat compared to the previous year. A Book-to-Bill ratio of 1 supports our view of normalization in our Digital Industries business. Our EbitDA margin has dropped significantly due to three reasons and this I will discuss now, as we talk about the normalization cycle.
- To give you a sense of the normalization cycle and where we are heading, let's look at the historical performance of Digital Industries. We had a normal pre-COVID period with Book-to-Bill of around 1 and margins of around 6-8% from fiscal year 2019 to fiscal year 2021. This was followed by the COVID years starting March 2020, which led to supply chain challenges with orders dropping in fiscal year 2020 and then reaching its peak fiscal year 2022 as customers started ordering in advance to compensate for the longer lead times with a Book-to-Bill of 1.3. This situation enabled us to extract higher prices leading to higher levels of profitability. As lead times started stabilizing, customers changed their orders patterns and reduced orders significantly to bring down their own inventories back to normal levels. We did see lower orders in 2023 and 2024, when we executed our large order backlogs with peak revenues in fiscal year 2024, with good profitability. However, profitability started to decline in the second half of fiscal year 2024 and continued into H1 fiscal year 2025 due to muted pace of private sector CaPex, increased import prices and net of economies of scale on Revenue, and a change in product and channel mix. We are now consciously not pushing volumes to the channel to avoid overstocking once again – no "sales to stock" but only "sales for projects". This should give you now some more insights into the somehow special cycle of this business and the development of Orders, Revenue, and EbitDA margins.
- Moving on to the Smart Infrastructure. This business shows orders are consistently growing with an increase of almost 14% in Q2 compared to the previous year and 11% for H1. The main driver for this positive development is the electrification and automation business with a positive market environment and competitive portfolio for power distribution networks with energy automation of the future. Revenue is also developing well, consistently growing by 6.6% in Q2 and 6.8% in H1 compared to the previous year. Product mix and stringent execution are driving consistent margin improvements, with EbitDA increasing from 15.3% in H1 2024 to 16.3% in H1 2025.
- C&S Electric, which we acquired in FY 2021, continues to grow profitably and we are very satisfied with their performance. In summary, Smart Infrastructure performs well despite a volatile business environment.
- The next business I am addressing is our Mobility business. It is a project business

with a volatile order
situation from quarter to quarter. Orders in H1 reached ■24.2 billion compared to ■6.1 billion in the previous year, an increase of almost 300%. An export order for bogies already mentioned by Sunil for a Metro project and local orders for propulsion systems and railway electrification contributed to this positive development. In addition, there was also an increase in the 9K HP locomotive order due to the expansion of scope of work for loco maintenance as per the terms of the contract (■7.7 billion).
- Revenue in Q2 is ■7.4 billion, up compared to the previous quarter but slightly down compared to the previous year. H1 revenue is also slightly down by 3.0% compared to the previous year following normal project delivery cycles as we execute our strong order backlog. EbitDA for Q2 is 7.2%, down compared to the

previous year due to higher investments in R&D, engineering costs, and SG&A. Overall our H1 EbitDA margin went down marginally from 9.3% to 8.2%. We expect margin quality to improve going forward.

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- Finally, our Low Voltage Motors (LVM) business continues to experience a weak market. New Orders dropped by 6.9% compared to the previous year due to continuous weak demand and price pressure, which is a common phenomenon in the market. For H1, the decline in new orders was 6.6%. Revenue grew by 6% compared to the previous year, resulting in H1 Revenue growth of 4.2%. We continue to execute our order backlog in the Motors business. This business reported an EbitDA of 9.5% in Q2, up 340bps compared to the previous quarter. Year-to-date, the business reported an EbitDA margin of 7.8%, down by 130bps due to lower price realization and higher royalties paid to Innomotics, the former global Siemens business, now owned by KPS Capital Partners.
- As already mentioned in 2023, our Low Voltage Motors business (LVM) is dependent on technical support from the global Innomotics business. In October 2024, Siemens AG, our parent, sold the global Innomotics business to KPS Capital Partners. In view of this sale and the dependency on the global Innomotics business, we will now explore options for the future of the Low Voltage Motors business.
- In conclusion, in summary, Digital Industries, after significant growth in the last few years, is now returning to normal cycles. Its performance is dependent on growth in private sector CaPex. Smart Infrastructure business continues to perform, growing the business and expanding profit margins. In our Mobility business, we see many market opportunities going forward and continue to invest in this business for a successful future. After the divestiture of the global Innomotics business, we will develop next steps for the Low Voltage Motor s business.
- In the next slide, you will see the distribution of our business mix and also the geographic mix. There is a substantial improvement in our exports as a percentage of Revenue, with over 80% of exports from the Smart Infrastructure business and the balance from Mobility. We expect this development to continue. On the business mix, we are consistent with around 29-30% coming from projects, which will increase with the ramp-up of 9K HP locomotive production.
- Now, I come to the summary of Q2 financials. A very quick recap of the financials you might have already seen. We are positive about our Order Backlog, New Orders, and Revenue. The EbitDA was largely down due to the normalization in the Digital Industries business. FX and commodity hedging had a positive impact on our business positive by 30 bps in Q2 while in H1 the impact was negative 40 bps.
- Our Profit before Tax went down significantly from ■8.8 billion to ■5.9 billion, a decline of 37.6% vs. Q2 prior year. As already mentioned by Sunil, largely due to exceptional items including a gain on a property sale last year (■1.9 billion) and demerger expenses incurred this year (■0.6 billion). Excluding these extraordinar

y

items, our underlying Profit before Tax (PBT) declined by 11% and this, as already explained, due to the normalized performance of Digital Industries. The decline in reported PAT was 37.1%.
- So this is my final slide summarizing the H1 performance. I won't go through all the details, but it provides a view of Siemens Limited for 6 months and Siemens Energy for 5 months, as the appointed date for the demerger of the Energy business was March 1. As mentioned by Sunil earlier, we demerged the business on March 1, and it was transferred to Siemens Energy India Limited, which will be listed on the BSE and NSE in due course. Overall, the Energy business, which you can see here for 5 months for fiscal year 25 is developing very well, with orders and revenue growing and profitability expanding.
- With this, let me hand it over to Sunil for his closing remarks. Thank you.
- Sunil Mathur – Managing Director and Chief Executive Officer, Siemens Limited:

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- Thank you, Wolfgang. So in summary, I think we can say that in spite of the global economic uncertainty, we believe that both our growth as well as our profitability is on track. I think when you look at the overall economy moving a large element of it is happening driven by public CapEx and then there's the emerging verticals over there and we are following that trend as well. I do expect, however, private sector CapEx to pick up. I do expect also that we have probably hopefully reached thelow end of the curve on digital industries in terms of normalization. And inventory levels down with our channel partners, will start resulting in fresh ordering moving forward. We continue with our CapEx spending as well and we will continue to invest. Mobility and smart infrastructures are doing well and continue to be the growth drivers. We see that happening, particularly since both of them are very closely tied in to public CapEx over there. And finally, as Wolfgang mentioned, we will start exploring options for the Low Voltage Motors business. Moving forward, all in all, we are not concerned right now. We continue to be optimistic about our own numbers and we believe we are very much on track in terms of profitable growth continuing. We will have to wait and watch and see how things develop in terms of private sector CapEx, but that will definitely be an upside for us. With that, we come to the end of our presentation and hand it back to Radhika to moderate the Q&A.
- Thank you very much.
- Radhika Arora – Head, Investor Relations, Siemens Limited:
- Sure. Thank you. Thanks, Sunil. So we have the first question from Harshit Patel from Equirus. You may want to unmute at your end and please carry on.
- Harshit Patel – Equirus

- Hi, thank you very much for the opportunity. My first question is on the Digital Industries margins. What are the different levels that we have to expand the margins over here since the business does not have a much localized manufacturing footprint in the country? I understand that increasing share of software would be one of the drivers, so if you can share your thoughts on DI margin trajectory ahead, that will be helpful.
- Also, just a follow up to that, what kind of CapEx and localization we have done in case of the instrumentation portfolio, I mean by gas meters, your pressure transmitters, viscosity meters, that kind of a portfolio.
- Sunil Mathur – Managing Director and Chief Executive Officer, Siemens Limited:
- OK. Thanks Harshit. Let me take the first one. The levers to expand the DI business. I think look this is very, very much very clearly a volume story. And the more you sell, the greater the volumes because the more you are able to cover your fixed costs over there particularly since, as you rightly mentioned this is entirely important material that we are selling. Software does play a link and we are including that as part of solution providing as part of system integrations that we do with partners.

Will this play a major role in the next couple
of quarters? I doubt it because the first criteria for profitability growth is of course the volumes need to come in. The areas that are impacted that really have an impact on profitability in DI are of course the transfer pricing and that is the underlying element, but there is also foreign exchange and commodity prices that also have an impact on that. Broadly, though, we expect that the levels of profitability will go back to the levels of normalization that we had experienced couple of years ago as well as was showed in the chart by Wolfgang. On CapEx and localization of instruments, we do not currently have any plans to localize pressure transfer transmitters and sensors and communication devices here. We do not yet see a business case to set up local manufacturing for that.
- Radhika Arora – Head, Investor Relations, Siemens Limited:

- OK. Thank you. We have the next question from Subhadip Mitra from Nuvama. You may go ahead.
- Subhadip Mitra – Nuvama Institutional Equities
- Hello. Am I audible now?
- Radhika Arora – Head, Investor Relations, Siemens Limited:
- Yeah. Yeah, we can hear you.
- Subhadip Mitra – Nuvama Institutional Equities
- Hello. Good morning and thank you for the opportunity. So my first question is with regard to the Mobility segment. As I understand that, you know, we have probably three legs of growth there, Indian Railways related orders, Metros and high-speed rail signaling and exports. Would it be possible to throw some color as to, you know, what is the overall size of the market or potential orders that you might see in each of these three segments?
- Sunil Mathur – Managing Director and Chief Executive Officer, Siemens Limited:
- So I don't want to give you numbers over here, but what I can tell you is in each of the three segments that you that you described, I can give you a qualitative response to that Subhadip. As far as the railways are concerned in terms of rolling stock you are aware of the entire Vande Bharat trains. There's propulsion systems, there is bogies, there is locomotives, all of which are in the pipeline as far as the Indian Railways are concerned. So you are aware that they want to introduce Vande Bharat trains running between all the major cities in the country and that pipeline will start. You're also aware that locomotives are going to be we've done the 9000 or we're doing the 9000 horsepower. There are also other horsepower levels, 6000 horsepower being discussed, 12,000 horsepower being discussed. The market definitely needs many more locomotives than are currently out there and that brings demand automatically for bogies as well. When I move on to Metros, I think it's every single city in the country requires metros, not only the Tier 1 cities, but it's now moving to Tier 2 Tier 3 cities as well. And every city will require more than one line, as you have seen already in the major metros, they will require multiple lines. So the demand for Metros is also there.I must put a word of caution in over here, of course, because Metros is run not by the Ministry of Railways. It's run by the Ministry of Housing and Urban Development and consequently it is not only a central issue, it is a central and state issue. And linked to that is of course the financing model for Metro. So This is why currently there aren't too many metros happening, but at some point in time PPPs will probably kick in and we expect this market to pick up as the need for urban mobility increases. Moving on to signaling and electrification, I think electrification of the main line is pretty much done, over 97-98% of mainline has been electrified. So there's too much more on the main line. There is however much. A very large opportunity for electrification of Metros, as this market grows and this is something that is still happening independent of the rolling stock activities. Signaling you have heard already, 6

7,000 kilometers of signaling still need to be upgraded with the new
Kavach system that the government is bringing in.
- And signaling is really a large opportunity over there as well. So overall and on high-speed trains and bullet trains, as you call them, this again you're aware the Ahmedabad-Mumbai sector is under construction. There are seven other sectors that are in the pipeline as well. I think the government has to take a view when they want to start the next one or the next ones, but the market is definitely there for that as well. So effectively I would see this market pretty robust with the visibility that we have already in the short term of the pipeline, I see this pretty robust in the next five to seven years.

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- Subhadip Mitra – Nuvama Institutional Equities:
- Thanks. Just as a follow up on the Smart Infra piece, we've seen strong margins and strong growth, do you see that level of growth and margins also continuing?
- Sunil Mathur – Managing Director and Chief Executive Officer, Siemens Limited:
- Yes, I would expect them to actually increase.
- Subhadip Mitra – Nuvama Institutional Equities:
- Understood. That's it from my side. Thank you so much.
- Radhika Arora – Head, Investor Relations, Siemens Limited:
- Thank you. The next question is from Mohit Kumar from ICICI Securities. Please go ahead Mohit.
- Mohit Kumar – ICICI Securities:
- Am I audible? Hi.
- Radhika Arora – Head, Investor Relations, Siemens Limited:
- Yeah, yeah. Now we can hear you. Can you just be a little bit close to, you know, your speaker?
- Mohit Kumar – ICICI Securities:
- Yeah. Good morning, Sir, and thanks. Morning and thanks for the opportunity. My first question is on the mobility, the shaping up there. I think very strong order booked for last few years. My question is, any color on the execution as you move forward, especially with your larger order? You got a large order in this quarter. And the 9000HP order. Any color on the execution as you move to next fiscal? And as you start executing the large orders, any color on the margin profile is still the single digit right now?
- Sunil Mathur – Managing Director and Chief Executive Officer, Siemens Limited:
- So as far as the Mobility orders, look, there are again, as Subhadip mentioned earlier, if I break this down into the three different segments that we have – on the electrification, these are orders that run for 18 to 24 months, are supply and commissioning, and those orders are all on track. No area of concern, this is routine business for us as is also the signaling business. So, I don't have too many concerns over there, implementation is not an issue. The 9000 horsepower production, as I mentioned, the prototype is under homologation. I expect that to happen in the next couple of months and then it is basically moving on towards commercial production. We are completely on track with the schedules of the manufacturing there. And I think we will continue to deliver as per the contract requirements, ramping up from 5 to 20 to 60 to 100 eventually and I do not have any areas for concern over there.
- The order that you mentioned that was booked in the quarter was more for maintenance, which will be post deliveries. So, this is a part of the post-delivery 30 year maintenance project or order that we have received as well and that is also more or less business as usual. I do not have any concerns on the execution cycle. These are not large projects that we are implementing which are highly complex. These are largely production orders and the electrification and signaling are more smaller orders that we've been doing regularly without

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any slippages for the last couple of years. In terms of margins, we are moving up in the range of the margins that are also globally the target margins and our intent is to continue to be in that range. You need to keep in mind that we continue to invest also in this business. We are investi

ng in capacities. We're investing additional
technologies, etc. and that is where part of the margins are initially impacted. But of course, all this investment plays out eventually in the ordering that we get for bogies, propulsion and so on. And so on for bogies, propulsion equipment and so on that we that we have set up over here.
- Radhika Arora – Head, Investor Relations, Siemens Limited:
- Thank you, Mohit. The next question is from Renu Baid from IIFL. Renu, you can unmute yourself and go ahead. Renu? I think we go to the next question. Maybe she's not able to hear us. The next question is from Sameer Thakur from Ambit. Sameer, you want to go ahead? Sameer? So we move on to Amit Mahawar from UBS. Amit, you want to go ahead? We have unmuted you.
- Amit Mahawar – UBS
- Yep. Can you hear me, Radhika? Yeah.
- Radhika Arora – Head, Investor Relations, Siemens Limited:
- OK. Yeah. Yeah, we can hear you. Yeah.
- Amit Mahawar – UBS
- Hi Sunil, you know. Good performance in order. I just have one question on Mobility and SI. C&S electric, you know. Somehow C&S and Siemens. Do you think you're very happy with the C&S Electric ramp up when it comes to the, you know low, medium voltage value exports? And also on the Mobility side, do you think we're under shooting on the export orders from parent? Can we do much better? So just on these two parts, largely on export business. Thank you.
- Sunil Mathur – Managing Director and Chief Executive Officer, Siemens Limited:
- So on C&S, we are actually quite, quite pleased with the progress of C&S. Exports has picked up tremendously this year. Double digit numbers growth already in the exports and we expect this to continue to grow in exports as well. We are very, very happy with the overall performance of C&S. In terms of Mobility. Look, we've got a massive domestic demand already in place. And there is a pipeline over there. Our bogie factory is already being filled up with orders coming in from the parent. We continue to export propulsion

equipment as well out of our Aurangabad factory. So there is a steady pipeline coming in from our parent for bogies as well as components. Can we do more? Yes, we can do more. Once we start the locomotive productions and this gets more into a steady state mode of production, I'm sure there are possibilities to export locomotives out of our Dahod factory as well. So yes, as the business starts increasing and as we continue to build local capacities over here, opportunities in the global markets will come up as well.
- Amit Mahawar – UBS
- And can I say Mobility and SI next year is going to be meaningful ramp up in profitability because in SI we are late/ If you see medium and low voltage players like Schneider, I'm sure portfolios are different but still we have a lot of headroom on SI Profitability and even on the Mobility side next year can be an inflection point for profitability. That's it. Thank you.

- Sunil Mathur – Managing Director and Chief Executive Officer, Siemens Limited:
- So I'm not going to compare to the competition, but I think all I can say is that the profitability levels that we achieved last year in September is very much comparable with local competition as well in SI. And I see that our profitability levels… Look, we are not lumpy in our growth and we are not lumpy in our profitability. You know, we will continue to grow steadily and we will continue to grow the bottom line steadily as well because we want to ensure that this is a steady state growth and that this is not spikes that you see quarter to quarter that we then got to come back and explain to everyone and therefore we are very, very conscious that we build up a pipeline that is robust. That pipeline helps us grow the top line, but also helps us grow the bottom line. So the intent is very clearly in SI to do that. In mobility as well as we start getting into execution of these orders the top line

and the bottom line will start coming in as well. I don't know what you mean by meaningful,
but we will get continue to increase the … or our aim is very clearly to increase the bottom lines as well for Mobility indeed, also for our Digital Industries business, once we start growing the volumes over there as well. So, as I mentioned in my summary slide, we are continuing to look and continuing on our path of profitable growth in every single segment.
- Amit Mahawar – UBS
- Good luck, Sunil. Thank you.
- Radhika Arora – Head, Investor Relations, Siemens Limited:
- Thank you. We have the next question from Jonas Bhutta from Aditya Birla Capital. Jonas, you can go ahead now. You'll have to unmute at your end.
- Jonas Bhutta – Aditya Birla Capital
- Hi, good morning and thank you for the opportunity and great set of numbers in the current environment. Mr. Mathur, just two quick questions. Firstly, and this is continuing from Amit's question. So you know what we see is the share of exports is about 12-odd %. The consolidated entity with energy used to have exports of closer to 20%-plus. Over a three-to-four-year period, should one assume that this portfolio, the residual portfolio that we have now, can have the export share going up back to 20%?
- And the second question was on SI. You know, our parent entity derives almost 20% plus of its segment revenues from services. Could you share what it is for the Indian entity here and in a way you know, these two questions are sort of interrelated because, as we see the financials of Siemens India ex-Energy now, we see that almost 28-30% of sales come from traded goods. While we understand it's largely the impact of DI, I was looking at what could be the offsetting levers in the form of either services or exports that could probably help margins on a more medium-term basis. Those are the only two questions. Thank you.
- Sunil Mathur – Managing Director and Chief Executive Officer, Siemens Limited:
- OK so I think the simple answer to your question in terms of exports currently at 12%, is yes, our intent is to grow the exports. They will grow or we will aim to grow them primarily in the SI and the Mobility businesses. Again, this will be a steady growth. We will have to see how we can contribute more. The SI business is very closely linked in to the global electrification environment and to data centers and areas like that. There's been a little bit of a slowdown over there at a global level, which has probably also impacted us marginally over here as well. But I do expect that our SI business as global exports or global economies pick up over there, in a three to five year time frame, as you mentioned, the intent would be to grow it. Mobility as well as we, as I

said earlier, once we stabilize production locally, once we are able to develop completely localized products over here, the intend very clearly of the global parent is to source out of India. So, whether this is 3-5 or it is over 5, I can't tell you, but a lot of it depends on how soon we can localize here, which is dependent on local demand and the execution over here. Once we have localized here, stabilized here, then the exports will start. I must mention, though, that we are very fast adopters and adapters of global technology. In the 9000 horsepower, first time ever done by Siemens, were done in the country. We are already 90+ percent localization and bogies we are already exporting. This is the third export job that we have obtained. So we are able to quickly turn around adoption of technology here, build our factories, adopt the technology, adapt it, bring the right price levels and export. So the intent very clearly will be and I think globally it is also a part of their strategy to use India much more, particularly taking into account the geopolitical situation right now, is really to use India much more for their export business.
- In terms of the mix between traded and s

ervices and exports, we do have a service business. If I were to
break this down DI has got a good service business in it. SI is a growing service business. Right now it is not very material, but there is a potential for it. There is a growing market for services. Mobility services are largely done by the Railways themselves and therefore that market for us is more or less not there but very, very small because the Indian Railways does their own service activities, although that is marginally also engaging as you see with the maintenance orders that we have started getting. They include all the orders for supply, also include maintenance in them.
- So again, margin expansions will come with increased localization with increased export business as well as well with the volume increases that. We can expect in India's private sector CapEx picks up.
- Radhika Arora – Head, Investor Relations, Siemens Limited:
- OK. Thank you. The next question is from Bhavan Vithlani from SBI Mutual Fund. Bhavin, you can go ahead.
- Bhavin Vithlani – SBI Mutual Fund
- I hope I'm audible.
- Radhika Arora – Head, Investor Relations, Siemens Limited:
- Bhavin. Yeah. Yeah, we can hear you. Yeah.
- Bhavin Vithlani – SBI Mutual Fund
- I have two questions. First is now post the demerger of the Energy segment. If you could just help us understand for Siemens in India, what are the entities which would be outside the listed entities when you compare the parent business? That's the first question. The second question is when I look at the Smart Infra business and compare with some of your peers like ABB, Schneider, L&T where the margins are in the 20s. Could you help us understand qualitatively the difference in the margins? Is it due to the mix or is it due to some where localization levels or could be lower. These are my two questions.
- Sunil Mathur – Managing Director and Chief Executive Officer, Siemens Limited:
- So ex-Energy Siemens Limited has got basically two subsidiaries. One is C&S and the other is Siemens Rail Automation Limited. So, these are the two subsidiaries of Siemens Limited which 100% roll into Siemens Limited. Siemens has other entities outside of the listed company. One of them is basically almost entirely

captive for software, DI Software, which is basically primarily local for global. The other is captive for shared services, which takes into account the technology, R&D, technology, application software, but also shared services in terms of accounting, HR and so on. These are the two major entities outside Siemens Limited.
- The other question was margins above 20%. To be honest, I don't see those margins in the other companies that you mentioned as being sustainably around 20%. Our margins are growing. I mentioned that, I mean, we started three or four years ago, four or five years ago with 8 or 9%. Our margins are now close, in the SI business to around 13 percent, 12 to 13% and we will continue to grow them. Taking into account the level that I just mentioned, I do not see 20% margins with the other companies that you've talked about as being sustainable margins and they have maintained over the last couple of years, couple of quarters. I cannot compare our margins on a like-to-like basis in terms of businesses also with their business. L&T overlaps with us are very, very negligible. And the others are also not at 20% right now.
- Radhika Arora – Head, Investor Relations, Siemens Limited:
- Thank you. The next question is from Renu Baid from IIFL. You're back in the queue, Renu. So you want to unmute yourself. We have unmuted you from our end. Renu? OK. We will go to Sameer Thakur from Ambit. He isn't able to unmute at his end, but he's put his question, he said. My questions are just for clarity whether DI normalization is on volume or as well as on price. Also, what is the software percentage in DI Revenue? Is it in low single digits? And on MO yesterday your

JV was awarded the bullet train signaling contract where
your bid was 1/3 of that of the L2. I believe that includes maintenance as well. And what's the length of the maintenance contract? What's your share in the overall contract.
- Sunil Mathur – Managing Director and Chief Executive Officer, Siemens Limited:
- So I think in terms of DI as I mentioned, DI is a volume game and the volumes and the margins are very closely interlinked. So we expect the volume to be normalized both or we expect the business to be normalized both on the volumes as well as on the margins. Software is negligible right now in the overall DI business. We want to build this up and we see an opportunity over here and we are also collaborating with the other sister company outside of the legal entity. To see whether we can combine our hardware solutions, their software solutions, and bring in fresh solutions over here for the customer. And this is part of Siemens Xcelerator, which is what we are now building up here as a business where we already have over 200 use cases and we are looking to now expand on this business. Currently, however, the software business is negligible in overall volume. On the Mobility signaling order the prices have been opened recently. The tender is still under evaluation. I would not like to talk about it at this point in time. Once there has been a conclusion to the order, we will give you complete transparency about that business.
- Radhika Arora – Head, Investor Relations, Siemens Limited:
- Thank you. We have the next question from Suraj Malu from Catamaran. You want to go ahead, Suraj.
- Suraj Malu – Catamaran
- Yeah. Thank you very much. My first question is on some numbers reconciliation. If I look at the last H2 FY 24 presentation, the order intake for March 24 says 2000, it says ■1790 crores. Whereas if I look at the current presentation, the March 2024 order intake for smart increase ■2220 crores. So that's a difference of more than ■400 crores. So can you help reconcile these numbers?

- Radhika Arora – Head, Investor Relations, Siemens Limited:

- Yeah. So, Suraj, just on your this question, what you're looking at for the previous year numbers, those are on a standalone basis, what you're seeing now is consolidated including C&S, yeah.
- Suraj Malu – Catamaran
- OK. Got it, got it. And the next question is to understand for the past two years, FY23 and FY24, the Energy segment has grown like 13% and 4% whereas there was huge demand for Power Transformers, switchgears and like other peers have grown at like 20-30% so just wanted to understand what was the reason for that?
- Sunil Mathur – Managing Director and Chief Executive Officer, Siemens Limited:
- So as Radhika mentioned Suraj, we will not talk about the Siemens Energy business in this analyst meeting. There will be a separate analyst meeting that will be called at the right time with the management of Siemens Energy and we will allow them to provide the responses to that.
- Radhika Arora – Head, Investor Relations, Siemens Limited:
- Yeah, you have any other question, Suraj?
- Suraj Malu – Catamaran
- No, thank you.
- Radhika Arora – Head, Investor Relations, Siemens Limited:
- Thank you. The next question is from Sai Sidharth from Kotak. So I have unmuted you from our end. You can unmute and go ahead please. OK. We have the next question from Harshit Patel. Harshit you're back in the queue from Equirus. Please go ahead.
- Harshit Patel – Equirus
- Thank you very much for the follow up question. So my question is on the Smart Infrastructure business. So as I understand there are three distinct and large segments within this one. Electrification and Automation, Electrification Products as well as Building Solutions. Could you explain how these large 3 segments have felt in the past few quarters and outlook for these segments? Also, is there a very substantial difference in the margins between these thre

e? That is my only question.
- Sunil Mathur – Managing Director and Chief Executive Officer, Siemens Limited:
- The Electrification and Automation business is primarily in simple terms, medium voltage, right? So everything that is primarily medium voltage switchgear and solutions comes under the Electrification and Automation business. The Electrical Products business is low voltage business and this covers low voltage switchgear and panels as well, and the Building Solution is energy efficiency solutions, which is basically a mixture of fire safety, security and building management systems. So that is the split of the three segments or subsegments that we have in the SI business.
- Electrification, when I talk about electrification which might talk about both the medium voltage as well as the low voltage business and both of these businesses in the last couple of quarters, and I expect in the couple of quarters moving ahead. Looking at the at the increased demand for energy in the country, I expect there these businesses will continue to do fairly well. I must, however, put in a little bit of a rider over here. Both

Electrification and Automation, as well as the Energy Products businesses have an element of private sector investment as well, right? So this is not only in terms of the Electrification and Automation business, it is very largely Public Utilities, but there is also a very large private sector component in there. Medium voltage. The Electrical Products has a mixture also of selling in to the industrial segment as also into the infrastructure segment. As I mentioned in my in my comments right at the beginning the Infrastructure segment is doing well, although the industrial segment right now is a little bit muted and that's what we see reflected in the Electrification Automation as well as in the Electrical Products business. As a private sector opens up and starts their expansions, we expect both these businesses to expand further. On the Building Solutions, this is primarily going around commercial buildings, malls, stadiums, commercial buildings as well. Here, there is a growth that is coming in. Both for Greenfield, but also for Brownfield, increasing interest in energy efficiency solutions, increasing interest as regulations come in, in fire safety and security solutions. But this is largely project business. So this takes into account not only the products of fire safety security but also takes into account projects where we work on an EPC basis with other suppliers and system integrators, either work into system integrators or do the EPC activity ourselves. And therefore this business is OK but will grow as public CapEx in the building space actually starts expanding. I hope that answers the question.
- Harshit Patel – Equirus
- Yes, Sir. Thank you very much for answering my questions and all the very best.
- Radhika Arora – Head, Investor Relations, Siemens Limited:
- Thank you. OK. I think Renu can also not unmute herself, but she sent her questions. The first question is can you share business outlook for the Siemens buildings automation portfolio? Second one is, can you quantify the value of maintenance order value for the loco recently one? Also, what is the mix of short cycle electrification and SMT orders? Sorry, short cycle, short cycle electrification and signaling orders versus long lead cycle mega orders with more than five years execution cycle, the third one being by when will the bogie factory be ready for exports? Execution has been in the last six months versus strong double strong double digit inflows. By when do we see execution headwinds easing out and execution catching up with double digit

growth?
- Sunil Mathur – Managing Director and Chief Executive Officer, Siemens Limited:
- OK. So on the building automation, I just responded to Harshit's question over there. We see that very closely linked in to commercial buildings. And the business

is mixed. We see as I mentioned in my slide today,
commercial buildings increasing. A large element of this is Greenfield and they are using our safety security systems as well and building management systems. How fast will this grow? I think it is. We are growing reasonably well over there, but we are watching it because we are concentrating on margins in this business because it is profitable, it is a project business. Right now, the margins are below what we would like them to be. So we are actually being cautious in first getting the margin levels up to levels that meet our requirements before we start taking every order that is out there on the market. So you will probably see a slightly slow development on the building automation side as we concentrate and focus on margin improvements vis-a-vis the volumes over there.
- On the maintenance job of the current project booked. It's about ■7.5- ■7.7 billion. As Wolfgang mentioned, this is part of the contract which allows for certain expansions based on technical agreements and technical solutions that are provided. So that's on the 9000 horsepower maintenance project ■7.7 billion.

- The short cycle, electrification and signaling, yes, in terms of the long lead projects I think right now the short cycle business, 1 ½ to 2-year projects, electrification signaling will dominate. The long leads are basically product linked and are primarily as we speak right now linked in to product supplies coming out of factories for bogies for the export jobs and for the 9000HP, which is in line with their delivery schedules by moving to 60, moving to 100 locomotives a year and this will kick in within the next one to two years in terms of the in terms of the delivery schedules over there. So I see overall the stabilization of the 9000HP products in the next two years probably. Once we get this up to 60 and 100. I think once we get to 100 a year, which will probably be in about three years' time, then we will be in a stable mode and then we can start looking at export projects products after that. In terms of the bogie factory, the bogie factory is already ready and we've already started exporting over there. As I mentioned, this is the third export job that we have got. The 9000 horsepower factory is also ready and was viewed by the Minister. As I mentioned earlier, it is now really gearing up to start commercial production of the Locomotives five first and then sixty and then moving up to 100. So this will happen in the next two or three years.
- Radhika Arora – Head, Investor Relations, Siemens Limited:
- Thank you. So we'll take one last question. I think Sai again from Kotak is not able to hear us but he sent his questions. So his first question is what kind of orders will be undertaken for the bullet train orders? How different are these in the fitting versus the orders with L&T? And the second question being, is cash being paid out to Siemens Energy and the related reduction in other income for continuing operations?
- So I'll take the first one, Wolfgang will take the second one. The first one was in terms of the…is this talking specifically about which order? The current signaling order. Yeah. Look at this point in time. I wouldn't like to talk about details of the current signaling order or signaling tender. It is under tender evaluation. Both. There are two parties. One of us is and we will allow the Technical Evaluation Committee to do their evaluation, award the contract and once that is done, we will provide you all the details of the order. All I can tell you is I don't know what the strategy of the competition was in bidding, but our bid price over here meets our margin orders and meets our overall strategy of profitable growth. So there is there is no compromise on that. As I said, I can't comment on what the competition has done.
- Mr. Wolfgang Wrumnig – Executive Director and Chief Financial Officer, Siemens Limited:
- OK.

On the matter of the demerger. So yes, we went through the demerger process and in this process we allocated assets and liabilities to the Energy business and certainly a cash position was also part of this allocation and was transferred 1st of March to the Energy business. So the amount was in the range of ■25 billion.
- Radhika Arora – Head, Investor Relations, Siemens Limited:
- Yeah. Thank you. So that was the last question for today. Thank you very much.
- Sunil Mathur – Managing Director and Chief Executive Officer, Siemens Limited:
- Maybe just one. Last sentence from my side. We continue to be positive about the economy. We expect private sector CapEx to pick up. We are very committed to continue on our path of profitable growth. Mobility will be the growth driver, but we will not compromise there on the profitability. Even as we grow there. Smart infrastructure is doing well. We will continue to grow that business both on the top line as well as the bottom line as well. Digital Industries business is a business where we see a huge upside coming in. As companies start expanding their CapEx, there will be a need for automation and digitalization solutions. We have the

portfolio within Siemens Limited of Siemens Xcelerator where we can provide a complete solution to customers in 13 market verticals. And so we are well positioned over there. In spite of the fact that it is largely or entirely an import product-based business. But we see here as the economy grows, private sector CapEx picks up, we see that this business will pick up as well in the short-to-medium term. I do not see this as a long-

term challenge. I see this more as a short-to-medium-term upside potential for our businesses. Thank you very much for joining us and have a great day.
- Radhika Arora – Head, Investor Relations, Siemens Limited:
- Thank you everyone. You can now disconnect the call.

END OF TRANSCRIPTION

Call: Dec 2025

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December 18, 2025
National Stock Exchange of India Limited
BSE Limited
Scrip Code –
National Stock Exchange of India Limited: SIEMENS EQ
BSE Limited: 500550
Information pursuant to the SEBI (Listing Obligations and Disclosure Requirements)
Regulations, 2015 (“Listing Regulations”)
Dear Sir / Madam,
Pursuant to Regulation 30, 46 and other applicable regulations of the Listing Regulations, please find enclosed the transcript of the Company’s Analysts / Institutional Investors meet held on December 12, 2025.
The said transcript is available on the website of the Company at:
https://www.siemens.com/in/en/company/investor-relations/analyst-meet.html#2025
Kindly take the above information on record.
Yours faithfully,
ForSiemens Limited
Ketan Thaker
Company Secretary
Encl.: as above

Analyst and Investor Meet for Siemens Limited
for 12 months ending September 2025

Management:

• Mr. Sunil Mathur – Managing Director and Chief Executive Officer
• Mr. Wolfgang Wrumnig – Executive Director and Chief Financial Officer
• Ms Radhika Arora – Head, Investor Relations

– Ms. Radhika Arora - Head Investor Relations, Siemens India:
– Good morning, everyone. It's a pleasure to welcome you all to the Analyst and Investor Meet for Siemens Limited. I am Radhika Arora, Head of Investor Relations. It's wonderful to see so many of you here today, especially as this is our in -person gathering after a long time.
– The past couple of years have brought significant change and progress for our company, as many of you would have seen. A major development during this period has been the demerger of Siemens Energy India Limited, which is now a separately listed pure play energy company. Many of you would have attended their Analyst and Investor Meet just a few days ago. Today our focus is firmly on Siemens Limited, our business and financial performance and our future.
– I am delighted to introduce our management team:
– Mr. Sunil Mathur - Managing Director and Chief Executive Officer, who will share insights into our strategic direction.
– Mr. Wolfgang Wrumnig - Executive Director and Chief Financial Officer, who will present a financial overview and discuss priorities as we move forward.
– Today's agenda will cover a review of Siemens Limited's performance since 2021, a detailed business and financial overview of our segments - Digital Industries, Smart Infrastructure and Mobility, and a discussion on our future priorities. The presentation will be followed by a Q&A session. Please note, we will be discussing the 12 -month period ending September 2025. This is not our financial year end. As you may be aware, Siemens

Limited is transitioning its financial year from September into March end cycl e. So our next financial year will conclude in March 2026.
– Before we begin, I would like to remind everyone that the disclaimer page that is a part of the presentation we will be discussing today, and is also available on our website. By

2 participating, we take it as read, that you have acknowledged the disclaimer. During the course of the meeting, I would request all of you to please put your phones on silent mode. Thank you once again for joining us. We look forward to an engaging and ins ightful session.
– With that, I would like to invite Sunil and Wolfgang on stage, and Sunil to start his presentation.
– Mr. Sunil Mathur - Managing Director and Chief Executive Officer, Siem

ens India:
– So, good morning and thank you, Radhika. Good morning to everyone and welcome to the Analyst Meet. A long one or a long -awaited one where we were also looking forward to interacting with you, and I hope we can keep it interactive after we have done our presentation here.
– As Radhika mentioned, our intent is today to give a little bit of how we see the macro environment in the country, how we see Siemens addressing the macro -economic environment in the country, and then we will deep dive a little bit into the performance over the last couple of years to set the context for what we are actually planning to do in each of the three segments - Digital Industry, Smart Infrastructure and Mobility. So, let's start first with how we see actually what's happening in the economy.
– Now, 6.5% growth, from our perspective or from my perspective, I think is more or less a given. I think the question is can we get to a 7 -7.5% growth rate, particularly taking into account the fact that private CapEx has been muted. The last couple of year s, and indeed the last year, has been encouraging on multiple accounts. Firstly, investment in CapEx in infrastructure has continued. So, public sector CapEx, in spite of everything, has continued to happen. And I know there were a lot of discussions about you know why the CapEx in infrastructure in the budget had not been bumped up substantially, it was only a 10% increase over there. The reality is that over the last five years, we have seen unlike in prior periods, that roughly 70 to 80% of the announcem ent made in the budget in terms of CapEx spending in infrastructure have actually got converted. Now, there is a limit at one point in time to the element that you can keep bumping up 20 or 30% CapEx. So, from my perspective I think we are not unduly worri ed about the fact that there was a 10% CapEx increase in the last budget, and I wouldn't be unduly worried in the coming budget if something similar happened again. The more important factor for us is to make sure that we are able to achieve the announceme nts that have been made in the budget. That is more critical for us to plan our capacities and to ensure that we deliver accordingly.
– So, I think the government has done a fair amount on public spending in CapEx. As you all know, the critical factor was consumption and the consumption story; 57% of India's GDP is consumption linked, and that was not picking u p. And that had a knock -on impact on the demand and consequently private sector investment in CapEx. And we did see muted CapEx in the last two or three years, which probably was one of the reason why the

3 country was stuck at 6.5% GDP levels. I think the government did a great move by revising the income tax rates, and then subsequently the GST rates.
– We saw a first uptick in November; there is always a lag effect. We saw a first uptick in November. December so far is not looking too bad, but I think it is too early for us to say whether that uptick is really consistently happening and whether this will be a sustainable event or not.
– The consumption story always takes 5 to 6 months to kick in. Once the income tax rates have actually been revised down which was April onwards, and then in September the GST rates got revised down, and I think it is usually about 5 or 6 months after that. So we will be looking carefully, monitoring this very, very carefully in the next couple of months. And I think the first signs will probably come starting April onwards when you start seeing whether that consumption story has started picking up, and conse quently whether private sector CapEx is picking up.
– Having said that, I think it is fair to say new -age CapEx, and I've said this before, electronics, battery manufacturing, solar cells, all of these areas have been doing well. Pharmaceuticals have been doing well. Where we have still to see a catch -up, and we'll discuss th

is a little later, is the areas of food and beverages, chemicals, fertilizers, steel.
Steel was impacted; steel and cement was impacted. Steel as you know was impacted because of the dumping that was happening to them. We've seen the first signs, but really the first signs of initial CapEx coming back in. Again, too soon to celebrate, but at least we haven't seen a continued decline in that area. And that's a good sign. The moment we start seeing steel and cement beginning to pick up, and a utomotive which is a lead indicator for us as well, and automotive as well… and automotive is beginning to pick up. Commercial vehicles of course as you know is doing pretty well. Passenger vehicles have picked up but is still sluggish there, and we'll jus t see how this pans out in the next couple of months.
– So with that, with these two impacts of private sector, of the income tax reduction, the GST reduction having an impact on the consumption story, impacting in turn the demand, hopefully private sector CapEx will pick up. And that means hopefully there's an uptick expected very clearly out of the 6.5% GDP levels that we have been currently at.
– Link that now to the headwinds that we currently have on account of the US tariffs. And while, to a large extent, I don't believe that that has a direct impact on a lot of the CapEx industries here in the country, I think it is more a question of sentiment and the question of uncertainty ; what will really … how will these tariffs really impact the global economy? So I believe for us , there's a greater challenge of an indirect impact rather than a direct impact over there. As and when the tariffs do start com ing down and there is an agreement reached over there, I do believe that there's a further possibility for an uptick in the economy because that will free up a lot of Indian entrepreneurs who are currently , probably a little bit more cautious because they don't really know what is happening. And I'm talking mainly about the CapEx cycle overall as we see it.

4 – Moving on, and you look at the plans of India , and you look at the plans of India under the Viksit Bharat program , we have focused on four that we find particularly relevant to us, and you're looking at an economy where the government has an ambition to grow from where we are, a 4 trillion economy, to a 30 trillion economy in 2047. That means roughly a 9 to 10% growth rate that needs to be achieved. Now is that possible? Yes, it is. Could the entire consumption cycle , or will the entire consumption cycle contribute to that? Most definitely it will. But what will be the major drivers? And we've outlined four elements over here which tie in, in a way, to the consistent statement that the government has been giving, which is talking about increasing the share o f manufacturing in the GDP from 15% of GDP to 25% of GDP.
– Now what does that mean? If you look at 15% of GDP, $4 trillion economy, you're talking about $600 billion contribution to GDP today. If you assume a 7 to 8% growth rate in the near future, and let's take a number, 5 trillion economy in the near future, 25% of GDP kicking in, you're already talking about 1.25 trillion contribution to GDP. Which mean s in the next couple of years you're looking at a gap , 1.25 to 600 billion, 650 billion roughly , of contribution to GDP coming out of manufacturing itself. Now if you're looking at a 650 billion contribution to GDP coming out of this program, you're lookin g at roughly double that element, 600 billion going up to $1.2 to $1.5 trillion of CapEx that is going to be required to deliver on the $650 billion of contribution to GDP.
– Now there's no other country in the world that is able to do that right now . And if you look at where the world is going, they're looking at smart manufacturing , for lack of a better term, there are multiple terms for it. We in Siemens are very much into industrial metaverse, i

nto industrial AI; we're probably the only company in the world that is
actually having a platform on industrial AI there. But if you look a t the program of the government , and again , there have been programs and program , bu t linked t o the programs that are critical for us, you're looking at innovation and AI and manufacturing growth, and the government has got very clear programs aligned to those ambitions. When you look at urban development, again over here, very clear programs in place that have started kicking in to start boosting that. Energy transition and the green energy initiative over there , the same thing.
– And when you look at where we are positioned as Siemens, we are positioned in all of this. When you look at our Digital Industries business, that coincides very clearly with the innovation, AI leadership and the manufacturing growth ambitions that the country has. When you look at our Smart Infrastructure , that goes very closely in line with the energy transition and the green energy leadership and carbon footprint that the country is focusing on. When you look at our Mobility segment, that falls into the u rban development and the advanced infrastructure. So very clearly, we are synced in to the ambitions of the government , structurally synced in , and not only as an ambition, we are structured in line with the ambitions of the government.
– Now that then boils down into specific verticals, market segments as well. And that means

verticals like automotive, life sciences, rail transportation, etc. All those verticals will have

5 to grow over a period of time in order to achieve these ambitions. And again, we will talk more about these verticals as I flip to the next slide s. But we are present in every single one of these verticals with technologies that can really transform these verticals.

– And when you look at it from our strategy overall, you see our growth lever s, and I've spoken about them multiple times - we are very clearly increasing our focus on customers, finding new ways to address customer needs as customer needs change. Now how are customers' needs changing? Traditionally, the business has been: customers come out with a tender, you get five companie s that are bidding for those businesses and the lowest party wins. That is changing. Customers right now are looking at flexibility, a re looking at quality, are looking at speed, are looking at agility. And when you're looking at all these different elements, it is not about a product at a cheapest price , it is about delivering a solution that answers a specific problem of a customer. It could be: can you reduce the amount of wastage in my biscuit plant? Can you help me bring in energy efficiency in my hotel? Can you help me increase the speed and flexibilit y of manufacturing in my pharmaceutical plant? Can you help me speed up the cycle from development of a drug to commercial production of a drug? So the challenge that customers are now putting on to companies is different. Now most companies can choose: will we continue to sell products, individual boxes, or can you go out with a soluti on that is an end -to-end solution that answers these specific needs? And that is what we are actually aiming to do , and I'll talk more about this further down.

– Now when you start saying this is what we are aiming to do, you can't have an identical product or solution for a biscuit plant as you have for an automotive plant. And this is where you need vertical know -how. You need the know -how of the process of manufacturing of cars and buses and motorbikes , as much as you need process knowledge of how to manufacture noodles and pharmaceutical drugs. That is what we have , and that is what we are able to stitch together , and I'll talk more about that as well.

– Products and portfolio is what I just talked about. We do have the family of products that is able to deliver answers to these c

hallenges. We do have solutions and partners with whom we are combining to see that we can deliver the complete suite of products. And finally, our strategy has always been: we will localize and continue to expand our portfolio where it makes sense.

– Now the continuous question that we have is make or buy. Do we continue to import? Do we continue to buy from the local market? Or does it make more sense for us to manufacture ourselves? Today the new company Siemens Limited , ex Siemens Energy India Limited , has 25 factories. We still have 25 factories. A lot of our businesses are still very heavily localized and the process of localization continues.

– So when you look at that and look at where our footprint currently is in the country, when you look at the industrial metaverse and the digitalization footprint that we do have: one in three automation controllers, PLCs, in the country that have been install ed, are from Siemens. Over 75% of utilities distribution discoms are powered by Siemens switchgear.

6 Over 50% of the metros in the country are electrified by Siemens. So we do have a strong footprint in the country. We do understand the customers. We do have a bandwidth that is continuously increasing , but also deepening.

– Where has that led us over the last five years? And I'm just talking about five years. We've doubled our revenues, tripled our margins , in a lmost every business. Now if you look at the Digital Industries business, that is … private sector CapEx . As we all know, in the last five years there has not been too much of an uptick on private CapEx . It is a business where we have no localization. That's why the margins are driven by transfer pricing. But effectively , the business has still grown at 1.5x in the last five years with a corresponding growth in the profitability. As public sector CapEx has continued to grow, our Smart Infrastructure and our Mobility businesses have also grown substantially with margin expansions continuing to happen.

– I'd just like to remind you, particularly on the Mobility segment, a lot of the margins have been impacted because we did heavy investments. We moved from only looking at being an electrification and signaling business in Mobility to expanding that into rolling stock. And obviously that has an impact initially on the margins. You've already seen , we won the locomotive order and there are other opportunities there. We've started exporting bogies out of our factories over there. And all of this required CapEx where the kick -in now on revenues and margins will come in.

– But this is not the end of the story. Again, this is a CAGR that we were talking about which

is not just a point -to-point number. This has been a continuous growth over the last five years year-on-year, both on the top line as well as on the bottom line. And that really reflects the strategy that we have: is to ensure that we continuously have a top -line growth as well as a bottom -line growth which is embedded into our growth strategy in the company . That, of course, has reflected as well in the markets whe re we have outperformed the markets in spite of the fact that there have been global headwinds, in spite of the fact that private sector CapEx has not yet kicked in, in spite of the fact that currency volatility has continuously been there.
– We've also been recognized right now as being a leader in the area of governance and sustainability. Sustainability is an element that is becoming critical even for our customers right now. And we can do a separate segment on that if any of you are interes ted at a later point in time. But, we are doing a lot in sustainability internally within Siemens, but also helping our customers who have got an increasingly ambitious target on their sustainability goals , to help them be more carbon -friendly over there.
– So moving on, if I'll move now into the individual segments and try

and give some colour
over there and then Wolfgang will take over and talk about the financials for each of the segments. So if I start with the Digital Industries business, now this is a completely different picture from what we have been talking in the past. In the past we've given you a macro overview. We are now shifting the focus to give you a more 360 -degree perspective of what we actually do in the Digital Industries business.

7 – Roughly 50% of our business comes from three market verticals. That's manufacturing, particularly machine building; that's metals, particularly steel; and that's automotive. Roughly 40 to 50% of the business of Digital Industries comes from these three verticals. The rest of it comes from pharmaceuticals, food and beverages, cement and so on. And the route to the markets are also different. The route to the markets happen via OEMs, it happens via our territory sales that are selling into industries as well over there.
– But if you look at the growth that has happened in ’21 to ’25 in these three segments, you can say roughly 50% of the business has grown at around 5% , and I'm talking about the Siemens content in this business. So don't mix this up with the growth of the industry. We are looking at it as the growth of the Siemens content in these three businesses has grown at roughly 5%. The expectation is, with the uptake in private sector CapEx that we hope will kick in, that this will now grow from around 5% to 8%, possi bly more as well as there becomes a CapEx expansion in the private sector.
– And what are we doing here is mentioned there on the chart , for each of these verticals ? It's just symbolic to show you what exactly we do in terms of each of these verticals. I don't need to go into the details. Each of these are elements where we are helping the customers with end -to-end solutions. This is not only providing a box over there, but it is also providing an end -to-end solution that makes a major difference to this customer. And that we do not only by ourselves, but we do it also with partners , and this is the difference.
– So how are we doing this? We've got a suite of products. Yes, there is a hardware part of it, but there's also the software part of it which is linked into the hardware that we sell. In addition to that, there is a layer of software that comes on top which is not a part of Siemens Limited but is complementary , and we work with the other company of Siemens in India to support our customers with that additional software layer. But there is embedded software in the products that we already deliver , and we use these offerings that we have got to bring real value to customers. And I talk about one of them in particular.
– When you look at the PLCs, traditionally PLCs were boxes ; were boxes where you had these controllers in them , and every time you needed an upgrade you had to go to the factory and you had to upgrade the software on that particular PLC , or you had to replace a PLC completely for the upgrade. We've now come out with a virtual PLC which is essentially upgrading the software by remote. And this means a complete revolution in the way automation is done in industry, right? This means that our fixes to software ca n be done remotely, time is reduced, speed is increased, cost is optimized , both for the customer as well as for us. And this is something that customers are looking for - how can you increase the speed and bring in new variants without us having to keep on changing the hardware every six months, every year? And these are the kind of technological advancements that we are able to offer the customers as well.

8 – When you look at the plant engineering software, the C OMOS , this is something where you can actually design the product, design the manufacturing process, and you can

design the entire flow of automation and of manufacturing in a plant before you have
e

ven put the first brick in the ground. Now, when you can desi gn it , and you put a layer of artificial intelligence on top of it , and you put a stack of man -hours onto that, you can actually get a digital experience where you can walk into a factory, you can w alk around the factory, you can open the machines in the factory, you can look into each machine, you can already identify where people should be standing, what angle they should be bending at, how high the workplaces should be ; all of this you can design and cost before you have put the first brick in the ground.
– And then when you have put the factory up and you start the manufacturing process, you link what you had designed with what is physically happening on the ground, and you do this in real time. So every time you want to make a change in the manufacturing pr ocess, you don't need to first do it on the ground and see what impact that has, you can do that first and simulate the impact of that in the software , and see what the impact of that is going to be , and how much you are able to optimize each machine indiv idually , and then optimize each machine collectively to see that you get the best product at the most productive value.
– Let me make this clear : in the overall plans for India to become a manufacturing hub for the world , we have a factory in Germany that is manufacturing products at a productivity level of 99.99 %. India's average productivity level is 75 %. There is no way you will bridge 25% of productivity just by skilling people. Technology will be that differentiator, and we have that technology, and that is a potential for the Digital Industries business as the Indian manufacturing environment grows.
– So what will be our focus moving forward? One is very clearly: our Digital Industries will focus now on verticals, on finding solutions for customers, not only selling individual products , for all the reasons that I mentioned. Now we are conscious that no individual company has got a complete portfolio to provide an end -to-end solution, and that is where we are starting partnering. We partner with system integrators, we partner with distributors, we partner with other technology players, we partner with other suppliers, we partner with solution architects, we partner with IT firms, and together , we curate solutions that bring the best impact for our customers. So that's going to be the second focus .
– And the third is really going to be: how can we leverage our installed base … and I talked about the installed capacity in the country that we already have. How can we leverage that installed base to grow the service business? So that's going to be the focus for our Digital business moving forward.
– Moving on to the Smart Infrastructure business. Here again, three key verticals contribute 40 to 50 % of the business, and this is transmission and distribution in the power sector, data centers, and commercial buildings. Now transmission … we don't do transmission;

9 that is done by Siemens Energy India Limited , but we do the software for that and the entire distribution framework is what we do; Siemens Energy does not do that. On data centers, the entire energy requirements … and you know that data centers are the largest guzzlers of energy, and you know that increasingly data center operators are turning around and saying, “We only want green energy, and can you help us create data centers which are much greener?” And that is what we can support them with. And finally, commercial buildings: how can we make commercial buildings safer and more energy efficient? And that's what we can bring in with our complete offerings of distribution, automation, smart grids, but also in the building space, network operations, and so on . So there's a very wide range of offerings that we have got here. The market here has grown over 10 %, and that's why you have seen a good growth rate in the

Smart
Infrastructure segment. Commercial buildings is growing extremely well . Data centers are growing extremely well . And the power distribution market is opening up and is becoming increasingly conscious about upgrading their technologies, becoming more efficient in their energy distribution cycles, and more green -resilient as well . And that's where we are right now.
– Moving into the next five years, we believe for the next five years this trend will continue. The Smart Infrastructure , at least in these three segments, will continue to grow at plus 10%. So I think this is our prognosis there. How will we address this market? And here again we do have the hardware solutions, but we also have software solutions. And I point out one: when you look at the chiller optimization solution that we have , this is about the heating, ventilation, air conditioning in commercial buildi ngs. Let's start with hotels.
– 40% of the fixed cost of running a hotel is actually the energy that they use. Now , if we

can help bring down their energy costs … energy consumption by 10 to 15 %, that goes straight to their bottom line, and that is the technology that we are able to bring, not only with the hardware but also with the software, not only by ourselves but partnering with system integrators as well , and partnering with other solution providers. We have a platform for a command -and-control center where, if there are companies t hat have got multiple factories that are using electricity, multiple offices, multiple stalls, stadiums, malls, we are able to support them in comparing the energy consumption in one stadium with the energy consumption in another building and find out wher e there are leakages in energy.

– Now you see over here as well, similar to the Digital Industries business, this is not only about selling hardware; it's also about selling solutions, and this is about changing the narrative from only selling medium -voltage switchgear to saying we can answer some of the most complex problems that you have. Being a tec hnology company, which is where we have now moved towards ; away from being only an electrical company, away from being only an automation company, and now to being a technology company where w e can provide and bring together the combined strengths of electrification, automation, and digitalization to provide solutions to our customers that make a difference in their operations. So if I focus here as well, here again the focus has to be on vertical markets, and we will continue to look at hospitals, hotels, ports, airports, distribution centers, data

10 centers, commercial buildings, and so on. We will continue to localize and expand capacities. We've already done that with the medium -voltage GIS programs, the vacuum interrupter localization as well. So this will continue to be an ongoing program.

– And finally, partnerships will form a critical part of our expansion strategy, which will be not only trying to do everything ourselves , but combining with a host of other partners to deliver solutions. M&A is something that we are looking at to see whether we can expand the portfolio here , more in the buildings area rather than in the electrification area where we are already pretty strong. C&S continues to be a great success ; their exports continue to grow. We continue to get traction there ; the business is growing . But more important than the exports, we are seeing significant traction happening in the C&S acquisition even on the domestic business as well, and we think this is a strategy that worked and can be replicated in some of our other businesses as well.

– Finally, Mobility . This is going to be the growth driver that we believe , in terms of volumes , in the business moving forward. Here again, the market has grown in the last five years at over 8 to 10% . Now it is very difficult really, when you talk about the Mobility

market,

to say this is going to be continuous growth. You get one large order of a locomotive; you get a spike. The next year you may not get the large order; you may get other orders not of the same magnitude . But this is very clearly a business that is going to be on an upward trajectory. As you know, until 2025 really, we were very cl early primarily operational in the electrification, signaling space as also in the propulsion area.

– Moving forward from 2022, we got into the rolling stock. We introduced rolling stock into our portfolio i.e. we reopened the bogie factory, started manufacturing bogies. Of course, you know about the locomotive project there, and we continue to look at expanding that portfolio. Signaling : we are looking at both mainline, commuter rail as well as metros, and we will continue to do signaling there.

– What have been the growth drivers? I think the continuous CapEx spent by the railways of 2.5 lakh crores on an average , that is something that they have actually been delivering on. The rate of tenders coming out of the railways continues to be at the right pace there. Of course, the entire signaling network in the country continues to be a huge opportunity. The entire 67,000 kms. of network still needs the latest signaling operations. The railways will not be able to deliver on their ambition of bringing d own logistic costs, increasing the passenger freight, unless the signaling systems are able to keep track with the speed that is required on the network. That is why the Kavach program is so critical. Of course, the entire rollout of the Vande Bharat, the Vande Metros, high -speed rails, metro projects , all of these present huge opportunities , and see that coming in over the years ahead. Finally, of course, we won a great success in the high -speed rail signaling project for the Ahmedabad –Mumbai route.

– Moving forward again, that portfolio continues. The opportunities are there, as I mentioned. We will continue to localize. The pipeline continues to be strong. We have

11 increasing visibility on the pipeline there as well. We do believe this business should be growing at least at a 10 -plus rate, and the market should continue to grow at that level.

– So, o ur focus here will be now, in addition to electrification and signaling, will now be on

rolling stock and the increased signaling under the new Kavach program. We will continue to transfer technology to India, either software for the Kavach, for example, o r hardware technologies for the propulsion systems and the rest of the rolling stock portfolio. Of course, this is all about implementation. These are large projects. Many of them are actually product supplies coming out of factories. So, the locomoti ve business, which is categorized as a project, is actually manufacturing multiple locomotives in a factory and getting it out. But we need to ensure that we continue to be efficient in that project excellence process.
– So, finally, the low -voltage motors . As you've probably heard, the board has approved the sale of low -voltage motors to Innomotics India. Now, just to give you a quick recap, globally in October '24, Siemens AG carved out the low -voltage business to KPS at a global level. Low-voltage business in Siemens AG was called Innomotics , and they carved it out to KPS Capital. Consequently, the IPs got carved out. Siemens in India did not have the IP rights, does not have the IP rights , neither do we do manufacturing here in the country. It is within Siemens Limited. It is outsourced manufacturing. Revenues are cyclical, as you know, for motors. The expectation was that the volumes will increase. Those volumes have not increased in the country. These are very closely interlinked to economic activity, particularly private sector CapEx. It i s very closely linked to commodity prices, in particular copper. So, basically, the business in Siemens Limited i

s a sales organization which is
licensed to sell products , low-voltage motors where the IP is of the parent, the brand is Innomotics in the Indian market.
– And this was then finally approved by the board of Siemens Limited in terms of a sale and transfer on a slump sale basis to Innomotics India at a purchase price of 22 billion, which I will remind you was the same price that had been offered earlier on by the parent company. Considering the fact that the volumes have declined, in the meantime, it is only 6% of the overall volume of Siemens and only 2% of Siemens profits in the meantime. We believe this is a deal which is in the interest of shareholders , and we expect the transaction to be closed sometime in mid of next year as well.
– Finally, very quickly around the sustainability . Just to highlight the fact that 90% of the products that we have within Siemens contribute to the sustainability requirements of customers. And essentially, this is in three areas: decarbonisation, resource efficiency, and people -centricity. And we do have examples around all of these here in India. And when you look at energy efficiency, as I mentioned, in the Taj Hotel group, already we have addressed over 18 properties where we have helped them bring energ y efficiency into their operations there. When you look at resource efficiency in manufacturing, particularly looking at consumption of water, we've been able to help an automotive company to reduce the consumption of water by approximately 4 litres a wash in terms of their operations as well.

12 – Finally, on the people part, of course, our entire offerings in terms of the railways in this very prestigious line , the Sivok –Rangpo rail line , has been able to bring connectivity to people as they are able to move in and out of Sikkim as well. So very clearly, our portfolios are also aligned to the sustainability portfolios.
– With that, I hand over to Wolfgang to give you a quick overview of the financials, and then I'll summarize at the end, and then we open it up for Q&A.
– Mr. Wolfgang Wrumnig - Executive Director and Chief Financial Officer, Siemens India:
– Thank you, Sunil. So a warm welcome from my side as well. My name is Wolfgang Wrumnig . I'm the CFO, and I started my journey here in India in March 2024.
– So before I come to the financials, maybe a couple of introductory statements regarding our operations here in India. As you are very familiar with our operations, we are operating in three major businesses: Digital Industries , Smart Infrastructure , and Mobility . Of course, our numbers for this fiscal year still include the low -voltage motors business . But as you just heard, we announced , a couple of days ago , the sale of the business, and going forward, it will then be a discontinued operation, and I'm not covering the business in my presentation today anymore.
– Secondly, Siemens includes then all four businesses, including LVM, but also two consolidated subsidiaries, which is C&S Electric and also Siemens Rail Automation, which is also included in the total financial KPIs.
– And finally, just as a recap, you have heard from Sunil our more or less success story over the last five years: doubling our volume, our revenue, and tripling our profitability, also increasing our share price by 380 %, outperforming the NIFTY 100. And I have to say all businesses have contributed to the success story , and we are continuing addressing this success story with focusing on growing verticals. And I can only say we are well positioned in India's success story, Viksit Bharat, going forward.

– So, with this, I move on to Digital Industries . So, I'm sure you remembe r, in our last virtual analyst meet, I gave you a more detailed insight on the story of Digital Industries over the last couple of years, and about the business development. And this business development … this development was not specific to In

dia only. It was also seen in other
countries , it was even seen on the global level, but you could also see it with our competition.
– So, just to summarize, the story started pre -COVID, where we more or less had a very stable business with a book -to-bill of 1 approximately, with growth rates about 5%, and a profitability in the range of 6 to 8% . Then COVID came, we saw a significant drop in the top line . And then after COVID, we were faced with the supply chain crisis. In this period, you know, the price levels have increased significantly, the orders were skyrocketing, prices went up, and our backlog went up. You know, we were faced with book -to-bill rates of 1.4, 1.5, which is very unusual for this business. And also, followed by an increase in

13 revenue, but also what we have seen at that point in time was significant order cancellations.
– So, after this period, we saw the business then again stabilizing in the years 2023 and 2024. Orders were coming back to normal, revenue went still up because of the huge order backlog we had, and also the margins were coming down from the peak level. I would say, as this business is predominantly a trading business , so more or less we are selling products, we import from our mother company, from Siemens AG, and Sunil already mentioned it, it's a business driven by the transfer price framework.
– So, this is more or less the business. I have summarized it in the last virtual meet, and I could say right now we are more or less now back to a normal business cycle.
– So, which brings me then to the financial KPIs. So, as you can see, last fiscal year, our orders finished at INR 38 billion with a growth of 13 %. A nd to point out specifically, we had a very strong Q4 with a growth of plus 30 %. So, more or less the book -to-bill was +1, which also reconfirms that we are back into a normal business cycle.
– When it comes to revenue, we have seen in last fiscal year a -7% decline in revenue. So, which was more or less as a result of a kind of a slow start into the 1st Quarter. So, the revenue was pretty slow, also based on a low backlog, and as already mentioned, muted private CapEx , but we could catch up. So, when you look at Q2 to Q4, the average revenue went up to almost 10 billion on average, w hich is clearly a sign of recovery and also based on the expectation that private CapEx will pick up going forward, we are cautiously optimistic with regards to the future developments.
– As also already mentioned, the key verticals we address in this business are automotive, metals, machine building, food and beverage, and chemicals. The sales channels we use in this business are partners and distributors. Also, we are working directly with OEMs, but also with end customers. Our portfolio ranges from industrial automation hardware to process instrumentation and motion control and drive technologies.
– Some insight on the business mix : I mentioned already the DI business is predominantly a product business. So, we sell products to our customers, but also we sell solutions. And last but not least, we also have a, I would say, siz eable service business, which is close to the 20% range. Important, and I repeat it, this business is a transfer -price -regulated business , which more or less makes sure that our margin quality, margin range is more or less in the 6 to 8% range +/-.
– With regards to manufacturing, unfortunately, we don't have a lot of local value -add, means manufacturing in this business in India. So, we just started a small operation with regards to flow meters here in India. And we will continue to discuss opportunities to localize, but we will only do it if it makes financial sense.

14 – With regards to exports, as we don't have local manufacturing, there is also not a lot of export in this business. We do export projects on a case -by-case basis, and currently the export share is in the low singl

e digit. And we will see how this develops going forward.
– When it comes to profitability, and I mentioned it, transfer pricing minus 45% versus prior year , so, we are now down to 2.7 billion profit in fiscal year 25, which is a profit margin of 7.3%. And also, when you look into the different quarters, you could see there is some fluctuation in the quarters from 4.7% to even 11.1%. And this is due to transfer price adjustments. So, usually, this happens also then in the following quarter. But on an annual basis, on a fiscal year basis, we'll make sure going forwar d that more or less the margin will be in this target range of 6 –8%.

– So, in summary, I would say, again, our business is now back to normal. Our focus , going forward , will be on top line, addressing the growing verticals in India, also expanding channels, optimizing our sales setup, and gaining market share. So, this would be my summary on DI, and I move on with Smart Infrastructure .

– So, Smart Infrastructure, I can only repeat again , excellent performance over the last couple of years: doubled the revenue, and even 5x profitability. A reason for this development is also that we expanded our local footprint here in India. You have heard from Sunil already that we have, especially in the SI business, a significant manufacturing footprint here in India.

– So, when it comes to manufacturing, and you know it , we are continuing to invest in manufacturing in Smart Infrastructure . In 2023, we announced the investment , a CapEx investment in vacuum interrupter factory in Goa. In 2024, we announced the investment in the factory in Goa as well for gas -insulated switchgears and blue GIS for domestic and for the global markets, an investment of INR 3.3 billion . And we will continue to look for opportunities, and also the investment in local footprint will also give us opportunities to expand our margins. From an overall perspective, our portfolio is roughly 65% localized . So the rest is imported.

– We are addressing, as you already heard, verticals like power utilities for power transmission and distribution solutions and data centers. In another segment, we are addressing the low -voltage market with protection devices. And last but not least, we are also addressing verticals like commercial buildings and data centers as well. The sales channels we are using in this business are very sim ilar to DI, so we are working with partners, distributors, OEMs, also with EPCs and end customers.

– With regards to product mix, still more than 50% of our business is product business in Smart Infrastructure , followed by solution and systems, and we also have a growing service business. The export share of this business is pretty much stable, close to 20%. And, we will continue to look for opportunities to increase the share of exports going forward. And also with the investments we announced and we are right now executing,

15 we assume that it will also impact our share of exports going forward. But also , our focus is, the domestic market is India.

– With regards to competition, also a statement for Smart Infrastructure: we do see competition and competitive pressure rising. But also , I believe we are well positioned, we are well equipped, and also the strong performance in fiscal year ’25 confirms we have a strong market position and we are committed to profitable growth going forward.

– So now when it comes to the financials: orders 103 billion, plus 15 %, investments in power grids, public transportation and commercial buildings, but also, the new technologies like AI have a very strong impact on the demand with regards to data centers, and data centers is one of the focus verticals in this business. This w ith regards to revenue: plus 14% versus prior year, 92 billion in revenue , despite the fact we had a slow start into Q1 as well, due to … one reason was the QCO topic. So, but then we man aged it pretty

well,

picking up . And in Q4 we hit 27 billion, a growth of 19 %, which is more or less very close to the CAGR we have seen over the last five years. And this was not only one segment , all business segments within Smart Infrastructure have contributed to this development in Q4.

– With regards to profit, I believe this is also another success story: 12.5 billion in fiscal year ’25, plus 13.6 % profitability. We have been able to expand the margin by another 20 basis points, and this is due to, of course, the revenue increase, due to mix, but also due to operational execution , despite the fact we have seen heavy competition in this business.

– So let me summarize here as well: I would say the success story in Smart Infrastructure continues, and we will continue to focus on top line and on margin expansion. We will continue to do investments in manufacturing, and we will keep our strong focus on operational efficiency.

– With this, I'll move to the last business, which is Mobility . So also in Mobility, we have been able to expand our performance. We have increased our revenue 4x. We have doubled the profit, and also I have to point out here: the Mobility business is a completely different business than the other two businesses. So from a business mix, it's predominantly a project business. Is it electrification? Is it signaling? Then of course, related to the projects, there is also a share of service business. And we also have kind of product business when we sell components like propulsion systems to customers, to Indian Railways, and sometimes even to competition.

– Also , one special specialty in this business is sometimes we also do turnkey projects. So more or less , where we are the general contractor … for example, I can quote here the Pune Metro, where we do a turnkey project, more or less delivering a full metro line ,

including construction, including signaling, electrification, and including rolling stock.
– With regards to our portfolio , as already mentioned by Sunil , it's signaling, it's electrification, it's rolling stock, it's bogies, and it's components. Our customers are of course in India: Indian Railways as a railway operator. Municipalities for metros, for

 example . But as already said sometimes even competition, and of course we also have a share of export in this business as well.
– When it comes to manufacturing, we have two manufacturing locations here in India: one for components in Nashik and one for bogies in Aurangabad , both addressing the domestic and the export market . And there is one other factory we are operating right now, which is the factory in Dahod for our local 9,000 HP locomotive project. I 'll come to this a bit later.
– So with regards to exports, we are high single -digit with regards to export share in this business, and it's especially bogies for some European rolling stock projects . And I'm sure there will be future opportunities coming up as well. So I'm positive that we will be able to expand export share for the Mobility business going forward.
– When it comes to competition, ye s, you're certainly aware that we are faced with strong local competition here in India, and there is strong pressure , also pressure on prices in the market. Also I mentioned it already: the Mobility business is different. It's a very lumpy business. Sunil mentioned it as well. Sometimes you have quarters where orders are skyrocketing, then sometimes you have quarters where you don't see a lot of orders, and it's just the nature of the business. Maybe the revenue is a little bit more stable, but also there you see some ups and downs . And you're certainly aware , this is a business where we recognise revenue on a percentage -of-completion method. So when costs are coming in, then of course also then the revenue is increasing.
– So let me now come to the financials : 50 billion in fiscal year '25 ; almost 50 % growth. Maj

or orders in this fiscal year: we have won the high -speed rail signalin g, the first one in India , for the line Ahmedabad –Mumbai based on the ETCS technology in Q3. Then we have also won signaling and communication for Metro Nagpur in this fiscal year . And you know I said lumpy business. Also , just if you look at the development of the quarters in this fiscal year: Q1 we booked 8 billion in orders, in Q2 we booked 16 b illion, in Q3 we booked 19 billion, and in Q4 back to 7 billion. So it's really a little bit of a roller coaster. But anyway, important is that we win orders.
– With regards to revenue: 33 billion, plus 15 %, and here the growth is coming from the project ramp -up and from execution in our projects. Revenue , I mentioned already , is a result of costs coming in for the various projects. So it's based on percentage of completion . And usually when we enter into a new fiscal year I would say , maybe roughly 80% of the future revenue in the new fiscal year is already in our backlog. So more or less the book -to-bill, or more or less the orders we need to book in the fiscal year , is more the smaller portion to get to our revenue targets.
– We are doing well on the ramp -up of the local delivery. As you most probably know, we have delivered the first loco in May this year, and our Prime Minister has flagged off the first locomotive. And for u s, and not only this project but in general , the execution of the projects is very critical for our margins going forward. Just as a n FYI as well: 9,000

 horsepower. So this year the increase in revenue for this project versus prior year was close to 60 %. So you see , the revenue for this project is picking up.
– Just a few comments on this project because it's really one of 'the projects ' for us. The project and the development and the ramp -up is on track. The first loco was delivered. The factory was set up in record time. So we are ready to raise capacity as planned . And for the future , of course , flawless execution of the ramp -up is critical. With regards to profit, we have reached 2.6 billion in fiscal year '25, which means the profitability went up by 23 % and reached a margin of 7.7 %, which is an improvement of 50 basis points versus prior year. The reason for this improvement , again , is of course the revenue ramp -up. It's the mix of the business, and we have been able to more or less minimise negative impacts like NCCs (non -conformance costs) in last fiscal year.
– In summary, fiscal year '25 for Mobility was a good year. We booked some important orders which are critical also for the future success, also adding again to our already big backlog, and the successful ramp -up of our operations is happening , and you could see the effect in 50 basis points margin improvement.
– So now I come to the total picture for fiscal year '25. Orders are up 21 % to 200 billion. We have a huge backlog of 423 billion on our books. The revenue grew 8 %. SI and Mobility have contributed by double -digit growth. As already mentioned, DI was down due to the

development back to normal, but we have seen already in DI as well , growth in Q4 in revenue.
– Profit and margin is down. The reason is the decline of profitability in DI. Also we had some decline in profitability in the low -voltage motors business . But Mobility and Smart Infrastructure, b oth businesses have compensated. Profit before tax is also down, and there are two major , I would say, one-time impacts we have seen this year. In 2024 we had a sale of property of 2.9 billion. We couldn't unfortunately repeat in ’25, so that's one of the reasons. And the second one : we had energy demerger -related e xpenses . In ’24 it was just 0.1 billion. In ’25 it was 1 billion. So more or less , these two topics explain the significant decline in the reported profit before tax.
– So let me finish: 2025 for us was another successful year. We have complet

ed the
demerger of the energy business in record time, and we have increased , more or less , shareholder value of plus 40 % combining both share prices. We have grown our top line , especially orders double -digit , but also with the revenue at 8% also close to double -digit. We have expanded our profitability and assigned Mobility. A nd we will continue to focus on profitable growth, productivity, and execution. And as also mentioned, our f ocus will also continue to be on investment in capacity in India for domestic and global , wherever it makes financial sense.
– So with this I close my presentation and hand it back to Sunil.
– Mr. Sunil Mathur - Managing Director and Chief Executive Officer, Siemens India:

18 – Thanks, Wolfgang. So final slide before we open it up for questions. First is , I think you can see that we've delivered consistent performance over the last five years. Our portfolio and our strategy is very clearly linked to the Siemens global strategy, is very closely linked to the India country 's strategy as well. Differentiators will of course be sustainability and digitalisation. The way we go to the market is very different now. We are focusing on verticals; we are focusing on solutions primarily. We will continue to expand our capacities and localise wherever it makes sense. And of course , we have to continue to keep an eye on operational excellence.
– There was a question in the break earlier on around how significant is Siemens India for Siemens Global ? Maybe just to put that into context: we are the fourth -largest country in the Siemens AG world. We are the fastest -growing country , or the fastest -growing market for Siemens globally. And I think that puts it in context in totality. The importance for Siemens Global in Siemens India is increasing. Strategies are very clearly aligned, and you saw the first major moves that were done, which was bringing in rolling stock in the Mobility area as well. A lot of transformation that has happened in our Mobility area with the Kavach technologies, with software coming in, with the rolling stocks as well . Smart Infrastructure continuing on its growt h path.
– So I think the focus is very, very clear. We have almost monthly visits from global board members coming to India, which gives an increased focus here on the country. Our Global CEO has visited India. He c omes once, twice, thrice a year on an average. So there is a very clear focus now on India: India for India, but also using India for the rest of the world.
– With that I hand it back to Radhika for questions and answers.
– Question & Answer Session:
– Ms. Radhika Arora - Head Investor Relations, Siemens India:
– I think you can raise your hands, and maybe we can pass on the mic to you. There is somebody in the front row.
– Mr. Mohit – ICICI Securities:
– Good morning. This is Mohit from ICICI Securities. My first question on the Mobility . Given the strong order book of I think maybe more than 50 billion and 1.8 exportable ratio, even excluding the 9,000 HP loco order and the expected supply ramp -up in the 9,000 HP loco , I think there are 35 train s, loco sets which are supposed to be delivered in the near term, right? My question is: should we expect greater than 20% CAGR in the revenue in the next couple of years , and double -digit margin with improvement in the revenues?
– Mr. Wolfgang Wrumnig - Executive Director and Chief Financial Officer, Siemens India:
– Yeah, so if I understood your question correctly , so the loco project should , more or less , contribute to the significant … or to growth going forward in the next couple of years?

19 – Mr. Sunil Mathur - Managing Director and Chief Executive Officer, Siemens India:
– The growth and the margin , both.
– Mr. Wolfgang Wrumnig - Executive Director and Chief Financial Officer, Siemens India:
– To the growth and the margin. Okay, yes, it will. It definite

ly will, and it will be a kind of a
step -up process. So most probably you will not see the growth consistently on the same level. So whenever we reach the next level of delivery, the delivery schedule, the revenue of course will ramp up also because the costs are coming in. So yes, we will see significant growth in the next couple of years. Definitely double -digit going forward, and it also should contribute to the margin expansion going forward.

– Mr. Sunil Mathur - Managing Director and Chief Executive Officer, Siemens India:

– So just to put that into context : the contract requirements are 40 to be delivered for the next two years, which then gets stepped up to 80 for two years, which then gets stepped up to 100 for two years, which then gets stepped up to 160 for the rest. So every time … and that's going back to the comment he made , every time there is a step -up, there will be that step -up in the volumes, and then there will be continuous growth.

– Mr. Wolfgang Wrumnig - Executive Director and Chief Financial Officer, Siemens India:

– And to add to that, of course, also with the delivery of the locomotives going forward, whenever the locomotive is delivered, then also the service part of the contract will kick in as well. So it will be over the next couple of years , then definitely a growth story.

– Mr. Mohit – ICICI Securities:

The second question is on S mart infrastructure . It has done pretty well for us for the last five years. Do you think we can sustain the double -digit growth? And the question is, can we see the margin improvement given the fact that the global , I think, reports 18 % EBIT margin , if I'm not wrong , in the same segment, right? And we have almost localized , 65% is the localization level, which is also pretty high.

- Mr. Sunil Mathur - Managing Director and Chief Executive Officer, Siemens India:

- So, the growth will continue as India continues to grow. And why am I saying that? Your Discoms, the moment they get privatized and the more privatized they get, the more they will need to upgrade their equipment. The entire space that I talked about , in terms of buildings and so on , will increase. So , the topline growth we definitely do expect. The bottom line growth, yes, you're right, the global achievement is 18 %. We are not 100 % localized yet in that business. But the intent is to continue to expand th e bottom line as well.

- Mr. Mohit – ICICI Securities:

- Thank you.

- Mr. Harshit - Equirus :

- Hi, Sir. This is Harshit from Equirus . Sir, firstly on Digital Industries, we had launched Siemens Xcelerator a few years back in India to have the complete ecosystem of hardware, software , services alongside our partners. So , what have been the adoption levels in India at the moment ? And what proportion of our DI business now comes through this route ?

- Mr. Sunil Mathur - Managing Director and Chief Executive Officer, Siemens India:

- So, Siemens Xcelerator ; a very good point. We , today , have over 500 customers who have used, who have received orders or who have given us orders through the Siemens Xcelerator platform. Now, we don't measure digitalization per se as a separate metric there because when you look at Xcelerator , that is running across all of Siemens, right . It is not only a DI or an SI portfolio, it is covering both of them and it runs across multiple subsegments as well. So , we don't measure that. What we do measure is the number of customers who are getting interested in solu tions that we are offering on Siemens Xcelerator is increasing. That has contributed overall to the revenues , not only of DI but there could be also SI.

- And I give you an example. We had a Dairy manufacturer who turned around and said, ‘Can you help reduce my fat content from the time the milk is taken from the cow to the tetra pack ?’. There is no human intervention in that process. Now , tha

t involves a part of
process knowledge, which is DI , but it could also involve a part of heating ventilation , of the air conditioning as the milk is transported from the farm to the factory. And , therefore , you have a combination of both of these elements coming in where we have to look at the complete comb ined offering of Siemens. And that's why we don't measure

it individually. We look at it customer inwards, which is , can we deliver that solution to the customer and then bring together the complete offerings.

- And this is what we offer on Xcelerator . Once we have that offering, customers can go in, other customers can go in and say, ‘Hey, they have achieved that efficiency over there , I'd like to have something similar ’.

- Mr. Harshit - Equirus :

- Understood. Sir, secondly on the Smart Infrastructure business, what would be the size of India's Building Automation market in your assessment ? And at the moment with the portfolio that we have, what proportion of that we are able to address ? And what we are going to do to fill up the white spaces that we have at the moment ?

21 - Mr. Sunil Mathur - Managing Director and Chief Executive Officer, Siemens India:

- So, look , the Building Automation market is the entire commercial buildings, the new commercial offices , etc., complexes that are coming up. It is malls, it is stadiums, it is airports, it is ports, right . It is even factories , when you put up a factory building. So , all of these first require electricity , which we can deliver them via the Low Voltage, Medium Voltag e products that we have , and then they'll require air conditioning and the management of the energy that is used which we can also deliver to them. And , finally , they require an overall portfolio or an overall platform that can help bring energy consumption down, which is also what we can offer them.

- So, the size of the market is huge, it is growing. The number of airports , you have to see , 70-80 airports coming up in the next 4-5 years. That's an opportunity. Every airport requires electrification, requires energy savings , etc. and that's where we have a space in. But just to give you an example. Hospitals ; all of these are all part of that portfolio.

- Mr. Harshit - Equirus :

- Thank you , Sir . Just one clarification on the Mobility piece because it ’s going to be percentage of completion methodology. Will the profit margins be in line at , let's say, step ups, give or take few basis points ? I'm not saying that if it ’s X, so it should be X. Or will it be also in a step up form like it can be a percentage and then next and then next ?

- Mr. Wolfgang Wrumnig - Executive Director and Chief Financial Officer, Siemens India:

- Of course , the margin will develop somehow close to the development of the revenue. So, when we see a step up in revenue , then you will also see an increase in margin. And , of course , if I look at the overall business of Mobility, maybe the contribution then to the overall profitability of Mobility maybe a little bit less than specifically only for the project piece , yeah. But expect also a margin expansion going forward from the project.

- Mr. Harshit - Equirus :

- Tech services.

- Mr. Wolfgang Wrumnig - Executive Director and Chief Financial Officer, Siemens India:

- Tech services .

- Mr. Harshit - Equirus :

- Because the delivery of loco would be one part, services would be in one part . Theoretically , services should be higher margin than delivery of loco ; theoretically. So , the

22 revenue recognition is on a percentage of completion , so will the cost recognition be in line?

- Mr. Wolfgang Wrumnig - Executive Director and Chief Financial Officer, Siemens India:

- In general, you know, if you really look long term and you notice Mobility project , first, there is 11 years of delivery of locomotives and then during this period already the se

rvice
part will partially kick in and then later. And you said that you expect the service margin be higher , so more or less , then you would see more margin in the outer years.

- Mr. Harshit - Equirus :

- Okay.

- Mr. Sunil Mathur - Managing Director and Chief Executive Officer, Siemens India:

- The bump up because even now when we deliver the 40 , the service starts for those 40 , right.

- Mr. Wolfgang Wrumnig - Executive Director and Chief Financial Officer, Siemens India:

- Exactly, yeah.

- Mr. Sunil Mathur - Managing Director and Chief Executive Officer, Siemens India:

- So, there will be that increase over a period of time.

- Mr. Harshit - Equirus :

- I think we were , during the break , discussing the capital allocation piece. Now , if I want to put numbers behind it, we have almost 70 odd billion of cash , we will be getting 22 odd billion of cash from the sale of LV . We do 20 billion of PAT every year and that is going to be increasing at a percentage every year. Today , our fixed assets are close to 11 -12 odd billion , give or take. For our next leg , there are two elements to it. One , you mentioned , there will be strategic M&A. So , a part of cash will go there as and when it comes. But from our localization perspective , especially in the DIPs where it seems like a chicken and egg situation that India is not scaling up so we are not localizing , and maybe India is not scaling up because we are not localizing. So , do you think that maybe we can , given that we have enough balance sheet, we can upfront some of the investments to localize and then look at profitability ? I'm talking from a 5-10 year perspective. How are you thinking from that?

- Mr. Sunil Mathur - Managing Director and Chief Executive Officer, Siemens India:

23 - So, look , the capital allocation, one is definitely an M&A. The second is continuous investments that we will continue to do in Mobility. And by the way , the investments are not only CapEx , right . We are adding hundreds of people every year, right , for engineering, for signaling , for example , for a lot of the other areas as well. So , it also goes into that.

- Now , localizing ahead of a curve, that is ambitious , right. You've got to turn around and say, ‘We will put the money on the table and because we expect the volumes to come ’. The question that we've got to answer , and he asks more pointedly , is when will that volume come? Because that has a different on your IRRs , whether it comes in 1 year or in 5 years, right . We expected private CapEx to kick in 3 years ago. Had I invested 3 years ago, we would have had a challenge right now, right . So, it’s a continuous call that we are taking , ‘Where do you invest? ’.

- The other part that we have to keep in mind is , some of these products are already being manufactured globally. Now, if you look at the global environment, we have the opportunity to say, ‘Either you sell the product to us at a price that is competitive in the Indian market, that's all that we are interested in ’, or we will manufacture it ourselves over here. And that's a continuous conversation that we have with the parent company because it doesn't make sense, neither for them, because we are a part of their global supply chain as well, where, for examp le, our Goa factory is exporting substantially to the parent company. So, we are integrated into the global supply chain. For them, they have to take a call does it make sense for them to set up another factory in India and have vacant capacities in some other part of the world just to achieve a local price level? Or does i t make sense for them to drop their price to us so that we can address the local market?

- The critical discussion that we have to have is, it's not about setting up a new factory, it's about meeting the price level in the market , right. And if we can meet the price level and

continue to deliver margin improvement, because you want profitable growth, if we can meet the price level and continue to deliver margin improvement by importing or by buying then that's obviously a preferen ce. It's a much more efficient way to do things.

- Mr. Wolfgang Wrumnig - Executive Director and Chief Financial Officer, Siemens India:

- I just wanted to add, at the end of the day, it's a question of global demand as well. We do see right now in the energy environment, utilities, you know, globally the demand is rising, rising, rising, which makes it just much easier to make investment decisions in India. So, if you have other industries where the demand is not rising and the manufacturing footprint is already there, it makes, of course, inv estment decisions much more difficult.

- Mr. Harshit - Equirus :

24 - One last question from me. Coming back to Mobility , the electrification order, the large electrification order, we know that, as per press reports, the gap between you and the L2 was pretty large. Does that give us a sense that given where you are in signaling, your cost efficiency versus competition is t hat you can be extremely competitive in that piece? And electrification, like you mentioned, 50% market share in metals. Do you think that market share at least is sustainable as India electrifies more in Railways ?

- Mr. Sunil Mathur - Managing Director and Chief Executive Officer, Siemens India:

- So, yes. I think the simple answer to that is yes. Our intent is to continue to gain market share, our intent is to continue to grow the topline but to grow the bottom line along with it. So, we will not sacrifice the topline at the cost of the bottom line . We have not done that in the last 10 years , we won't do that in the next 5 years. The critical factor over there is, yes, every now and then you have to take a strategic call on one or the other project. But so long as the general trend continues , as we showed you on the chart continuous growth in the topline and the bottom line, we will continue to take those calls , absolutely.

- Ms. Radhika Arora - Head Investor Relations, Siemens India:

- I think there is somebody here asking. Yeah.

- Mr. Bhavin - SBI Mutual Fund :

- Couple of questions. So, when we virtually met last year, your outlook on private CapEx was not so positive, how do you see that now? I mean, how positive are you versus the last year because it looked from the presentation more positive ? And while there are impediments that you mentioned about the tariff, now 3 years out. So, the outlook 1 year and 3 years, how positive are you in high, low or medium? And what drives the change in the view that you have? What's driving the optimism?

- Mr. Sunil Mathur - Managing Director and Chief Executive Officer, Siemens India:

- So, I mentioned it in my initial comments. The reason why a year ago I was cautious on private CapEx was the consumption story was not kicking in , right. You had the problem on consumption, therefore, on demand. You had capacity utilizations at 80% -85%. So, the logical message would be, if you have capacity at 80% and you see India, you believe in the India growth story, that private sector should be investing. But they weren't. Why? Because the rate of consumpti on continuously went down. Obviously, the government had a similar view, which is why they came out with these two interventions - reduction in the income tax rates and in the GST in September with the hope that that will pick up, that will drive consumption.

- Of course, there is a lag period, which is where we are right now. So, in the medium term, I am optimistic. I believe by April to June we should start , logically , with everything the government has done. You have got a PLI in place , you have got a reduced income tax in place , you have got a reduced GST in place. I don't know what else the government can do.

The only thing that is not rounded is the tariff , right. That's the only thing where we don't have a conclusion yet.

- How much of a role that plays finally in a private sector decision? Yes, there will be some who are cautious, more cautious than others. But, logically, with the reduction in income tax and GST, there should be an uptick in private sector. And that's where I am more positive.

- Where do I see this story going 3 years later or 2-3 years later? I am very positive. I believe the discussions with the US and with Europe, the FTA discussions will get resolved. Whether it happens in 1 month, 3 months or 6 months is a matter of detail. But on a medium term horizon, 2-3 years, I believe that should get resolved and I hope that the tariffs will come down from the US. If they do come down substantially, that should definitely contribute to an upt ick in the GDP and also , therefore , into the private sector CapEx .

- Mr. Bhavin - SBI Mutual Fund :

- The second question, again, is on Mobility . What was the share of the locomotive in the revenues the year gone by? And in one of the conference calls that…

- Mr. Sunil Mathur - Managing Director and Chief Executive Officer, Siemens India:

- I don't want to go into that granularity.

- Mr. Bhavin - SBI Mutual Fund :

- No, but… So, in one of the conference calls that you had mentioned that the margins of the locomotive would be equal to the company margins, which were at about 10 %-11% then , so are you seeing the margin level now that…because that was the time you had just bid , now that you have finished the execution, the construction and now you're… how do you see the margins now versus your anticipation?

- Mr. Sunil Mathur - Managing Director and Chief Executive Officer, Siemens India:

- So, I think what Wolfgang has mentioned, this is a POC contract, right. And the project has been calculated at the right margins. It has met our margin hurdle targets over there, taking into account the volume of the business. And now , it's a question really of over the lifecycle of the project, delivering on those margins. And that is a function of the cost, as he mentioned.

- Mr. Wolfgang Wrumnig - Executive Director and Chief Financial Officer, Siemens India:

- I said it in my presentation more or less that the project ramp up is on track. So , more or less, right now no areas of concern. And so , with this, I would assume that we continue this way.

- Mr. Bhavin - SBI Mutual Fund :

- So, when I look through the other segments, Mobility by far has the highest level of localization and the manufacturing intensity. Maybe you mentioned there is some new costs that are there , why are the margins lowest amongst the all 3? And to us, it seems disappointment , these should be at least high teens or low teens. How do you see over 2-3 years out, given the investments that you have done?

- Mr. Sunil Mathur - Managing Director and Chief Executive Officer, Siemens India:

- It's CapEx. Look at the amount of CapEx we've put in in the last 2 or 3 years. We've done, in Mobility , we opened a bogie factory, we invested in the locomotive factory there, we continue to invest in Kavach signaling activities over there, electrification, continuous CapEx going in over there. So, it's a CapEx cycle that we are putting in there.

- Mr. Wolfgang Wrumnig - Executive Director and Chief Financial Officer, Siemens India:

- Look at the margins of other companies in the Mobility business. So , most probably, you know, the global Mobility business has a margin of, I don't know, double -digit, 10 %, 9.9 %. And if you look at other competitors, maybe they are more in the range where we are right now with 7.7 % or 7.8 %. Of course, there are also exceptions but also these exceptions maybe then you r question , is this really the real margin or not the real margin? Or is it subsidized when you look further

to the East? So , I believe we are not bad with the
7.7%. And , as we both said, we believe in this business. We will see revenue going up and we also believe that we will see margin expansion. And maybe our aspirati on is, of course, we want to get to the same level as the global business at some point in time.

- Mr. Bhavin - SBI Mutual Fund :

- Just last question on the Digital Industries. We had low teens margins over the previous 3 years this year. And my understanding of this business was the product may be sold free but the money is made in the services, which you said is 20 %.

- Mr. Sunil Mathur - Managing Director and Chief Executive Officer, Siemens India:

- No, no, no, no.

- Mr. Wolfgang Wrumnig - Executive Director and Chief Financial Officer, Siemens India:

27 - You know, the high margin in the past couple of years …

- Mr. Sunil Mathur - Managing Director and Chief Executive Officer, Siemens India:

- That’s not the business model here.

- Mr. Wolfgang Wrumnig - Executive Director and Chief Financial Officer, Siemens India:

- It was related to really the special circumstances. You know, there was a lot of demand from customers because they were afraid that they don't get any shipments because of the supply chains. So , the prices were skyrocketing at the end of the day. So, the transfer price model didn't work the other way around. So, more or less, we didn't transfer any profits back to the headquarter but we kept it here.

- So, that was more or less the reason why we had significant higher margins than in the normal business cycle. And I told you that the more or less the margin range we expect is 6%-8% plus/minus , where we are right now and where we also will be in the future. Of course, the more we grow, the more in absolute terms, the margin will grow. But the margin ranges will be, I would assume, in a similar ranges other than we grow the service business significantly because the service business is local business and at least not …You need to exclude spare parts but everything which is related to value a dd, this gives us opportunities to grow. And here we will, of course, focus on services. But I told you, predom inantly, the majority of the business is product business.

- Mr. Sunil Mathur - Managing Director and Chief Executive Officer, Siemens India:

- And we won't sell 5 crores or 8 crores automation system for free just to expect potentially service project later on.

- Ms. Radhika Arora - Head Investor Relations, Siemens India:

- Yeah, Subhadip .

- Mr. Sunil Mathur - Managing Director and Chief Executive Officer, Siemens India:

- Hi, good morning. Subhadip here from Nuvama .

- Mr. Subhadip - Nuvama :

- Hi, I am right here. My question is around the Mobility business. I think if we were to look at the scenario …

- Mr. Sunil Mathur - Managing Director and Chief Executive Officer, Siemens India:

28 - We will do a separate section on Mobility . Go ahead.

- Mr. Subhadip - Nuvama :

- Right. So, maybe about a year and a half or two back, I think the narrative was more around these big bang large loco orders, Vande Bharat orders, etc., whereas today it seems to be that the market has moved a little bit more towards subcomponent and subsy stem orders. Do you envision that the larger orders can come back over a period of time?

- And, secondly, there was a large export potential that we had thought of. I understand that exports have already started. But, again, anything big bang anticipated on that side, let's say over a 2 -3 year period?

- Mr. Sunil Mathur - Managing Director and Chief Executive Officer, Siemens India:

- So, you're absolutely right. The challenge is the Railways takes a decision on a case by case basis , right. Yes, there was a 12,000 horsepower, which is on the horizon. Yes, there is a 9,000 horsepower. Yes, there is a 6,000 horsepower on the locomoti

ve. Vande Bharat,
Vande Metro, all of these are there. Question, there's a commuter rail , one, MRVC tender, which is now out, etc. The challenge is , every tender is unique in itself , right. Some of them, they turn around and say, ‘J ust supply us the components ’. Some of them , they turn around and say, ‘Do the whole thing ’. Some of them , they turn around and they say, ‘Supply parts of this and the rest we will do . Do the entire EPC ’. So, there are different models that they are adopting for different tenders , which makes it, to be honest, difficult for any supplier to really plan in terms of how do you want to go. You have to react to every tender that is coming out in a unique manner.

- Having said that, will more cities require trains, suburban trains? Yes , right, n ot only Mumbai. Will there be intercity trains coming in? So , you're looking already at NHRCTL between Delhi to Varanasi, Delhi to Agra, Delhi to all these places. Those are going to increase, right. That is their intent, etc., etc. But everyone is different. Some, they say, ‘just give us the components’. Some, they say, ‘Just do the electrification’. So, it's a mixture. It's very difficult to generalize on what the ir business model is going to be keeping in mind they already have their existing factories, which they also have to keep occupied as well.

- So, it's a mix and match for them. But they need technology, they need to upgrade the technology. So , it's a question of where do they do it? Who supplies the car bodies? Who supplies the wagons? Who supplies the interiors? Who supplies the propulsion system, the bogies?

- On your second question on exports, yes, we have done two major export deliveries in our bogie factory. We are looking at future opportunities as well coming out of the bogie

29 factory. We're exporting out of our propulsion equipment. So, there are exports taking place. When you talk about a big bang export, it doesn't happen necessarily in the railway business. So, you won't export a series of Metro trains. You will export 5 cars, 6 cars, etc., but that depends on how the global market is developing and how global decides to service that requirement as well.

- Mr. Subhadip - Nuvama :

- Understood. Secondly, taking cue from the slides that you presented, the 3 key segments, if I look at the story of the last 5 years, I think the industry was growing somewhere between 5% -8%. Naturally, you grew at a much faster pace. Your own estimates of industry growth are much better now. And then taking cue from what you also said about the private sector CapEx, so probably we are looking at 8% -10% plus growth. So , let's say over a 3-5 year scenario, can we assume that SI continues to grow at 20% plus a nd the overall businesses, let's say , to a high te en to a 20% growth story, fr om a topline perspective ?

- Mr. Sunil Mathur - Managing Director and Chief Executive Officer, Siemens India:

- So, I'm not going to give a number because a lot of it …and it's not because I don't want to, it's just that the visibility in these kind of projects or in these kind of businesses is very short term , right. When you look at the SI business, there a lot of it depends on how much of investment is going to go , when will the investment actually happen in airports and ports . As and when an airport gets built, we will be there. As and when a hotel gets built, we will be there. As and when a port, a stadium, a mal l gets built, we will be there. So , a lot of it is dependent on that visibility.

- We have an element of that business which also feeds into private sector CapEx . So, same electricals are used in factories . So, as and when private sector CapEx picks up, that should also pick up , right. So , there are a lot of variables over there which are very closely interlinked into India's growth story. And that is why it becomes difficult , I don't go out deliberately w

ith giving a number because it has to be linked in to India's growth story because the Indian investment pattern will determine our gro wth story over there.

- Mr. Subhadip - Nuvama :

- Understood. Lastly, specifically in SI, any levers for further margin expansion?

- Mr. Sunil Mathur - Managing Director and Chief Executive Officer, Siemens India:

- Yeah, we've spoken. Localization, we've talked about. We are looking at, the more you grow the topline, it's a volume game. Low and Medium Vo ltage is a volume game. So, the more you grow the topline, the cost degressions happening over there, which will help.

30 We are looking in all our businesses, DI as well as SI, to get broader in our offerings and deeper in the offerings. And that should also help in that process.

- Mr. Subhadip - Nuvama :

- Okay, t hank you so much.

- Ms. Radhika Arora - Head Investor Relations, Siemens India:

- I think we can have one question.

- Mr. Sameer Thakur - Ambit :

- Hello, Sameer Thakur from Ambit. So, just on M&A strategy you talked about, is it more on bolt -on acquisitions or you're looking for bigger acquisitions as well? And will it be driven by global or local management?

- Mr. Sunil Mathur - Managing Director and Chief Executive Officer, Siemens India:

- No, no, we are looking for everything, to be honest , yeah. We have a deal book, we've scanned the entire market and this ranges from small, very small to very large. The challenge that we have …and it is more driven by the needs in the local market rather than in the global requirement . What we look at is a couple of things -

• Will this acquisition give us a product that we don't have ?
• Or access to a market that we are not present in?
• Or a technology that we don't have, which we can scale up not only in India but globally as well ?

- So, broadly, these are the parameters that we are looking at. And it has to meet our margin hurdles as well. So, how do you get all of that? And the challenge is we have a deal book that we are continuously reviewing, Not only internally but the board reviews it, globally they review it as well to really see what are the opportunities there. But this is the crit eria that we are following right now.

- Mr. Sameer Thakur - Ambit :

- Okay, thank you. And just on margins, you talked about DI the margins between 6%-8%. So, do you have any number for SI and Mobility , any range?

- Mr. Sunil Mathur - Managing Director and Chief Executive Officer, Siemens India:

- We're not giving guidance.

31 - Mr. Sameer Thakur - Ambit :

- Okay, fair.

- Mr. Sunil Mathur - Managing Director and Chief Executive Officer, Siemens India:

- He gave the guidance on 6%-8% because it's transfer price driven. So , there's not much that we can do over there unless we do increase service business, as he said. But on the rest, we don't give the guidance.

- Mr. Sameer Thakur - Ambit :

- Okay. The last one, on Kavach, what is the strategy there? Are you bidding for Kavach orders or it is just for your locomotives or something like that?

- Mr. Sunil Mathur - Managing Director and Chief Executive Officer, Siemens India:

- No, no, no. We want to be a serious player in Kavach. We already have a first developmental order from the Indian Railways in Bangalore. And we will definitely be a player in the Kavach market.

- Mr. Sameer Thakur - Ambit :

- OK, thanks.

- Ms. Radhika Arora - Head Investor Relations, Siemens India:

- Yeah, please.

- Mr. Jonas - Aditya Birla :

- Yeah. Hi, gentlemen. Jonas here from Aditya Birla. So, a couple of questions. Firstly, you know, given that the company is now sort of X Energy…

- Ms. Radhika Arora - Head Investor Relations, Siemens India:

- Only 2.

- Mr. Jonas - Aditya Birla :

- Yeah -yeah, couple. So, if you can give us a broad split of revenues? I think you used to give it earlier projec

ts versus products, it will be good to understand X Energy , how does that split look like now?

32 - Also, you spoke a lot about the solution selling, you know, which of the 3 segments is more indexed to that? And does it only have a read -through on revenue or also has a

margin impact?

- And lastly on, you know, the government facing side of the business, particularly which of the 3 segments …You know, Mobility obviously will have a government facing that between SI and D I, which is more direct government facing , if you can speak about that?

- Mr. Sunil Mathur - Managing Director and Chief Executive Officer, Siemens India:

- So, I'll start from the back because that's what I can remember and then I hand over to Wolfgang. G overnment facing , you are right , Mobility is entirely government facing. SI is to the extent of power utilities, the distribution business , that is government facing. The rest of the business is a mixture of government and industries both. Digital Industries is no government , it is 100% private capital.

- The share of project…

- Mr. Wolfgang Wrumnig - Executive Director and Chief Financial Officer, Siemens India:

- You just take what we have shown in the last Analyst Meet, it hasn't changed significantly. And that's why we decided not to show again because there was no major movement between project and product business.

- Mr. Jonas - Aditya Birla :

- And on the solution piece?

- Mr. Sunil Mathur - Managing Director and Chief Executive Officer, Siemens India:

- So, on the solutions, it varies. It depends how we do those solutions there. There will be some solutions where we go to a system integrator where we provide products to the system integrator. Then our margins , our product margins , and the system integrator gets a solution over there. There will be some customers who will want us to stitch the whole thing together. And then we buy everything in and then it becomes a kind of a solution.

- But we prefer not to do that unless we are able to develop a scalable model out of it. So, most of the solution, which is primarily DI and SI, would be the kind where we offer the products and the system integrator stitches it together.

- Ms. Radhika Arora - Head Investor Relations, Siemens India:

- We have one question behind here. Yeah.

33 - Participant :

- First, on the cashflows front, if you look at your operating cashflows versus what Siemens used to do in the past, they are much weaker, right, less than 20 % of EBITDA. So , any specific thing? Because on year -on-year basis that might not be comparable because …

- Mr. Sunil Mathur - Managing Director and Chief Executive Officer, Siemens India:

- CapEx investment has gone up .

- Participant :

- On the operating front because of…

- Mr. Wolfgang Wrumnig - Executive Director and Chief Financial Officer, Siemens India:

- Sunil is right . On one hand, of course, we have CapEx with regards to our investments in manufacturing. Then , also we have OpEx related to th ese investments. And one big portion is also we invest a lot in working capital right now for the Mobility business.

- Participant :

- Okay. And as the Mobility share goes up, that means it would keep on increasing the working capital need ?

- Mr. Wolfgang Wrumnig - Executive Director and Chief Financial Officer, Siemens India:

- Honestly, no . This was just more or less related to the ramp up of the 9K horsepower project and also some other larger projects. So , I would expect right now the majority is done , so it will stabilize. And , so, we should see a more positive development on the cashflow side going forward.

- Participant :

- And second question, sorry, on again the Mobility front. Just you explain ed the percentage completion method because it's a contract with just two parts - O&M as well as the product delivery, right . So, when y

ou consider margins as IND AS 115 , these would
be considered two separate obligations ? And you first recognize margin only on products or it's considered entire lifecycle, including O&M for margins ?

- Mr. Sunil Mathur - Managing Director and Chief Executive Officer, Siemens India:

34 - No, it is considered as two separate contracts. There's a supply contract and there's a service contract. Both of them are POC. And as and when the cost comes in for each of them, the revenue is recognized.

- Participant :

- Okay, thanks.

- Mr. Wolfgang Wrumnig - Executive Director and Chief Financial Officer, Siemens India:

- Maybe just to clarify my statement, so when I say our cashflow should improve, it's not that you will see now something you w on already. So , I'm talking about the full fiscal year.

- Ms. Radhika Arora - Head Investor Relations, Siemens India:

- So, we'll just take last 2 questions.

- Mr. Amit Mahawar - UBS:

- Yeah, hi. Amit Mahawar from UBS. I have two questions. First, on Smart Infra. Since the time you've taken over C&S, you know, we took some time. You know, a lot of cleansing has happened and profitability is up. But I think the revenue momentum of C&S integrating and marketing Siemens and Siemens marketing C&S portfolio globally and locally, we're yet to see the best of it. So , if you can throw some light on how are we geared up even on the capacity side for C&S and non - C&S portfolio ? Because , theoretically speaking, it can be a large market and you will choose, you know, when C&S markets Siemens to the infra customers and Siemens markets C&S to the energy customers ? What would be the rationale?

- And the second part is on the Mobility side. The pipeline from a 2 -3 year view, I understand Railways is very unpredictable , so Metros, Indian Railways and the semi - high - speed and the locos. Still you must be having a 3-4 year, you know, glide path of what kind of pipeline is there ?

- So, these two questions. Thank you.

- Mr. Sunil Mathur - Managing Director and Chief Executive Officer, Siemens India:

- Okay. So, on C&S, actually, the volumes are not too bad. We have plus 20% volume increases in C&S. So, those are increasing. What we don't do, deliberately we won't do, is we will not get C&S to market Siemens products and Siemens to market C&S. Otherwise, we cannibalize each other's markets , right. And that's why we are keeping a very clear firewall between C&S and Siemens Limited in the market. Of course, at the back end, we coordinate but we make sure that you don't get a C&S salesman going to a customer and

35 a Siemens salesman going to the same customer , right. Because , obviously, then you have got cannibalization happening.

- So, effectively, we have identified clear markets in which C&S will enter into, which are the mid -level markets, which is why we bought it, where Siemens is in any case not competitive , right. And Siemens stays in the premium markets, which are more mature, where C&S can't get a foothold into over there.

- Come to the export , the export process has taken time to pick up. And the reason is , every country that you go to, you need to get that qualification done of your products and that is taking time over there. Having said that, it's still doing reasonably good exports. But that is something that we have to grow. The domestic business of C&S is doing very well.

- On the Mobility side, yes, our visibility is there for the next 2-3 years. Kavach is definitely. The question that we can't answer to you is when will the next bunch of tenders come out, right. The opportunity on Kavach is there, the market is there. When will the next bunch of signaling tenders come out ? When will the next bunch of commuter rail come out? Usually , they do 1 or 2 a year but a lot of it depends on States. A lot of it

is not only
Central subject , it's also a State subject. And then you have t he main line, which is mainly the Railways, where they are looking at semi -high -speed and so on over there. That is continuing.

- But there again, going back to the earlier question , they are adopting different business models. Now , do they want only components or do they want the complete wagon over there , the complete car , etc., etc. So , the need and the market is visible to us. The timing for when the tenders will come that is not visible to us. We know what is coming in the next 3-6 months because that is the timeline that it requires to prepare the tender. But beyond that we don’t really have that visibility.

- Ms. Radhika Arora - Head Investor Relations, Siemens India:

- Yeah, go ahead. Can w e have a mic there, please ? Okay, please go ahead.

- Ms. Teena - Motilal Oswal :

- Just one question from my side. This is T eena from Motilal Oswal. Which all segments of Siemens got impacted by QCO norms ? And is it possible for you to quantify the impact on overall cost because of this ? And is it over or it may continue for another few more quarters?

- Mr. Sunil Mathur - Managing Director and Chief Executive Officer, Siemens India:

36 - So, as Wolf gang mentioned, we had one quarter where there was a slowdown because of QCO but then we picked up afterwards and we haven’t had any impact of QCO since, right , in none of our businesses.

- And the reason is , we started this process. We were the first company that got the license from the QCO authorities , the moment they announced it over there . But it took us those 2-3 months , that one quarter , time to get it not because of us but more because of the government ’s internal processes.

- Over a period of time we have continued on this path of localization. So , the impact for us is has not been very , very high. Where has it impacted primarily in the Low Voltage business , to a little extent in the Mobility but very , very negligible over there, but mainly in the Low Voltage business , both in C &S and in our regular Low Voltage . But both of them were up and running after that first bump , that Wolf gang talked about in , Q1.

- Ms. Teena - Motilal Oswal :

- So, now they are fully compliant and no more incremental investments are needed?

- Mr. Sunil Mathur - Managing Director and Chief Executive Officer, Siemens India:

- Yeah, n ow we are okay. Now , we are okay. And , as you know , the QCO has now been lifted indefinitely and we will continue our process of localization , not knowing whether they will bring it down again at some point in time . So, we are well aware of that. But we are working with the BIS and all the others on that process. So , it has not impacted us. We are not worried.

- Ms. Teena - Motilal Oswal :

- Sure. Thank you.

- Ms. Radhika Arora - Head Investor Relations, Siemens India:

- Just one last question, please.

- Mr. Mohit - Citi Research :

- Yeah, this is Mohit from Cit i Research. Firstly , if you can just share an update on the ongoing CapEx , the likely commissioning timelines ? Yeah.

- Mr. Sunil Mathur - Managing Director and Chief Executive Officer, Siemens India:

- So, the ongoing CapEx is basically the Medium Voltage , GIS Medium Voltage , and the Vacuum Interrupters . I think we will start commercial production in October ’26 on the

37 Medium Vo ltage and a couple of months earlier , plus/minus couple of months , on the Vacuum Interrupt ers. Those are the major ones that are happening, the rest are routine in capacity.

- Mr. Mohit - Citi Research :

- And on the Mobility side , I understand in Aurangabad certain CapEx…

- Mr. Sunil Mathur - Managing Director and Chief Executive Officer, Siemens India:

- Sorry?

- Mr. Mohit - Citi Research :

- Mobility CapEx, Aurangabad.

- Mr. Sunil Mathur - Managing Director and Ch

ief Executive Officer, Siemens India:

- So, Aurangabad is bogies, we have done it already. And we are looking now how we need to do that. We are even considering whether it really makes sense to do it ourselves , do we work with partners instead , how much to localize. So , those are the discussion that we are having right now.

- Mr. Mohit - Citi Research :

- Understood. And second question is on Discom privatization. Just wanted to get a sense of how meaningful it could be given that you’re saying already 75% or more of the Discoms are using switchgears , right? So , can it be very meaningful from these levels already?

- Mr. Sunil Mathur - Managing Director and Chief Executive Officer, Siemens India:

- Yes, I didn’t say that the market for Discoms is over , quite to the contrary. I only said the installed capacity , right , has got a lot of our switchgear in it. Now, all the installed capacity needs to be upgraded. The Discoms weren’t able to do it, they didn’t have the financial capability to do it. All of that needs to be upgraded. You need fresh switchgear, you need fresh SCADA systems, etc ., etc. And all of that is something that we have.

- As privatization comes in , the first thing that the developers do is to see how to cut losses over there , both transmission commercial losses and distribution losses as well. And that is where we come in and we can help them on the switchgear side , on the circuit protect , overall on the automation side, networking , etc., etc.

- Mr. Mohit - Citi Research :

- Understood. Thank you.

- Ms. Radhika Arora - Head Investor Relations, Siemens India:

- Okay . So, with that , we will close the session today. Thank you everyone for joining us, both who are joining us online and who are here with us , and you can join us now outside for some tea and coffee. Thank you so much. Thank you.

END OF TRANSCRIPT

Call: Jun 2026

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June 3, 2026
National Stock Exchange of India Limited
BSE Limited
Scrip Code –
National Stock Exchange of India Limited: SIEMENS EQ
BSE Limited: 500550
Information pursuant to the SEBI (Listing Obligations and Disclosure Requirements)
Regulations, 2015 ("Listing Regulations")
Dear Sir / Madam,
Pursuant to Regulation 30, 46 and other applicable regulations of the Listing Regulations, please find enclosed the transcript of the Company's Analysts / Institutional Investors meet held on May 28, 2026.
The said transcript is available on the website of the Company at:
https://www.siemens.com/en-gb/company/investor-relations-india/analyst-meet/
Kindly take the above information on record.
Yours faithfully,
ForSiemens Limited
Ketan Thaker
Company Secretary
Encl.: as above
Siemens Limited - Analyst & Investor Call - Quarter ending 31st March 2026
1Siemens Limited – Analyst & Investor Call
Quarter ending 31st March 2026
28th May 2026
-Ms. Radhika Arora - Head, Investor Relations, Siemens Limited (India):
- Good morning and welcome to the Siemens Limited Earnings Call for the Quarter ended 31st March 2026. I hope you all are in good health and have seen the results that were announced on 26th of May. Before we start this call, let me give you a few instructions about the technology that we are using here.
- We are using the Microsoft Teams platform for the meeting. All of you are in mute and the camera has been disabled. The meeting will start with a presentation by the management team of the company, followed by Q&A. Anyone who wishes to ask a question should use the raise hand option and we will enable the microphone for the person in that order. After enabling the microphone at our end, the speaker must also enable it on their device and then start with the question. In the interest of time, each one of you is requested to limit your question to maximum two. After the question is over, the speaker's microphone will be disabled.
- Moving on to the presenters, we have with us today:
- Mr. Sunil Mathur, Managing Director and CEO, and Mr. Wolfgang Wrumnig, Executive Director and CFO of Siemens Limited from the management team here. They will make a presentation on the performance of the company, post which we will move to the Q&A. Before I hand over to Mr. Mathur, please note that we are taking as having read the disclaimer statement that you can see in the presentation as slide number 2 available on the website and also currently on the screen. With that, over to you Mr. Mathur.
-Mr. Sunil Mathur - Managing Director and CEO, Siemens Limited (India):
- Thank you very much and a warm welcome to all of you to our analyst meet today. We will structure this analyst presentation essentially in 3 parts. I will give a brief outline of how we see the macro scenario in the country and its impacts on Siemens and some major events that have happened in the last quarter. And then I will hand over to Wolfgang to give a more detailed breakdown of the financials that have been released by the board a couple of days ago. And then I will take it back and just summarize the presentations and key messages before we open it up for Q&A thereafter.
- So, I think it is fair to say that the macro scenario is known already. One of the key impacts on most financial results comes out of the West Asia conflict here. Having said that, I would like to say we see very clearly a continuing growth story in India. We do not see a slowdown

in pr

ivate CapEx yet. We do not see a slowdown in public CapEx yet. And having said that, it is true that there have been major impacts in the last couple of months out of the sharp depreciation of the Rupee and out of the volatility, extreme volatility in commodity prices. Now, the impact of both of these and the impact of the West Asia crisis, of course, we believe will have an impact on inflation in the coming months. And this is something that we are going to be watching very carefully. Having said that, as I said, private sector CapEx continues to grow, not only in the new-age technologies that we had earlier talked to you about in terms of semiconductors, batteries and fuel cells and so on, but also more in the traditional. So, we

do see a growth in cement, steel, pharmaceuticals, etc., also happening during the last couple of months. There has been a pickup. I would not say we are yet at the peak on the private sector CapEx, but we definitely see a real pickup in the last couple of months coming out of the private sector CapEx there. Public CapEx pipeline in terms of roads, highways for us, railways, in particular Data Centres, private as well as public, major growth area for us. But also, the railway pipelines are getting stronger. We have more visibility in the tendering process of the opportunities that are out there. So, I think overall, from the demand perspective, we do not see a slowdown. Quite to the contrary, we see a pickup over there.

- Now, what impact the strong depreciation of the Rupee will have, the high increases in commodities will have on inflation and consequently on interest rates and consequently on ordering, we are not yet able to foretell. And this is something over the next 3 to 6 months we will be watching very, very carefully.
- As also the India-EU FTA, which we believe will bring in huge opportunities for exports for our customers, for us directly, not so much of an impact. There will be some impact in terms of customs duties coming down once this agreement is signed off. But we believe for our customers and therefore indirectly for us, there will be a huge impact coming out of that with, as we said, 0.5 to 1 percent impact on GDP over the next couple of years.
- Some areas during the quarter that we are particularly proud about is our increased focus on sustainability. We've been ranked as India's number one sustainable company in the engineering, electrical and electronic sector, something that we are very, very proud about. Following a lot of detailed work that we have done on scope 1, scope 2, scope 3, we have been upgraded by all the 3 agencies that you see here. And we will continue to keep our focus not only internally, but also in talking to our customers, supporting our customers on their sustainability projects, because we have the technologies that can enable them to be more sustainable.
- Some other highlights during the quarter.

■ You've been following the 9,000 horsepower (HP) locomotive project. And we are proud to say that by 31st of March, we delivered the first contractual … we met the first contractual delivery dates of dispatching 40 locomotives from Dahod to the Indian Railways and have been fully paid for that in the meantime as well. The next 2 years, will require us to deliver 80 locomotives a year, 80 in ‘26 and ‘27, and then it will ramp up to 100 from 2028 to ‘30, before we have to ramp up finally to 160 from 2030 to 2035. So, this is a good project. We are on track. We have been able to deliver, as we mentioned, over 90% localization in about 2 years. And we are very satisfied with the progress over here.

■ We also were able to receive an order from a leading semiconductor player for their OSAT facility in Gujarat. And this really demonstrates everything from designing the factory, designing the processes, to delivering automation system, the hardware, as well as the electricals. And this i

s where we combine really the power of Siemens together by combining the portfolio elements that we have, software elements and hardware elements that we have in our Digital Industries business with the electrification portfolio that we have in our Smart Infrastructure business to provide a comprehensive solution that starts with software design, design of the product, design of the factory, design of the processes, and then bring it, combine it with the hardware, where we actually bring the electrification, as well as the automation linked in with the IT-OT integration and cybersecurity platforms that are required for the manufacturing

facilities over here. And this is what we will really be focusing on moving forward, is as a one tech company is combining the strength of all our businesses together to provide one technology solution across all our verticals to customers.

■ The third one, of course, is another element of pride. We have received an ■18-billion order for the supply of bogies, traction motors, and gearboxes to the parent company for onwards use by them. Our bogie factory in Chhatrapati Sambhajinagar is now part of the global network of factories of our Mobility activities. As you are aware, we have

received multiple orders for export already by this factory. And this is a large order that we have received as well. It will be executed over the period 2029 to 2039. So, this is basically product deliveries. It's not a project. This is basically product deliveries over a 10-year period starting from 2029 onwards.
- So, with that, I hand over to Wolfgang to give you more insights into the financials for the last period. Wolfgang, over to you.
-Mr. Wolfgang Wrumnig - Executive Director and CFO, Siemens Limited (India):
- Thank you, Sunil and good morning, everyone. In today's call, I would provide you an update on the financial performance of Siemens Limited and its key businesses for quarter 6 compared to the same quarter 12 months ago, as well as performance for 6 months ended March '26, same compared to the 6 months ended March '25.
- So, this quarter represents the final quarter of our financial year following the change of the October to September cycle to April to March. So, now, let me start with the headline. So, we delivered strong order intake and revenue growth despite global uncertainties.
- So, I will walk you through the consolidated performance, some key facts regarding our performance, the business segment highlights for Smart Infrastructure, Mobility, and Digital Industries, and I will close with a look at the 6-month financials and details on the structure of our business. So, now, let me start with the highlights.
■ First, order and revenue growth were strong, even as the macro environment remained challenging. Geopolitical uncertainty and economic volatility are affecting the economy. Despite these challenges, the company maintains a strong order backlog, also providing revenue visibility for future quarters.
■ Second, on profitability, the key factor in this period, but also for the 6 months, was increased material cost, mainly due to external challenges of increased commodity pricing and foreign exchange. In addition, we have seen price increases for material and purchase products from suppliers, which we couldn't completely pass on to the market.
■ And third, on the portfolio topic, the sale of the low-voltage motors business is on track for completion in June 2026.
- So, now, let's take a look at the Q6 financials :
■ Order backlog increased to 450 billion compared to 412 billion 12 months ago, yes, on an increase of 9.3%.

■ New orders moved strongly to INR 67.3 billion, up 33% year-on-year, driven by Smart Infrastructure and Mobility growing double-digit.
■ Revenue increased to 46.2 billion, up 14.6%, all three businesses growing double

-
digit.
■ And on profitability, EBITDA was INR 4.5 billion versus the 5.1 in the comparative period.
■ EBITDA margin moved from 12.6 to 9.7, down 290 basis points.
■ As a result, profit before tax was INR 4.6 billion, compared to INR 5.3 billion, down 13.6%.
- So, in summary, a strong growth in orders and revenue and negative margin impact driven mainly, mainly by impact from cost volatility, cost increases largely driven by commodity prices and foreign exchange.
- So, now, I'll give you a little bit more details on the impact of the material cost increases. So, on this slide, I just want to point out two things. You can see very clearly the impact of material cost increases due to effects on commodity prices.
- In quarter 2, the material cost was reported as 69% of revenue. And in quarter 6, the number went up to 74%. When we take a look at the currency, the Euro depreciated by almost 18% versus Q2, from an average 91 INR per Euro to 107 per Euro in Q6.
- Same thing when we look at the commodities. We do see a similar picture. For silver, the price per kg went up from $1,000 to $2,700, an increase of 160%.
- And for copper, the price per metric tonne increased from $8,800 to $12,800 in Q6, a plus of 45%.
- I want to make one point clear. Our operations continue to remain strong and resilient, and our underlying margin remains robust. And our priority continues to be on a consistent, focused, and rigorous execution. So, the other important message is the following.
- We are managing our remaining costs very well. All costs, other than the material costs, went up only by 0.8% from Q2 to Q6. And looking at our profit before tax, you can see two effects, each one offsetting each other. On one hand, the other income in Q6 declined by 500 million, and in Q6, we also had 500 million lower demerger expenses. So, overall, the impact of commodity prices and their effects is significant, but our operational performance is still very strong.
- So, now let me move to the individual businesses, starting with Digital Industries.

- So, Digital Industries delivered a moderate order intake in Q6, supported by revenue growth through backlog execution, and showed normalized profitability sequentially. In Q6, new orders were 9.7 billion, broadly flat, only up 1.4%, versus 9.5 billion in the comparable period. For the 6 months ending 2026, new orders increased to 20.7 billion, up 17.1% in the 6-months period. So, an order growth was driven by strong demand in certain verticals, like metals and mining, cement, and food and beverage. Revenue in Q6 was 11.5 billion, up 14.35%, and very similar in the 6-months period, revenue was up 14.6%. And, as already said, also here,
revenue growth was mainly driven by a strong order intake in Q5. The Book-to-bill for Q6 was 0.84, meaning revenue exceeded orders in the quarter, while demand remained healthy in selected verticals. Overall, we see the positive momentum in the market of Digital Industries to continue. EBITDA in Q6, 2.6%, versus 5 in prior year. Due to the large share of products we purchased from Germany, we just see the significant impact from the Euro appreciation. As already pointed out, 18% cost increase just from the Euro appreciation. EBITDA margin for the 18-month period is 5.6%, and here we are close to the margin range we just told you in December meeting. Taking out the FX impact, we would be in the range of the 6.8 range we have communicated to.
- So, now let me move on to the Smart Infrastructure business .
- Smart Infrastructure delivers strong order and revenue growth, while also profitability declined due to higher input costs. The Smart Infrastructure business is more sensitive to the development of commodity prices and partially to the Euro-INR exchange rate. So, due to the high share of local manufacturing, the impact of currency is less significant in the Smart Infrastructure business. In Q6, new orde

rs increased to INR 29.6 billion, up 17.6%, and for the 6 months we grew to INR 60.6 billion, up 22.9%. Order growth was driven by customers in the area of power utilities, renewables, and the Data Centre business. Revenue also went up. In Q6 our revenue was 25.8 billion, 14.5% up, and for the 6 months, revenue was up 11.6%. And revenue growth was led by significant business out of the electrification and automation business, but also from our electrical products business. Book-to-bill was 1.15, supporting backlog and also forward visibility. As already said, on profitability, the key driver of the decline was higher material costs due to volatile commodity prices, and for the 6 months period EBITDA declined by 120 basis points, from 16.2 to 15.1. So overall, Smart Infrastructure continues to deliver strong top-line momentum with margins reflecting the volatile commodity and FX environment.
- Now let me move to the third business, the Mobility business :
- And here also Mobility continues to demonstrate strong business momentum. And we have achieved major milestone with the delivery of the first 9K horsepower locomotives to Indian Railways. So, in Q6, new orders increased significantly to 28 billion, up 75%, and for the 6 months ending March, new orders were 34.3 billion, up almost 42%. Also, revenue increased substantially. Q6 revenue was 8.3, up 12.7%, and the 6 months revenue was 16.5 billion, up 20.4%. And revenue growth was primarily driven by the ongoing execution of the 9K horsepower locomotives project. And still, you know, with the backlog we have, there is definitely a positive outlook with regards to revenue going forward. The book-to-bill of Q6 was 3.37, aiding additional future revenue to our backlog. Sunil already mentioned the significant order in Q6 for work allocation for manufacturing supply of bogies, traction motors, and gearboxes. And when it comes to profitability, we did see some slight increase of profit margin, and this was mainly supported by timely project execution, revenue growth, and resulting economies of scale. EBIT improved from 7.2% to 7.6%, an increase of 40 basis points. The 6 months EBITDA went down from 8.2% to 6.4% as a result of ethics and also business mix. So, in summary, Mobility business continues to manage operations well, with clear progress on key projects and improving underlying profitability.
- Now, the 6 months Consolidated Financials :
- Just a brief look at the performance comparison for the 6 months ended in March 2026, we have seen orders increasing to 115.6 billion, up 26.8%. Revenue increased to 84.5 billion, up 14.3%, and EBITDA is 8.7 billion, slightly down compared to the prior 6 months. The EBITDA
margin moved from 12.3 to 10.3, down 200 basis points, reflecting the topic of commodity prices and foreign exchange. Profit before tax is 8.9 compared to 10.2, down 30%, and as already mentioned at the beginning, our order backlog stands at 450.3 billion. So again, the picture is consistent. Strong order intake and revenue growth and profitability impacted by external cost environment and ethics.
- So, we delivered strong order intake and revenue growth across the company. Profitability was impacted by higher material cost, but our underlying operational performance remains robust. Smart Infrastructure and Mobility showed very strong momentum, and also Digital Industries showed stable demands with normalized profitability trends. And just to repeat, the low-voltage motors business remains on track for completion in June 2026.

- So now I would like to close my presentation with a look at the structure of the business. Just briefly, comparing revenue mix across businesses, geographic, and business dimensions. At a high level, the mix is stable year-on-year. The share of revenue from business is pretty much stable, with a minor increase in the share of the Mobility business and a consequent decrea

se in the share of Digital Industries. The geographic split remains broadly consistent based on revenue, domestic sales around 87%, and exports are about 30%. And the business mix remains stable with regards to projects at about 30% to 31%, and products and services at 69% to 70%. So, more is also here. We do see a very stable business environment.
- So, with this, I close my presentation. Thank you for listening, and give it back to Sunil.
-Mr. Sunil Mathur - Managing Director and CEO, Siemens Limited (India):
- Thank you very much, Wolfgang. So basically, to highlight the presentation so far, we continue to believe that the economy is resilient. There are concerns, however, around inflation and the impact that inflation will have, and the Rupee depreciation and commodity prices, and we will watch that very, very closely.
- Having said that, as we said, we do not see any slowdown currently as we speak, neither in the private CapEx nor in the public CapEx space. We are now at a record order backlog level with a long reach ahead of us. Our EBITDA, as Wolfgang mentioned to you, has been impacted by the commodity prices and effects. That was primarily the main impacts to the EBITDA. And, of course, sustainability will remain a key focus for us, as well as for our customers. And we believe that we have the technologies that can enable our customers to meet their sustainability as well as their digitalization requirements in an increasingly volatile world ahead.
- So, with that, we end our presentation. We'd like to hand it over to you for questions, which we will attempt to answer. Radhika, over to you to moderate the session.
-Ms. Radhika Arora - Head, Investor Relations, Siemens Limited (India):
- Thank you. So, we will now start the Q&A session. As I mentioned earlier, please try and limit your questions only to two. We have the first question from the line of Mohit Kumar from ICICI Securities. We'll unmute you, and then you can unmute at your end and go ahead. You're unmuted, Mohit.
-Mr. Mohit Kumar - ICICI Securities:
- Hi. Am I audible?
-Ms. Radhika Arora - Head, Investor Relations, Siemens Limited (India):
- Yeah. Can you speak a little loud?
-Mr. Mohit Kumar - ICICI Securities:
- Yes. I'll try to be loud. Thank you, and congratulations on a very strong order inflow.
- My first question is, will the margin continue to stay at current levels in DI and SI for a couple of quarters, because the prices are still at elevated level and the Rupee is where it is? And do you believe this will improve our next 3, 4 quarters, because we might still be locked in the fixed price contract for the orders already in place?
-Mr. Sunil Mathur - Managing Director and CEO, Siemens Limited (India):
- So, Mohit, we are not giving guidance on the next or the future quarters. For all that we can say, and as going back to Wolfgang's earlier presentation to you, our price, our underlying margins continue to be strong, continue to grow. However, we are unaware and we cannot predict what the impact of foreign exchange and commodity prices will have and these we will reflect to you transparently as we have done this time as well in terms of where we stand both on our DI and SI businesses. Both our DI and SI businesses are largely short-term durations. We have some contracts in SI which are electrification that may extend over a year or two but largely they are short-term contracts. So, the impacts that you will see will be more short-term impacts. We don’t have tied-in long-term fixed-term prices.
-Mr. Mohit Kumar - ICICI Securities:
- Understood. My second question is, of course, we had a very strong order inflow from the parent in the Mobility segment in the quarter. How should we think about further opportunity in metro from parent from a medium-term perspective?
-Mr. Sunil Mathur - Managing Director and CEO, Siemens Limited (India):
- So, I mean, as I mentioned befor

e as well, metros is a huge opportunity for India first. Every city at some point in time will need metros and not only one line but multiple lines of metros. So, I think that is a huge opportunity for us both on the rolling stock side but also on the electrification and signaling side as well. Globally, the metro market is also doing well and, as I mentioned earlier, we are part of the global supply chain of our parents. So, whenever there is a suitable allocation that has to be done to us, we will receive those allocations as we receive for all our 25 factories here in the country.

-Mr. Mohit Kumar - ICICI Securities:
- Understood, sir. Thank you. All the best, sir. Thank you.
-Mr. Sunil Mathur - Managing Director and CEO, Siemens Limited (India):
- Thank you.
-Ms. Radhika Arora - Head, Investor Relations, Siemens Limited (India):

- Thank you. We now move to Harshit Patel from Equirus. Harshit, you can go ahead. Yeah, Harshit, you are unmuted, can you……
-Mr. Harshit Patel - Equirus:
- Yeah, am I audible?
-Ms. Radhika Arora - Head, Investor Relations, Siemens Limited (India):
- Yeah, we can hear you now.
-Mr. Harshit Patel - Equirus:
- Thank you. Thank you. Sir, my first question is on Data Centres. Could you comment on the Data Centre exposure for both SI as well as DI businesses, in terms of orders and order backlog? Also, how are we positioned vis-a-vis competition, Schneider, ABB, Eaton, etc. in India? What would be our market share in the LV, MV electrification and automation part of the DC CapEx?
-Mr. Sunil Mathur - Managing Director and CEO, Siemens Limited (India):
- So, look, we don't monitor our portfolio by vertical. In other words, we are not saying we are not able to provide you accurate information about how much LV, MV we are providing into Data Centres, how much integrated building management system we are supplying into them, etc. Suffice to say, we are competitive against Schneider and ABB as well on all the portfolios that we have, particularly in Data Centres, and this is one of the fastest-growing portfolio elements for us in the company overall. It is primarily an SI portfolio element or an SI vertical, not too much of DI content for us, but it's mainly the electrification as well as the integrated building management systems. To some extent, there is also software coming out of the DI portfolio, but that's not very material.
-Mr. Harshit Patel - Equirus:
- Understood. So, my second question is on CapEx. Could you highlight some of the CapEx programmes that we are running in all three businesses? In the past, you have mentioned the MV switchgear portfolio and the vacuum interrupters for the SI business. Which are the more product lines that we plan to localize in the next 2 to 3 years? If you could guide on the total CapEx planned over the next 2 to 3 years, that will be helpful.
-Mr. Sunil Mathur - Managing Director and CEO, Siemens Limited (India):
- So, I will not be able to give you specifics about our strategic plans over the next couple of years. You are right. Our medium voltage and vacuum interrupter plant in Goa is nearing completion, and we should be able to come to commercial production with those expanded capacities already.
- In DI, there is the first element of some localization that we have started with. In the Mobility, we have continuous localization that is happening. But this goes more in the area of signaling and rolling stock. Rolling stock in the area of locomotives and bogies and so on. But this is an ongoing activity. As I said, we will continue to localize activities and increase our capacities

based on market demand. And that is something when we are ready to announce it, we will announce it after we get board approval for that.
-Ms. Radhika Arora - Head, Investor Relations, Siemens Limited (India):
- Okay. Thank you. We move to the next question. Mahesh Patil from ICICI Mutual Fund.
Mahesh, can you go ahead, please?
-Mr. Mahesh Patil – ICICI Mutual Funds:
- Yeah. Hi. Am I audible?
-Ms. Radhika Arora - Head, Investor Relations, Siemens Limited (India):
- Yeah, yeah. We can hear you.
-Mr. Mahesh Patil – ICICI Mutual Funds:
- Yeah. So, in the presentation, we have mentioned some value adjustment for our 9,000 HP railway order. So, can we get the exact order size of the 450 billion order book that we have, of this railway order?
-Mr. Sunil Mathur - Managing Director and CEO, Siemens Limited (India):
- So, the large order that we have received recently, the export order is the 18 billion order that we have just received, which is in the order backlog. What is the question?
-Ms. Radhika Arora - Head, Investor Relations, Siemens Limited (India):
- After the value adjustments, what is the value of the order?
-Mr. Sunil Mathur - Managing Director and CEO, Siemens Limited (India):
- The current value of the order? One more….
-Mr. Mahesh Patil – ICICI Mutual Funds:

- Yes, sir. So, the 9,000 HP order that we have in India, for that, we have mentioned in the presentation that there has been some value adjustment. So, of the 450 billion overall order book, how much would that order be?
-Mr. Sunil Mathur - Managing Director and CEO, Siemens Limited (India):
- So, we will come back to you with this number. We don’t have it offhand.
-Mr. Mahesh Patil – ICICI Mutual Funds:
- Okay. Okay, sir. So, my second question is on the margins.
- So, given the price escalations, largely how much portion of our, we can say contract in terms of percentage, roughly, will this cost be entirely passed through or how are the escalation clauses?

10-Mr. Sunil Mathur - Managing Director and CEO, Siemens Limited (India):
- Well, are you talking in general or are you talking specific to any business?
-Mr. Mahesh Patil – ICICI Mutual Funds:
- No, sir. In general.
-Mr. Sunil Mathur - Managing Director and CEO, Siemens Limited (India):
- So, look, we have had price increases across our businesses, both in DI and SI. There are two price increases that we have already passed on to the customer. Not all of it has stuck, but we continue to try to pass on some parts to the customer. We don’t have price escalation clauses because these are short cycle products. But we manage that through price increase announcements that we do at regular intervals. So, yes, there have been two price increases that we have announced across our DI and SI portfolio.
-Mr. Mahesh Patil – ICICI Mutual Funds:
- Okay, sir. Thank you so much.
-Ms. Radhika Arora - Head, Investor Relations, Siemens Limited (India):
- So, we haven’t disclosed the value adjustment numbers. We haven’t disclosed the value adjustment numbers, Mahesh. We have the 26,000 crores that we announced initially. There are these regular value adjustments that keeps happening in the contract as per the terms.
-Mr. Mahesh Patil – ICICI Mutual Funds:
- Okay, ma'am. Thank you so much. Thank you.
-Mr. Sunil Mathur - Managing Director and CEO, Siemens Limited (India):
- Yeah, okay.
-Ms. Radhika Arora - Head, Investor Relations, Siemens Limited (India):
- We move to the next question from Parikshit Kandpal at HDFC Securities. Parikshit, you are unmuted. You can go ahead now.
-Mr. Parikshit Kandpal – HDFC Securities:
- Am I audible now? Hello?
-Mr. Sunil Mathur - Managing Director and CEO, Siemens Limited (India):
- Yes, you are.
-Mr. Parikshit Kandpal – HDFC Securities:

11- Okay. Yeah. My first question is, sir, on this bogie order backlog in our order book of 45,000 crores, my sense is it should be close to about 23,000-24,000 crores. So, how are we protected on price increases here? Do we have any PV clauses because this is a large part of the order book sitting in our order backlog?
-Mr. Sunil Mat

hur - Managing Director and CEO, Siemens Limited (India):
- Wolfgang!
-Mr. Wolfgang Wrumnig - Executive Director and CFO, Siemens Limited (India):
- Yeah, in this contract, we have price escalations covering the cost increases over a long period of time. So, what we usually have for long-term contracts, we have escalation clauses. But also, it depends on the competitive environment and also on the customer, the terms of contracts, what he puts into his RFPs. So, you know, it's really handled case-by-case.
-Mr. Sunil Mathur - Managing Director and CEO, Siemens Limited (India):
- But for the bogie order or for the locomotive order, there is a price variation clause built into it with an index there as well.
-Mr. Parikshit Kandpal – HDFC Securities:
- But are we adequately covered because the kind of price increases, we have seen? So, are you fully covered or a part of that indexes are only covering a part of that? So, we are not able to pass the entire cost of the commodity increases?
-Mr. Sunil Mathur - Managing Director and CEO, Siemens Limited (India):
- No, I think the commodity increases as well as the forage, it’s mainly commodity increases that is there. I think we are adequately covered.
-Mr. Wolfgang Wrumnig - Executive Director and CFO, Siemens Limited (India):
- Yes, I confirm that we are adequately covered. Of course, there are always some remaining risk which could hit. But from my perspective, at this point in time, we are well covered.

-Ms. Radhika Arora - Head, Investor Relations, Siemens Limited (India):
- And you are also seeing these value adjustments coming in, right, Parikshit.
-Mr. Parikshit Kandpal – HDFC Securities:
- Okay. Yeah.
-Ms. Radhika Arora - Head, Investor Relations, Siemens Limited (India):
- So, part of that would come for that as well. And that's why I said that we don't give away the adjusted values as that keeps getting adjusted in the usual course of business, you know, the exact number, but those things are covered there.
-Mr. Parikshit Kandpal – HDFC Securities:

12■ Right. My second question is on Data Centres. So, Sunil sir, I just want to pick your brain here. So, we have hardly any installed capacity on Data Centre side. Number goes anywhere between 1.5 gigawatt of IT load and is expected to go to 10 to 18 numbers widely range. So, I just wanted to hear from you, how's the enquiry book building out there? Are you seeing incremental RFPs coming for the large hyperscalers? And how do you see this build out happening over the next 2-3 years? Your own guesstimate how this capacity will move and how it will benefit us? What is the share of data centres currently in the order backlogs? Some colour on that will be helpful.
■Mr. Sunil Mathur - Managing Director and CEO, Siemens Limited (India):
■ So the maximum position, as you're right, you said 1.5 going up to 9 is the official number right now. I believe this will probably go to 18-20, as you said, but in the next couple of years, we see a very strong push for data centres here in the country. It's one of our fastest growing businesses as well. A lot of conversion actually happening on the ground. Hyperscalers are ordering. Our position in this entire environment is strong; we are strong players in the electrification area. We can do simulations in data centres, and we can manage the entire electricity within the data centre as well, including design the data centre as well. So these are the areas that we contribute to. We see a strong growth coming in, both for our software business, which is outside of Siemens Limited, but also for RSI business, as I mentioned earlier. But I do believe this is an opportunity or a sector that will grow much faster than it has been growing in the past. We are well positioned to take that opportunity.
■Mr. Parikshit Kandpal – HDFC Securities:
■ And what is the percentage in our order book for this now? Any colour on that? How big would
this be in our order book?
■Mr. Sunil Mathur - Managing Director and CEO, Siemens Limited (India):
■ I think it's in the range of around 12 to 15. As I mentioned earlier, we are not… it depends again. When you look at it in terms of the order book, over there, it would probably be in the range of 12 to 15 or so.
■Mr. Parikshit Kandpal – HDFC Securities:
■ Excluding the bogie order, right? Excluding that large bogie order.
■Mr. Sunil Mathur - Managing Director and CEO, Siemens Limited (India):
■ Let me think about that now.
■Mr. Parikshit Kandpal – HDFC Securities:
■ Because that's 45,000 crores order book, so out of that 4,000 is a very big number.4,000 to 6,000 looks to be quite a big number.
■Mr. Sunil Mathur - Managing Director and CEO, Siemens Limited (India):
■ Now, it's probably excluding. We will get back to you on that.
■Mr. Parikshit Kandpal – HDFC Securities:
■ Okay, sure, sir. Thank you. Those were my questions.

13■Ms. Radhika Arora - Head, Investor Relations, Siemens Limited (India):
■ Okay. So, we move to the next question. Jay Negandhi from Ambit Capital. You're unmuted, Jay, you can go ahead.
■Mr. Jay Negandhi – Ambit Capital:
■ Am I audible?
■Ms. Radhika Arora - Head, Investor Relations, Siemens Limited (India):
■ Yes, we can hear you.
■Mr. Jay Negandhi – Ambit Capital:
■ Great. Thank you. So, my first question was regarding the commodity inflation. I understand that we have taken two price increases. So, would we get to see its benefit in the coming quarters with a lag? And does comparative pressure cap the magnitude of price increases? And how does that affect the demand or order intake going ahead?
■Mr. Sunil Mathur - Managing Director and CEO, Siemens Limited (India):
■ So look, you can do a price increase, but first, it depends on what the customer is willing to pay. Second, it depends on what he's able to get from the competitor. So yes, being comparative, as well as the stickability with the customer does play a role.

■ The price increases always have a lag effect. And as I said, these are all short cycle businesses. So, the products that we are supplying today, once we announce a price increase, the impact of that is felt in 3 or 4 months later. So, yes, we do expect that there should be an improvement in the underlying profitability. Of course, you can't pass on the complete increase of 20% foreign exchange and 50 to 150% of copper and silver to the customer. But whatever we can, we have, as we said, we've done it twice and we will continue to do it.

■Mr. Jay Negandhi – Ambit Capital:

■ All right. My second question would be, you said that railways and data centres are a growth driver for us. But how are the other end markets shaping up? Could you give us some directional outlook on them?

■Mr. Sunil Mathur - Managing Director and CEO, Siemens Limited (India):

■ Okay. So, let's go business-by-business. If I look at our DI business and we look at chemicals, fertilizers, they're growing well. We will have to wait and see what the impact of the West Asia crisis is on fertilizers. But chemicals are doing well. Pharma is growing well. Food and beverages is growing well also. Automotive is beginning to pick up. Two-wheelers are doing much better than four-wheelers, but the four-wheelers are also picking up as well. What else do we have? Which other verticals do we have?

■ Utilities, power utilities, when I look at our SI business, we look at the power utilities; a lot of ordering happening in the entire electrification space. This is a growth, very clearly a large growth area, and that is growing extremely well. Commercial buildings is a mixed story. We do see a lot of constructions happening over there. The pace varies, depends on which part of the country, but commercial buildings are also growing well. And by that, I mean schools, malls, hospitals, educational institutions, stadiums, etc. Residential stadiums is also growing well. So I think overall, we see in almost every segment that we are working in, growth.

■ Some slowdown in metals, in other words, in steel, a little bit. We are not sure whether this is short term or whether this is only for… whether this is more systemic, but there's some slight slowdown in the last 1 or 2 months. I don't know whether this is more long term or not. But other than that, cement is also doing well. Yeah. And I think I've covered enough of the verticals so far.

■Mr. Jay Negandhi – Ambit Capital:

■ All right. Yeah. Thank you so much. Those were my questions. All the best.

■Ms. Radhika Arora - Head, Investor Relations, Siemens Limited (India):

■ Thank you. We have the next question from Bhavin Vithlani from SBI Mutual Fund. Bhavin, you can go ahead. Bhavin? Bhavin, you are unmuted. Okay. Maybe he can't hear us.

■ So we go to the next question. Renu Baid is from IIFL? Renu, you are unmuted. You can go ahead.

■Ms. Renu Baid – IIFL:

■ Yeah. Hi. Morning. I hope I'm audible.

■Ms. Radhika Arora - Head, Investor Relations, Siemens Limited (India):

■ Yeah Renu, I can hear you.

■Ms. Renu Baid – IIFL:

■ Sure. So good morning, team. I have a couple of questions. First, while, Sunil, your overall comments on growth and private sector were optimistic, but if you look at the order inflow for the quarter, this being a March quarter for domestic market and ex of the bogie export order, inflows are actually declining YoY. So where do we see the gap up in terms of order flow finalization in the domestic market? Is it because of postponement around the Middle East war, or there are certain segments which are not firing well? And ex of these large orders and the FX adjustment or commodity adjustment which we had on the loco, what is the outlook on inflow trajectory from the domestic market over the next 12 months, in your view? And the expected rebound in the private sector investment decisiveness, do you see that holding up well, or it could be still on the sidelines? Along with this, if you can also throw some inputs in terms of government being fiscally challenged this year on multiple fronts. So do you see government sector ordering keeping up pace, or that may soften a bit? That's the first part of the question.

■Mr. Sunil Mathur - Managing Director and CEO, Siemens Limited (India):

■ Okay. That's a lot of questions. Let me try and answer them, Renu. So yes, I am optimistic about the growth. And if you see the overall presentation that Wolfgang gave and break that down by the individual segments that we have got over there, our DI business grew at 1.5% roughly, right, in terms of order income. And this is again, short cycle. I do not believe this is a reflection of the private sector CapEx right now. Overall, if you see for the year, for the 6 months, it's growing at 17%. So I think it's just a quarterly impact, and we shouldn't read too much into it.

■Mr. Wolfgang Wrumnig - Executive Director and CFO, Siemens Limited (India):

■ Sunil, if I can get in here? The reason for the soft growth in Q6 was, we did a price increase at the beginning of the Quarter 6. So customers just pre-ordered in Q5. But I believe here we
need to look at the 6 months revenue quarter growth and with 17%, I believe it's pretty much okay. Yeah.

■Mr. Sunil Mathur - Managing Director and CEO, Siemens Limited (India):

■ When I look at our SI volumes over here, this reflects what I was mentioning earlier in terms of the electrification business really growing well: 17.5% in the quarter, 23% in the 6 months. So that's pretty robust. So if I just take these two segments that cover a large part, the railways is the other part over there. Yes, there are large orders, but the railways, you shouldn't look at individual quarters, I think. It's more important to look at it in terms of a six-monthly or ha

lf
or full year. We have won orders for propulsion systems, for signaling, for electrification. So that flow continues to come. The pipeline, as I mentioned, is very, very strong.

■ Now, yes, you have a valid point in terms of the fiscal challenge and the impact that it could have on government ordering. To be honest, we don't see that yet playing out in the areas that we are active in, which is if I look at government ordering from our perspective, it's either in the power utilities segment or it is in the railways, and in neither of them… and power utilities is not central government, it's primarily state government. So we don't really see a slowdown happening there. The railway, the pipeline, as I mentioned, is deep and broad as well, both on the electrification as well as on the signalling and rolling stock. 24,000 kms. of signalling has already been done… has already been ordered. We expect the rest to be ordered probably end of next year. But electrification and rolling stock, there are large opportunities that are already in the pipeline, and a good flow that is coming.

■ Looking at the future, as I said, I think some of the drivers that the government is going to have to look at is how will the impact of the oil crisis play into the inflationary environment in the country? Will that have an impact on… and the depreciation of the rupee as well? That could give a challenge to the government in balancing the books. But also then there will be… the moment you get inflation going up, there could be impacts on interest rates and that may impact ordering as well.

■ As I said, today as we speak, we have no signs of any slowdown happening. There is slippage probably because of LPG here or LPG there, but we don't see a slowdown, because once you start a CapEx project, setting up a new factory or putting an infrastructure in place over there, it's not viable to stop midway. And I think we do have visibility to that extent, both on public and private projects where we think that they will continue to go ahead. Moving forward, 3 to 6 months, we will have to just wait and see how that pans out in terms of the rupee and in terms of inflation.

■Ms. Renu Baid – IIFL:

■ Got it. The second part of the question, can you just highlight in terms of, we have seen year-end slippage in the networking capital or the cash conversion cycles on books. So any particular pockets which has led to this increase, or this is more transitionary for some large lumpy orders which were executed?

■ And also earlier, some of your footnotes in the previous quarter results mentioned that expansion of the Chhatrapati Sambhajinagar facility was put on hold indefinitely. So after we have won this bogie order, do we see any expansion on that facility resuming back, or if I have misread something on this side, you can help clarify? Thank you.

■Mr. Sunil Mathur - Managing Director and CEO, Siemens Limited (India):

■ So I'll ask Wolfgang to respond to the first part, I'll then come back on the second part.
■Mr. Wolfgang Wrumnig - Executive Director and CFO, Siemens Limited (India):

■ So on the cash side, there are two major developments. One is, we increased our inventory levels also based on the West Asia crisis, to safeguard our customers and also be able to continue with manufacturing and supply to our customers. So, this is one reason why our cash is lower than we have seen in the past. And the second reason, also due to the significant increase in revenue, especially towards the end of the quarter, we have seen accounts receivable, trade receivables going up. Also because we do a lot of work in the mobility environment, recognizing revenue, but not sending invoices yet to the customer. So our contract assets are going up. So these are the major reasons why our cash flow is lower than in prior periods. But no area of concerns with regards to receivables. Our over dues are stable and

not at all at the critical level. So overall, I think it's the right thing to do at this point in time. And we will see going forward better cash flows.

■Ms. Renu Baid – IIFL:

■ And as we see mobility… sorry, just a clarification, as mobility execution ramps up in volume terms, do we see this increasing in the current assets being slightly more structural given the

long-dated payment cycle from the Indian Railway side?
■Mr. Wolfgang Wrumnig - Executive Director and CFO, Siemens Limited (India):
■ It could be structural because of the long-term contracts. But also now with the shipment starting for the locomotives, for example, we also send invoices to the customer for payment. So I believe it will level out. Yeah.
■Ms. Renu Baid – IIFL:
■ Got it.
■Mr. Sunil Mathur - Managing Director and CEO, Siemens Limited (India):
■ So on factory expansions, we are examining the expansion requirements for our mobility factories, both in Nashik as well as in Chhatrapati Sambhajinagar in view of the order backlogs that we currently have, as well as the pipelines that we've seen coming up. And we will come back in due course with further information around this.
■Ms. Renu Baid – IIFL:
■ Sure. Thank you and best wishes to you. Thank you.
■Mr. Sunil Mathur - Managing Director and CEO, Siemens Limited (India):
■ Thanks, Renu.
■Ms. Radhika Arora - Head, Investor Relations, Siemens Limited (India):
■ Thank you. Just in the interest of time, I will request everybody now to restrict your question to one place. Bhavin is back online. Bhavin, would you like to go ahead, please, now? Bhavin Vithlani from SBI Mutual Fund. Bhavin, you're unmuted. No? Okay. I think we have some issue.
■ We have the next question from Sumit Kishore from Axis. Sumit, you're unmuted. You can go ahead.
■Mr. Sumit Kishore – Axis Capital:
■ Yeah. Hi. Thanks for the opportunity. My first question is, we heard with interest that your order book, ex-of-Loco, has 12% to 15% share from data centre contract. I just wanted to hear your thoughts on a per-megawatt basis on crude, what is the total addressable opportunity in rupees million per megawatt that Siemens India can cater to? And if you could quantify the sort of megawatt quantum of inquiries that we are seeing in data centres… the targets are pretty lofty, but what is actually going around right now in terms of ordering? That's my first question.
■Ms. Radhika Arora - Head, Investor Relations, Siemens Limited (India):
■ Sumit, can you repeat your question, please? There were too many parts to it.
■Mr. Sunil Mathur - Managing Director and CEO, Siemens Limited (India):
■ No, no. I mean, look, we don't measure on the basis of megawatts and so on. So, I don't have answers to your questions, Sumit. We don't measure it on that basis.
■Mr. Sumit Kishore – Axis Capital:
■ So, how would you say versus is the medium-term trajectory of per-megawatt or 10 gigawatt plus that is being talked about, what currently is actively in pipeline for discussions right now?
■Mr. Sunil Mathur - Managing Director and CEO, Siemens Limited (India):
■ I don't have the answer to that, but I will get back to you on that.
■Mr. Sumit Kishore – Axis Capital:
■ That's good. My second question is in relation to the locomotive contract. Good to see the 40 local delivery, and you're talking about 80 local ramp-up in the current fiscal year. What sort of operating leverage would be possible here? And as you start booking the O&M income also, can you qualitatively tell us whether the margin profile of the locomotive contract as it evolves, would it be better than your ex-loco mobility margin profile? This is something that would help us, and we'd appreciate the outlook here.
■Mr. Sunil Mathur - Managing Director and CEO, Siemens Limited (India):
■ So Sumit, I mentioned repeatedly in the past that this is a blended margins that we are doing, right? It takes into account the delivery of

the loco as well as the O&M, and the margins that we have are blended margins, and the way we account for them are on percentage of completion basis, right? So what you see in the margins are linked to the inflow of costs and we book the revenue based on inflow of costs.
■Mr. Sumit Kishore – Axis Capital:
■ Right. So would it be better than what you have been achieving in mobility so far?
■Mr. Sunil Mathur - Managing Director and CEO, Siemens Limited (India):
■ Oh, the margins are blended, the margins are blended. So what you see in the margins coming in for the first 40 locos, for the next 80 the margins in absolute values will be proportionately adjusted, but in percentage values they will be at similar percentages. And the real impact comes from the volume.
■Mr. Sumit Kishore – Axis Capital:
■ Got it, thank you so much. Those were my questions.

■Ms. Radhika Arora - Head, Investor Relations, Siemens Limited (India):
■ Okay, thank you. We move to the next question which is from Rami Dajani from Macquarie. Ram, we have unmuted you, you can go ahead.
■Mr. Rami Dajani– Macquarie:
■ Yeah, hi, good morning. Am I audible?
■Ms. Radhika Arora - Head, Investor Relations, Siemens Limited (India):
■ Yeah, Rami, we can hear you.
■Mr. Rami Dajani – Macquarie:
■ Yeah, great. You know, so I have one question on the bogies now. Could you help remind us the capacity of the Chhatrapati Sambhajinagar factory for the bogies and know this 1,800 crore order that you have got which is for bogies, traction motor and gear, is for how many bogies? Also, you mentioned that this will be a part of the global factory. So what does it really mean? Does it mean that Chhatrapati Sambhajinagar will now become the first point for global orders anywhere in Siemens Group? Yeah, that is the first question.
■Mr. Sunil Mathur - Managing Director and CEO, Siemens Limited (India):
■ So I do not have the installed capacity of Chhatrapati Sambhajinagar factory off-hand. We can provide this to you if that’s important. As far as being a part of the global network is concerned, all our 25 factories in the country are linked into the global supply chain of Siemens AG. In other words, Siemens AG parent decides, based on orders it receives around the world, how much to allocate to which of their factories around the world. And at some point, India gets an allocation, and that is what has happened in the 18 billion contract as well, as has happened in prior contracts for Budapest and so on as well, where they have allocated capacities to the Indian factory. This happens, by the way, not only in the mobility, but it also happens in our electrification factories in Goa and other parts of the country as well, where the global parent takes a call how much to order from which factory around the world, and then we look at it from the perspective of do we have capacities to be able to deliver that or do we need to expand capacities in order to deliver future demand.
■Mr. Rami Dajani – Macquarie:
■ Now, with respect to what Renu asked earlier, with regarding the cancellation or deferment of CAPEX for metro order, I think that was mainly because of delay in the domestic ordering. So, if you are now looking at removing it, are you getting some signs from the government that traction in metro orders is picking up, or you are now looking at mainly from the global perspective?
■Mr. Sunil Mathur - Managing Director and CEO, Siemens Limited (India):
■ No, no. We are looking at… look, this is our factories in mobility. We have got factories in Chhatrapati Sambhajinagar as well as in Nashik, and these are for propulsion equipment as well as for bogies. Yeah? Nashik does the propulsion equipment and the electrics of the bogies, and Chhatrapati Sambhajinagar builds the bogies, right? So, these are the two areas. We have received orders for… this large order for supply of products to global. That may require an

expansion of the existing capacities in Chhatrapati Sambhajinagar as well as in

Nashik. As I mentioned, we are looking into that, and we will come back once we are clear on a view over there, as well as once we are clear on a view of how the market for bogies and propulsion equipment plays out in the next couple of years.
■ On the metro market, we are still looking at the domestic pipeline over there for rolling stock. We are very active in electrification and signalling, but we are looking at the pipeline for metros in terms of rolling stock and taking a call based on that, whether it makes sense for us to build a factory or whether it makes sense for us to outsource or work or collaborate or find some other business model that gives us flexibility in view of the unclarity just now in the actual ordering pipeline versus getting more clarity in the future.
■Mr. Rami Dajani – Macquarie:
■ Okay, good. And with respect to imports, I know that DI is largely imported and that therefore the low margin. But can you talk about the share of imports in the smart infra, because this is where we have seen sharp decline. And I thought this was largely localized.
■Mr. Sunil Mathur - Managing Director and CEO, Siemens Limited (India):
■ Yeah, it is largely localized, and I think we are 70 to 75% localized in the smart infra, and we continue to localize the remaining portfolio as well. As Wolfgang mentioned, the real impact in smart infra is not out of foreign exchange. It is primarily out of commodities, which is copper and silver and aluminium, which is used in our factories. So, it is more… it has got nothing to do with export or imports, it is more linked to commodities.
■Mr. Rami Dajani – Macquarie:
■ Sure. Thank you very much.
■Ms. Radhika Arora - Head, Investor Relations, Siemens Limited (India):
■ Thank you. We have the next question from Mohit from Citi. Please, please limit your question to one. Mohit, you are unmuted. You can go ahead. Mohit Pandey from Citi. Mohit, you have

to unmute yourself.
■ We move to the next question from Atul Tiwari from JP Morgan.
■Mr. Atul Tiwari – JP Morgan:
■ Yeah, sir. Am I audible?
■Ms. Radhika Arora - Head, Investor Relations, Siemens Limited (India):
■ Yeah, Atul, we can hear you.
■Mr. Atul Tiwari – JP Morgan:
■ Yeah. Sir, these price hikes that you mentioned, when they were taken? Were they taken after March month got over and hence the impact is yet to be reflected?
■Mr. Sunil Mathur - Managing Director and CEO, Siemens Limited (India):
■ No. One was taken prior to March and one is being taken post-March. But again, as I mentioned, it is a 3 to 4 month time lag before they actually start kicking in.
■Mr. Atul Tiwari – JP Morgan:
■ Okay, sir. And so, these 40 locos that were delivered, were most of them delivered in Jan to March quarter or it was more of a September to March period delivery.
■Mr. Sunil Mathur - Managing Director and CEO, Siemens Limited (India):
■ No, only delivered Jan to March quarter.
■Mr. Atul Tiwari – JP Morgan:
■ Okay. Thank you.
■Ms. Radhika Arora - Head, Investor Relations, Siemens Limited (India):
■ Thank you. We move to the next question from Aditya Mongia from Kotak. Aditya, you are unmuted. You can go ahead.
■Mr. Aditya Mongia – Kotak Securities:
■ Yeah, thanks, Radhika. The question that I had was on the smart infrastructure portfolio. I am just trying to kind of gauge, if you were to be kind of splitting that segment out in terms of value addition where it has been easy to pass on cost increases, some colour would be useful over here. And just to appreciate the different parts of the smart infrastructure portfolio from the perspective of value addition.
■Mr. Sunil Mathur - Managing Director and CEO, Siemens Limited (India):
■ So, it is never easy to pass on any price increase. But let me try and give you som

e element of what our smart infra is played out of. We have the low voltage switch here, which is very short cycle; products only, products and systems only. And this is… we have done price increases there, two price increases over there. Some of it sticks, some of it we hope will stick in the next couple of months. So that is on the low voltage side.
■ On the medium voltage side, there is less of a short cycle. This is medium voltage switch here. And therefore, the price hikes are more built into our device costing when we bid for fresh orders. The impact of that is then felt probably 6 months to a year later once we start deliveries of the medium voltage switch here. But again, over here, as I mentioned earlier on and Wolfgang also said, this is not specific to foreign exchange. This is more commodity based, and we have to see how much of the commodity increases or fluctuations we can actually pass on to the customer. It is a question of negotiating each order because more or less every order is a tailor-made order. And therefore, it's a question of negotiating on an order-to-order basis with the customer and see how much of the cost increases we are able to build in and price in to the customer, we are able to negotiate with the customer on.
■ The third element in the smart infrastructure is our buildings, which is a mixture of short cycle product supply as well as projects. The short cycle product supply… and this is largely imported, is subject to both foreign exchanges and less of commodity; more of foreign exchange. And there again, it is similar to the low voltage where we try and build it into the price hikes that we do. The project business is again similar to the medium voltage, which is where we are having to negotiate prices on a case-by-case basis, order-by-order basis, taking into account the costs that we are actually receiving in terms of commodities. I hope that helps.
■Mr. Aditya Mongia – Kotak Securities:
■ Yeah, and may I just assume… sorry, just a clarification if you can, it bases your answer. This 5-6 month period that we need to kind of revisit and re-align, how much part of the smart infrastructure portfolio kind of falls inside that bucket and how much can we compete on the ground on pricing?
■Mr. Sunil Mathur - Managing Director and CEO, Siemens Limited (India):
■ So, I think Wolfgang gave you an overview of the projects and the product business split. So, overall, 30% of the business or the company is projects. It would probably be more or less the same in the smart infrastructure business, and the rest of it is products, which is short cycle.
■Mr. Aditya Mongia – Kotak Securities:

■ Thanks, Sunil. Thank you. That was my question.
■Ms. Radhika Arora - Head, Investor Relations, Siemens Limited (India):
■ Thank you. So, Bhavin has sent his questions on the chat. He would like to get your thoughts on: He says Siemens India addressable TAM at 7 crore per megawatt in the data centre MEP CapEx of Rs. 40 crore per megawatt. As stated in the December 25 PPT of data centre, being 10% of SI revenues (it was actually orders, not revenues) but yeah, on SI revenues, this implies Siemens India market share of roughly 30% in data centres' respective addressable area. What would be your thoughts on this?
■Mr. Sunil Mathur - Managing Director and CEO, Siemens Limited (India):
■ So, I am not going to comment on the market shares that we have right now, but let's put it this way. We are No. 1, No. 2 in our portfolio for data centres.
■Ms. Radhika Arora - Head, Investor Relations, Siemens Limited (India):
■ Okay. The second question from him was: What is the increase in the bill of material cost due to raw material and FX for SI segment? How much of this inflation has been passed on to the price heights?
■Mr. Sunil Mathur - Managing Director and CEO, Siemens Limited (India):
■ So, we don't monitor on a high-level basis. It is done on a product-to-product basis. So, in our low-voltage switchgear, for example, we have got over 10,000 products, right? In our medium-voltage switchgear, we have also got a couple of hundred products over there. So, it's very difficult to give you an average room temperature because it depends on product-to-product over there. But as I said, the price hikes that we have done on the short-cycle business would take us up to the margin levels that we aspire for on the short-cycle business.
■ On the medium-voltage business, we try to retain and grow our existing margins by trying to pass on whatever cost increases we have over there. But since medium voltage and a large part of the project business in our buildings is a negotiated order, a lot of this depends on the level of negotiation.
■Mr. Wolfgang Wrumnig - Executive Director and CFO, Siemens Limited (India):
■ Maybe if I can add? So, what we do on a regular basis, of course, we are reviewing the market and, of course, reviewing our cost position, and then we increase our list prices. And then, of course, as Sunil said, it's a part of negotiation with our customers, at the end of the day, what price increase we can really capture. So, that's more or less really on a customer

individual base and could be more, could be less. But what we do on a regular basis is increasing the list prices.
■Ms. Radhika Arora - Head, Investor Relations, Siemens Limited (India):
■ Thank you. We also have a question from Mohit Pandey. Mohit, your first question is already addressed in one of the earlier responses as to when the service revenue for the 9K loco started growing to us. That's why I am moving to your second question please: Can you clarify on your comments on the India EU FTA? Did you indicate that we would be an indirect beneficiary of increased trade, but possibly not a direct beneficiary? Would the import costs for us also get impacted?
■Mr. Sunil Mathur - Managing Director and CEO, Siemens Limited (India):
■ So, yes, import costs for us will go down, particularly in some segments. We are still to evaluate the fine print of the FTA there, but we do believe that import costs in some segments of our business will go down. In terms of the indirect benefit, yes, because all our customers who have interactions and intend to have interactions with the EU, we expect that that will increase their production requirements and that will increase the market for us correspondingly.
■Ms. Radhika Arora - Head, Investor Relations, Siemens Limited (India):
■ What proportion of the backlog is now linked to power utilities and renewables?
■Mr. Sunil Mathur - Managing Director and CEO, Siemens Limited (India):
■ I'm sorry, we don't track it on that basis. So, I can't give you an accurate answer there.
■Ms. Radhika Arora - Head, Investor Relations, Siemens Limited (India):
■ Okay, thank you. We have the next question from Subhadip Mitra from Nuvama.
■Mr. Subhadip Mitra – Nuvama:
■ Good morning. Am I audible?
■Mr. Sunil Mathur - Managing Director and CEO, Siemens Limited (India):
■ Yes, you are. Please go ahead.
■Mr. Subhadip Mitra – Nuvama:
■ Perfect. Thank you so much for the opportunity. My first question is with regard to the data centre piece. If I assume that there is a $100 CapEx that's happening on data centres in terms of your products and offerings, how much of wallet share out of that $100 would come from your portfolio?
■Mr. Sunil Mathur - Managing Director and CEO, Siemens Limited (India):
■ So, my estimation would be in the range of 10 to 20%.

■Mr. Subhadip Mitra – Nuvama:
■ Understood. Understood.
■Mr. Sunil Mathur - Managing Director and CEO, Siemens Limited (India):
■ Thank you. Because the large part of the data centre is the civil work.
■Mr. Subhadip Mitra – Nuvama:
■ I agree. I agree. Perfect. This answers my questions. Secondly, if

I may just shoot in one
more. On the private sector CapEx side, we did mention that there were multiple sectors where you are seeing good growth. Is it fair to say that these sectors or the CapEx there would be growing at somewhere in the ballpark range of 10 to 15% or lower? Any range of growth? What do you mean by good growth is what I was trying to understand.
■Mr. Sunil Mathur - Managing Director and CEO, Siemens Limited (India):
■ So, I would say 8 to 10 on an average percentage growth. And I am talking CapEx in the segments that I spoke about.
■Mr. Subhadip Mitra – Nuvama:
■ Perfect. Thank you so much. That answers my question.
■Ms. Radhika Arora - Head, Investor Relations, Siemens Limited (India):
■ Thank you. We have the last question from Jonas Bhutta from Aditya Birla Capital. Jonas, you are unmuted. You can go ahead, please.
■Mr. Jonas Bhutta – Aditya Birla Capital:
■ Yeah. Thank you, Radhika. Good morning, Mr. Mathur and Wolfgang. One question on DI. Basically, given what we are seeing on currency depreciation and the variability of raw material, has only increased in the last five years. Is there a rethink on our part in terms of the localization of portfolio in this segment? Because this is where Siemens India sort of differs the most in terms of its margin profile versus its parent entity.
■ And quickly on the loco order, sir, you mentioned that most of these locos were shipped out in the last quarter. Ideally, that should have led to a 4-billion-rupee delta, just multiplying 40 into the 10 crores odd, which is not visible in the mobility top line. So, what am I missing here?
■Mr. Sunil Mathur - Managing Director and CEO, Siemens Limited (India):
■ Okay. So, let me start with the first question, which was around the DI localization part. Look, DI's products are primarily PLCs in terms of the hardware. It's primarily PLCs in terms of the hardware. And PLCs, you need a minimum volume, which runs into millions, to make a factory actually viable. Now, Siemens globally only has a limited number of factories that they have put up to serve the global requirement. And therefore, unless we are able to demonstrate a business case by showing substantial volumes here in the country, it does not make sense for us to actually go into localization here.
■ But this is a question that we continuously address. We look at the market, we scan the market opportunities, what the volumes could be, and then we'll go back to the table to try and see, is there a business case that works in terms of volumes, in terms of setting up a new factory? Is there a make or a buy decision that we can do over here? So, right now, as we speak, we do not see substantial opportunities for localization in the DI space here in the country.
■ Point number two, there are some elements that we can localize, but they are very, very negligible. Flow meters is one of them that we announced in the past that we are localizing.
But that is, let's say, in the overall scheme of things, not super material. But we are doing as much as we can whenever the opportunity comes up.
■ On your second question, I've mentioned it before, this is a percentage of completion contract. It's not linked 40 to the total contract value, etc. It's linked into the cost inflow, and the revenues and margins are booked on the basis of the percentage of actual cost inflow to the projected cost inflow for the total project. and that's how the revenue is booked and correspondingly the margins.
■Mr. Jonas Bhutta – Aditya Birla Capital:
■ Sure. Thank you so much, and all the best.
■Ms. Radhika Arora - Head, Investor Relations, Siemens Limited (India):
■ Okay. So, with that, we end the call. Thank you, everyone, for joining us today, and wish you a good day. You may now leave the meeting.
■END OF TRANSCRIPT

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